

CADRE

Optimist Park Multifamily Development

350-unit multifamily development in Charlotte, NC

\$111mm

Net Development
Cost

\$48mm

Total Equity

14.0%

Target Net
Investor IRR

1.5x

Net Investor Equity
Multiple

4 years

Target Hold
Period

Disclaimers & Confidentiality

All figures are estimated as of May 16, 2022.

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Executive Summary

\$111mm development of Optimist Park Multifamily Development (the “Asset” or the “Project”), a 350-unit, Class A multifamily asset in the NoDa neighborhood of Charlotte, NC

Cadre is partnering with Jefferson Apartment Group (“Sponsor”) to develop Optimist Park Multifamily Development, a Class A multifamily asset located in NoDa (short for North Davidson) - Charlotte’s arts and entertainment district. We were attracted by the potential to execute on a shovel-ready development alongside a best-in-class sponsor in a burgeoning location within one of the fastest growing markets in the country.

As a principal transaction, Cadre has completed full underwriting and diligence of Optimist Park Multifamily Development, including approval from Cadre’s experienced Investment Committee, and will be placing the Project into the Cadre Direct Access Fund. Cadre is investing alongside Cadre investors and participating in deal promote to align interests. Cadre has structured a majority, controlling interest in the Project, which allows Cadre to actively asset manage the Project and control major decisions in conjunction with other structural protections for Cadre’s investor capital.

Dynamic Market: Driven by its business-friendly environment, relative affordability, and strong growth engines in financial services, energy and power, and information technology, Charlotte has outpaced the nation in job and population growth

- Charlotte’s total job growth of 8.9% over the past five years is ~3x the national average, and the market fared better and rebounded quicker than the nation as a whole amid the pandemic, sitting at a 3.6% unemployment rate¹
- Charlotte’s 11.0% population growth from 2015-2020 was >3x the national average²
- The market and submarket posted 17.3% and 17.8% year-over-year effective rent growth in Q1 2022, all-time records that also significantly outpaced the national average of 11.9%³
- Charlotte is home to nine Fortune 500 headquarters and 18 Fortune 1000 headquarters⁴, and there have been numerous recent job announcements and market tailwinds:
 - Atrium Health, Wake Forest Baptist Health and Wake Forest School of Medicine have selected Midtown (just South of South End and Uptown) to build Charlotte’s first four-year medical school, which will support ~3.5k students each year
 - Centene (Fortune 500; \$50bn market cap) is under construction on a 2.4mm sf campus with 3.2k jobs in the University submarket, ~8mi NE of the Asset along the Blue Line
- Charlotte’s airport is the sixth busiest in the world, serving ~180 non stop destinations around the globe, and is currently undergoing a \$2.5bn expansion and renovation plan to meet passenger growth through 2035⁵
- *Cadre’s data science team identifies Charlotte within the “Cadre 15”, one of the 15 top markets with strong potential for risk adjusted returns*

Compelling Transaction Dynamics:

- Cadre’s attractive land basis of \$23k per unit and lower-density podium-style construction allow for a development basis that is 30%+ lower per unit than the high-rise product that is increasingly being developed in the nearby urban core (Uptown and South End)
- Underwritten rents (\$1,838, \$2.11psf) are in-line with comparables in the submarket, a 21% discount to existing product in the urban core (~\$500 discount)⁶, and an expected 30%+ discount to under construction product in the urban core
 - Underwritten rents imply \$73k income needed at 30% affordability, which is ~10% above Charlotte’s median household income of \$66k⁷ and is relatively affordable for Class A, infill product

¹ Source: United States Department of Labor, Bureau of Labor Statistics, revised figures, downloaded as of March 2022

² Source: US Census Bureau’s 2015-2020 American Community Survey, downloaded as of March 2022

³ Source: CoStar, as of March 2022

⁴ Source: Charlotte Regional Business Alliance, as of March 2022

⁵ Source: Airports Council International, Top 10 Busiest Airports, as of April 2022

⁶ Source: CoStar and property websites, as of March 2022

⁷ Source: US Census Bureau’s American Community Survey, downloaded as of March 2022

- Charlotte's strong home price appreciation of 30% year-over-year provides further tailwinds for rental demand⁸
- At \$23k per unit, the land basis is 27% below comparable sales in the submarket and 49% below sales in South End, allowing for lower rents
- Cadre is entering the transaction at the Sponsor's cost basis, and value has already been created. This includes having put the site under contract in 2018, going through a rezoning process, and securing ~\$2mm of Brownfield Tax Credits, which are expected to be achieved upon certificate of occupancy, helping to enhance the economics

Continued Urban Densification:

- Relocation and expansion announcements have prioritized the urban core, which already houses Wells Fargo's East Coast division's headquarters, as well as Bank of America's headquarters (43k jobs combined)
- New urban core job announcements include Truist Bank's HQ (2k jobs; combined from merger of SunTrust and BB&T), Lowe's (2k jobs), USAA (750 jobs), Honeywell (750 jobs), LendingTree (500 jobs), and Robinhood (400 jobs)⁹
- Since 2017, the urban core has been transformed with new development that includes ~10mm sf of office space delivered or under construction, and the delivery of 1,750 hotel rooms and 10k multifamily units¹⁰
- Uptown Charlotte houses professional sports franchises Charlotte Bobcats (NBA), Carolina Panthers (NFL), Charlotte Checkers (AHL), Charlotte Knights (AAA MLB), and most recently the Charlotte Football Club (MLS), which just began playing this year

High-Growth Submarket:

- A bohemian enclave just outside of Uptown Charlotte known for its restaurant, nightlife, breweries, and art galleries, the NoDa submarket has been propelled by the delivery of the light rail in 2018, spurring substantial development and adaptive re-use of multifamily, office, and retail
 - The light rail had previously led to the growth of the South End submarket into a premier submarket in Charlotte following light rail delivery in 2007. Cadre believes the light rail's delivery in NoDa is causing similar transit-oriented growth
- The NoDa submarket has seen >3k new multifamily units delivered over the past three years (all are now >90% leased) alongside numerous F&B, retail, and entertainment options; new townhomes are selling for \$500k+ in the submarket
- The Asset's location provides easy connectivity to:
 - Uptown and South End within minutes via light rail or a <10 min drive
 - UNC Charlotte and Centene's future relocation of 3.2k jobs to the north (>\$1bn investment) via light rail or a <15 min drive
 - Plaza Midwood submarket to the east (<10 min), another submarket with burgeoning retail and nightlife options, as well as executive housing and the Charlotte Country Club
- Nearby commercial and mixed-use projects under construction or recently developed include:
 - Optimist Hall, located two blocks away, is a 147k sf adaptive re-use project featuring >55k sf of retail and F&B with a curated roster of local eateries, a brewery, and 90k sf of creative office space leased to Duke Energy's Innovations Team. Further commercial and multifamily development is expected by the owners, which should further solidify this transit-oriented node
 - Camp North End, Charlotte's largest adaptive re-use project spanning a 76-acre former industrial site, is located 1.3 miles away and will eventually include 3mm sf of multifamily, office, and retail
 - Flywheel Group's 83-acre assemblage in the NoDa Greenway District, will include more than 500k sf of Class A office, a 120-key hotel, 700 multifamily units, retail, restaurants, a large scale music facility with an indoor climbing and fitness facility, as well as adaptive re-use development for entertainment and social gathering spaces
 - AvidXchange, provider of accounts payable and payment automation for the middle market, has their headquarters less than 1.5mi from the Site and is under construction on a second 200k sf headquarter building, which will bring in 1,200 new jobs over the next few years

Sponsorship:

- Sponsor principals were originally the senior leadership at JPI East, and have been investing together since 2000. They have developed or acquired 21k units with a value in excess of \$4bn
- Sponsor has executed transactions with numerous institutional partners including Starwood, AIG, AEW, LaSalle, Northwestern Mutual, and KKR

⁸ Source: Zillow Home Value Index, as of March 2022

⁹ Source: Newmark: Quarterside Uptown Offering Memorandum, as of July 2021

¹⁰ Source: CoStar, as of March 2022

Risks and Mitigants

Development Budget & Timeline: As with any development project, cost overruns and construction delays are a primary source of risk

- *Mitigant:* This is a shovel-ready development. Land closing will occur simultaneously with GMP (guaranteed maximum price) contract execution, locking in many of the development costs with the exception of price escalations for materials. This also allows the General Contractor to release the subcontractors to buy out much of the early part of the project at pricing as represented in the GMP, mitigating risk of future escalations
- *Mitigant:* Cadre maintains a \$5.7mm / ~7% hard cost contingency, which is ~\$1.6mm in excess of the 5% held in the GMP to account for possible escalations

Subject's Microlocation: The submarket is still in the early stages of densification, and underwritten rents may not be achievable

- *Mitigant:* Underwritten rents are already being achieved at nearby comparable assets. Cadre expects to deliver an asset with superior finishes and amenities to existing product
- *Mitigant:* The microlocation has seen significant development activity from Optimist Hall, two blocks away, which is expected to continue building out more commercial and multifamily, solidifying this transit-oriented node. Over 3k new multifamily units have delivered over the past three years, all >90% occupied, alongside numerous F&B, retail brewery, and entertainment options
- *Mitigant:* Various mixed-use developments include Camp North End (ATCO & Shorenstein's 76-acre, 3mm sf multi-phase adaptive reuse/ new construction project), Third & Urban's mixed-use development (200k sf commercial and ~280 units of multifamily), AvidXchange's headquarters (developing a second 200k sf building to accommodate 1,200 new employees), Hopper Communities's townhome development, breweries, and other adaptive re-use office projects
- *Mitigant:* There are several infrastructure projects underway in the blocks immediately surrounding the site (see page 14), which are focused on spurring walkability, economic growth and facilitating recruitment of high-tech industries

Supply: As of Q1 2022, Charlotte has 8.3% of multifamily stock under construction, higher than the national average of 4.1%, which could put pressure on fundamentals in the market¹¹

- *Mitigant:* In 2021, Charlotte posted its strongest year on record for multifamily absorption of 6.3% of inventory, compared to the national average absorption of 3.9%, indicating strong demand for Charlotte that is outpacing supply. Demand for housing near the urban core (Uptown, South End, and NoDa) will remain strong driven by the substantial job growth from new corporate users including Duke Energy, Ally Financial, Lowe's, Honeywell, LendingTree, Robinhood, and others, all of which are either expanding or relocating to the urban core, alongside Charlotte's first four-year medical school (Wake Forest/ Atrium Health)
- *Mitigant:* 2021 year-over-year rent growth in the market and submarket also reached record highs of 20.0% and 19.2%, respectively, despite new supply, and is projected to continue to outperform with CoStar estimating 2022 rent growth of 6.4% and 2023 rent growth of 4.4%. Cadre underwrites meaningfully lower rent growth than such projections
- *Mitigant:* The percentage of stock under construction is down from a peak of 9.2% of stock in Q1 2017 for the Charlotte market. From Q1 2017 to Q1 2020, rents grew at an average 3.0% annually despite elevated supply
- *Mitigant:* The Asset's combination of land basis and construction type should allow for more affordable rents than much of the new oncoming supply (21% lower than Uptown and South End). Cadre also underwrites rents at a slight discount to nearby NoDa comparables
- *Mitigant:* Charlotte remains relatively undersupplied from a multifamily perspective. For example, Charlotte has a 7.3% multifamily units to total population ratio, versus 7.8% for Atlanta, 9.1% for Denver, 9.1% for Seattle, 10.5% for Dallas, and 11.3% for Austin

¹¹ Source: CoStar, as of March 2022

Principal Deal

As a principal transaction, Cadre has completed full underwriting and diligence, including approval from Cadre's experienced Investment Committee, and will be placing the Project into the Cadre Direct Access Fund. Cadre is investing alongside Cadre investors and participating in deal promote to align interests. Cadre has structured a majority, controlling interest in the Project, which allows Cadre to actively asset manage the Project and control major decisions in conjunction with other structural protections for Cadre's investor capital

	Principal Deal	Curated Deal
Investor Benefit	Principal deals allow investors to take advantage of the best of our investment professionals' principal investing acumen applied to specific deals from our network of sponsors	Curated deals allow investors to benefit from broader visibility into and access to dealflow from our top sponsors with whom we have invested in principally
Sponsor Diligence Conducted	Diligenced by Cadre	Diligenced by Cadre
Real Estate Level Diligence Conducted	Completed by Cadre and Sponsor. Cadre Investment Committee approves each asset we invest in principally	Completed by Sponsor and reviewed by Cadre
Ownership	Primarily majority stake (i.e. greater than 50% ownership)	Sometimes minority stake (i.e. less than or equal to 50% ownership)
Deal Terms	Cadre actively negotiates finance, joint venture and other agreements	Sponsor leads financing and real estate agreement negotiations. Cadre may consult on some decisions, but Sponsor retains most controls
Cadre Investment Partnership Management	Investor entity managed by Cadre. Distributions and reporting provided by Cadre	Investor entity managed by Cadre. Distributions and reporting provided by Cadre (which can include joint venture reporting passed through from Operator)
Cadre Control Rights	Cadre usually retains control rights to drive major decisions of the JV	As a minority partner Cadre has limited control rights to drive major decisions
Asset Management	Asset management (including sales, refinancings, distributions and reporting) usually influenced actively by Cadre	Asset management (including sales, refinancings, distributions and reporting) expected to be driven by Sponsor
Cadre Co-investment	Cadre co-invests in the deal	Cadre does not co-invest in the deal
Cadre Promote Share Alignment	Cadre shares in promote charged by the Sponsor to the underlying investment joint venture promoted interest	Sponsor retains all promote share (no Cadre participation) does not share in the promoted interest
Valuations and Audits	Quarterly valuations and annual financial audits	Quarterly valuations and annual financial audits
Potential Liquidity	Quarterly access to secondary market Limitations and restrictions apply to the Cadre Secondary Market. See the section above titled 'Am I able to sell prior to the end of the hold period?' and disclaimers linked there.	Quarterly access to secondary market

Asset Renderings¹²



North Elevation



East Courtyard



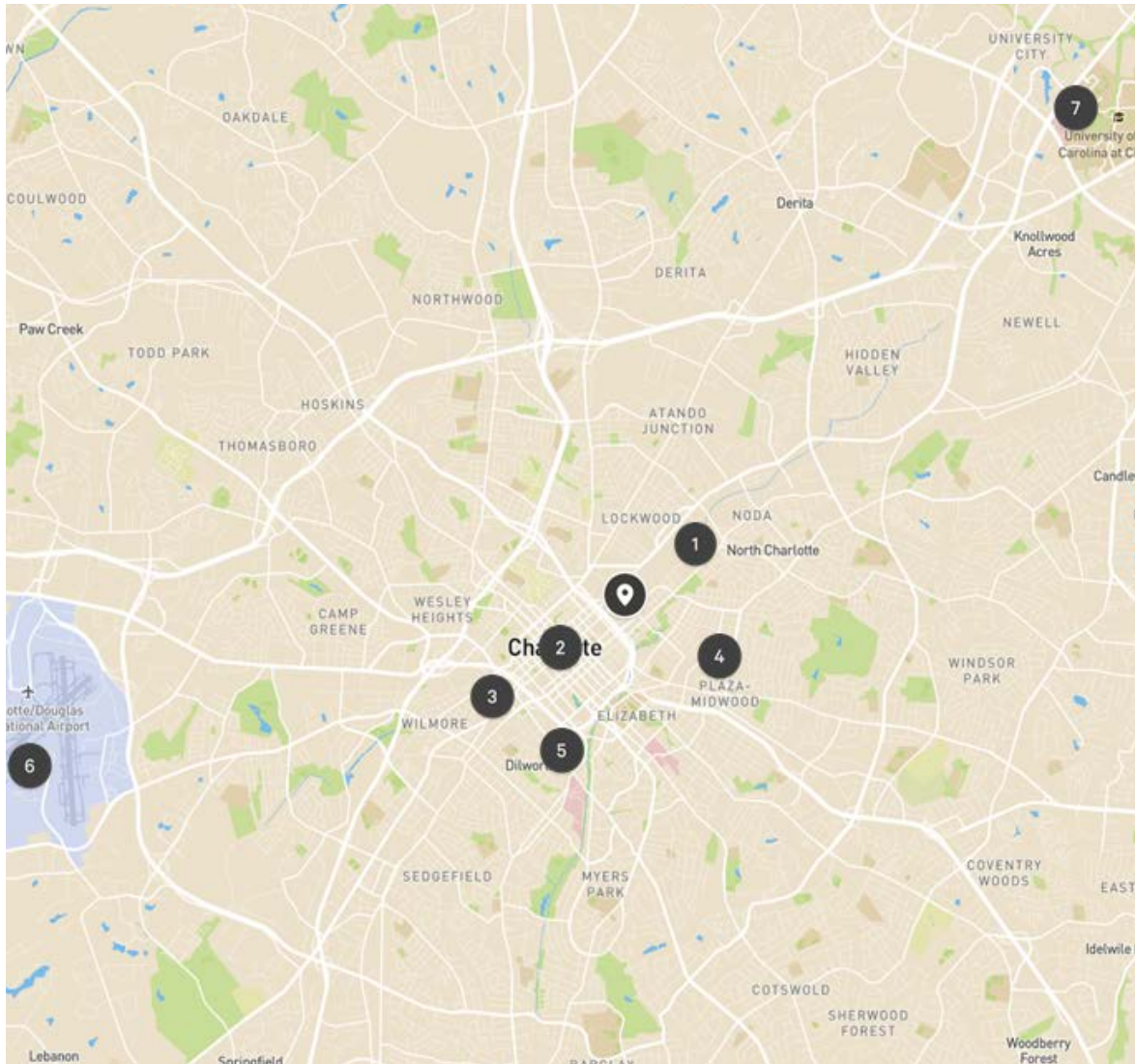
West Courtyard

¹² Property renderings used throughout this memorandum are samples as of the date of this memorandum and are for illustrative purposes only

Maps & Location

Map

The Project is located in NoDa, a rapidly growing, bohemian neighborhood that benefits from proximity to the city's major employment centers and ease of access along the LYNX Blue Line light rail, which opened in 2018



1. NoDa (Project's Neighborhood)

Light-rail centric, urban neighborhood characterized by a collection of former mills and warehouses that have been adaptively reused into food halls, breweries, restaurants, art studios, music venues and creative office space, alongside new multifamily and townhome development, all within ~2mi of the Site

2. Uptown (<1mi)

Charlotte's CBD and primary office submarket (~25mm sf of office) with a long list of large credit tenants including Bank of America, Wells Fargo, Truist Bank, Duke Energy, Ally Financial, and Deloitte. The second largest financial hub in the country¹³

3. South End (<2mi)

Spurred by the light rail's delivery in 2007, South End is now an extension of Uptown, and home to >11k multifamily units, ~10mm sf of office, and numerous restaurants, bars, and shops. High-profile office tenants relocating to and expanding in the submarket include Lowe's, LendingTree, Allstate, and USAA

4. Plaza Midwood (~2.5mi)

A live-play suburb that includes boutique retail, restaurants, and bars

5. Wake Forest / Atrium Medical School (~2.5mi)

Wake Forest & Atrium Health have selected Midtown to build the city's first four-year medical school across 20 acres. When operational in 2024, will support 3.5k students and create 43k jobs over the next 20 years¹⁴

6. Charlotte Douglas International Airport (~8mi)

CLT ranks as the sixth busiest airport in the world in aircraft movements and passenger traffic, offering more than 700 daily flights to 180 nonstop destinations around the globe¹⁵

7. University City / Centene (~8.5mi)

The submarket is made up of the 2,200-acre University Research Park (~75k jobs) which surrounds the UNC Charlotte campus (enrollment of ~32k). Centene is underway on their 2.4mm sf campus here that will create 3.2k jobs¹⁶. Accessible from the site via the Blue Line

¹³Source: CoStar, as of March 2022

¹⁴Source: Atrium Health: Wake Forest School of Medicine - Charlotte, March 2021

¹⁵Source: CLT Airport News: CLT Ranks Sixth Busiest Airport Nationwide, May 2021

¹⁶Source: Charlotte Business Journal, June 2021

Densification of the Urban Core

Charlotte's urban core - historically taking a backseat to the suburbs - has been undergoing a transformation that includes substantial office, retail, hotel, and multifamily development. Below are some highlights of activity in Charlotte's urban core:

New Development¹⁶

- 2.4mm sf** office under construction
- 7.4mm sf** office delivered since 2017
- 1,750 Hotel Rooms** built since 2017
- 400 Hotel Rooms** under construction
- 10k Multifamily Units** delivered since 2017
- 3.5k Students** expected from Wake Forest medical school

Fortune 500 Headquarters



Professional Sports Teams



Select Job Announcements

Announcement					
#	Date	Company	New Jobs	Submarket	Move-In Date
1)	May-21	AvidXchange	750	Noda	TBD
2)	May-21	USAA	750	Midtown/Southend	4Q21
3)	May-21	Credit Karma	600	South Charlotte	TBD
4)	Mar-21	Robinhood	400	CBD	TBD
5)	Jul-20	Centene	3,200	Northeast Charlotte	3Q22
6)	Jul-19	Lowe's	2,000	Midtown/Southend	4Q21
7)	Jun-19	Truist Financial	2,000	CBD	2Q21
8)	Apr-19	LendingTree	500	Midtown/Southend	2Q21
9)	Mar-19	Duke Energy	4,400	CBD	4Q22
10)	Nov-18	Honeywell	750	CBD	4Q21
11)	Jan-18	Ally	550	CBD	2Q21
# Total			15,900 Jobs		

¹⁷ Source: CoStar, as of March 2022, within 2mi radius of Uptown

Urban Core Development: Wake Forest/Atrium Health's New Medical School¹⁸

Atrium Health, Wake Forest Baptist Health and Wake Forest School of Medicine joined together as a single enterprise and have selected Midtown (just south of South End, <2.5 mi from the Site) to build Charlotte's first four-year medical school, which will support ~3.5k students each year, as well as an innovation district near the school



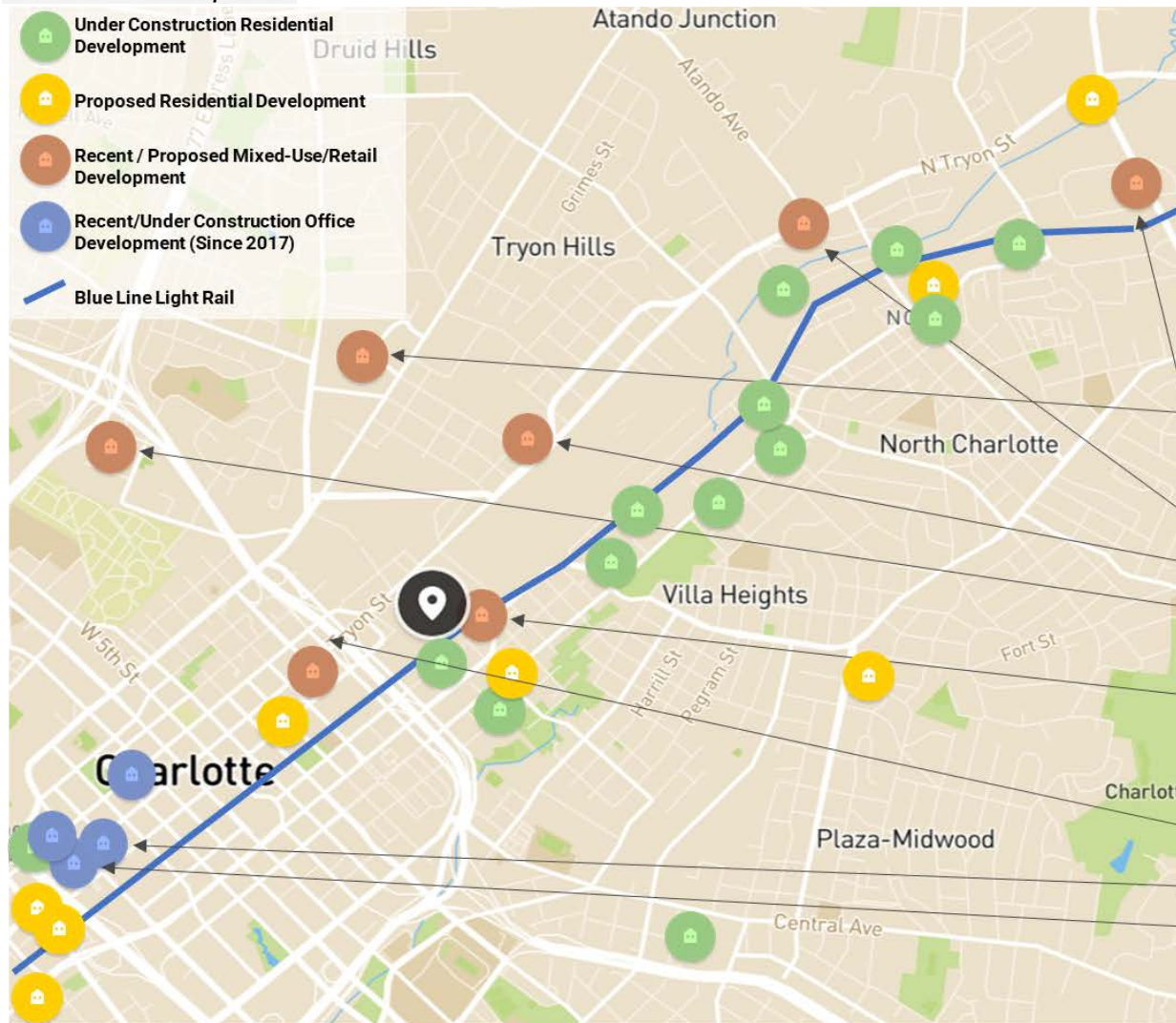
- When operational by 2024, the new school of medicine and the anticipated spin-off activities – in healthcare and other economic development – is projected to generate an additional \$5.2bn in economic impact and create nearly 43k jobs over the course of the next 20 years
- Charlotte is currently the largest city in the U.S. without a 4-year medical school. The medical school campus will position Charlotte as a destination for research and innovation
- The innovation district's construction will concentrate on cutting-edge virtual reality and artificial intelligence technology revolutionizing medicine
- Located less than 2.5-miles (10-minute commute) away, the Project will benefit from its proximity with medical students seeking an authentic off-campus Charlotte living experience at a discount to Uptown and South End rents

¹⁸ Source: Atrium Health: Wake Forest School of Medicine - Charlotte, March 2021

NoDa Submarket Transformation¹⁹

Spurred by the extension of the light rail that delivered in 2018, NoDa (North Davidson) has emerged as a high-growth, densifying submarket of Charlotte, drawing comparisons to South End in the early part of the last real estate cycle

Characterized by its bohemian culture, NoDa includes numerous high-quality restaurants, breweries, galleries, live music and other entertainment options



NoDa Notable Developments

Institutional Multifamily Developers Have Been Active in the Submarket Since 2017

Camden: under construction on 385 units, delivering in 2023
Trammell Crow: developed 238 units two blocks from Asset
Wood: developed two assets in submarket (~600 units), including one three blocks away from the Asset
Bainbridge: delivered 273 units in 2020
Crescent/AEW: delivered 344 units in 2017
Alliance: under construction on 2 assets (>600 units)

Commercial/Mixed-Use:

Camp North End: 76-acre mixed-use project by Shorenstein will accommodate up to 3mm sf including 1.5k apartment units, 200k sf retail, and 80k sf of F&B

The Pass: 260k sf mixed-use development (creative office, retail, and upscale multifamily) by Third & Urban

3100 N Tryon: Mixed-use development that will include a 25k sf grocery store (NoDa's first) with apartments above

Foundation Supply: 125k sf adaptive re-use

AvidXchange Headquarters and Music Factory:

AvidXchange adding 1,200 jobs next to Music Factory, a music and concert venue

Optimist Hall: 147k sf adaptive re-use one block from the Asset; Duke Energy (Fortune 500) in 91k sf creative office; >55k sf of retail, F&B, and a brewery. A Phase 2 was recently approved. Jamestown recently recapped the deal for \$556psf (5.4% cap)

10 Tryon: 215k sf development including a Publix and 175k sf office

Duke Energy Tower: 1mm sf tower set to deliver in 2022

Ally Charlotte Center: 750k sf office building to consolidate 1,700 employees into this one location Uptown

Various Breweries include NoDa Brewery Co. Free Range Brewing, Heist Brewery, Birdsong Brewery, Catawba Brewing

¹⁹ Source: CoStar, as of April 2022

Adjacent Optimist Hall Mixed-Use Development²⁰

Optimist Hall, a 147k sf adaptive re-use project, delivered in 2019 two blocks from the site. It contains >55k sf of retail space including a brewery and numerous F&B options, alongside 91k sf of creative office leased to Duke Energy (Fortune 500; \$89bn market cap) as an innovation center. Jamestown recently recapped the project for \$556psf (5.4% cap rate)

The developers of Optimist Hall received re-zoning approval for further development on five adjacent acres, which is expected to add more retail, office, and multifamily, further cementing Optimist Park as an amenitized, transit-oriented node

Optimist Hall

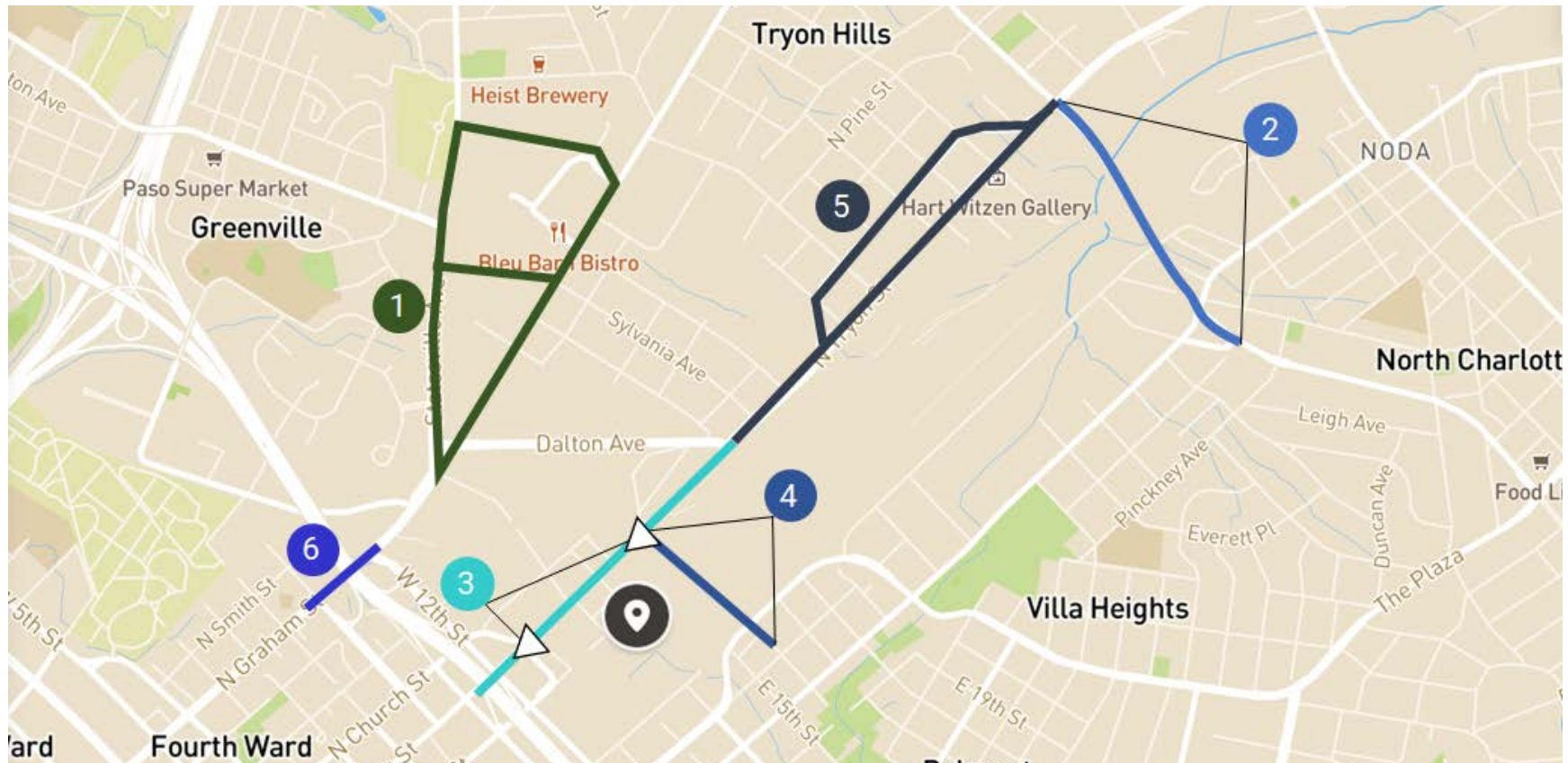
Number of Tenants	21
Food Hall SF	22,000
Retail SF	31,600
Office SF	91,000
Brewery SF	2,400
Total SF	147,000



²⁰ Source: JLL

Infrastructure Improvements Ongoing²¹

The site benefits from numerous future infrastructure projects coming to the west side of the railroad along Tryon and 16th Streets which should spur more walkability and further development



1) Camp North End:

76-acre, >1mm sf, multi-phase mixed-use adaptive re-use project by Shorenstein will include streetscape improvements including roadway realignments, bicycle lanes and sidewalks surrounding the mixed-use redevelopment

4) 16th Street Streetscape:

Upgrades include a two-lane roadway, bicycle lanes, planting strips, and sidewalks on 16th St.

2) Matheson Avenue Bridge Streetscape:

Pedestrian, bicycle, and vehicle connection improvements between N. Tryon St., the LYNX Blue Line, and the Cross-Charlotte Trail

5) N. Tryon Street Business Corridor:

Streetscape improvements and new traffic patterns to support redevelopment along N. Tryon Street

3) N. Tryon Street Gateway:

Lighting and aesthetic upgrades to improve pedestrian flow from Uptown to the Mill District

6) North Graham Street Sidewalk:

Creation of pedestrian friendly sidewalk along N. Graham St.

²¹ Source: JLL

Asset Overview & Development Plan

Asset Overview

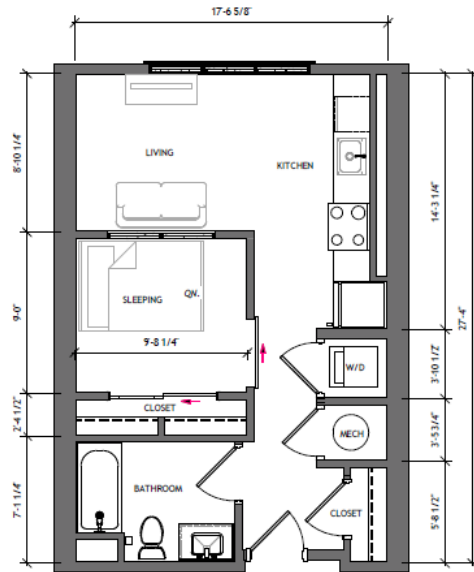
Upon delivery in 2024, Optimist Park Multifamily Development will be a 350-unit, Class A multifamily community with an average unit size of 870 sf and untrended rents of \$1,838 (\$2.11 psf)

- The 5.1 acre site will consist of 305k sf of living space across five stories of units which will surround two separate courtyards
- Wood frame construction over a one-story concrete podium
 - Benefits of this construction type include a slightly lower cost to build (no need for parking structure), and more ample courtyards, amenities, and viewing corridors (given no parking structure in the middle)
 - This construction type is made possible by a larger (~2x) land site versus many comparable sites
- Brick and Hardi siding will allow the Asset to aesthetically blend into the historically industrial submarket (and adjacent Optimist Hall)
- Unit features will include quartz countertops, vinyl flooring, stainless steel appliances, luxury backsplash in kitchen, washer/dryers, and balconies in select units
- Common areas will include multiple outdoor amenity areas including a pool area and a courtyard area with BBQ and gaming overlooking Uptown Charlotte. Indoor amenities will total ~11k sf and include a fitness center, resident lounge, coworking area, and clubroom
- 467 total parking spaces, 298 of which will be covered (1.3x parking ratio per unit or 1.0 per bed)

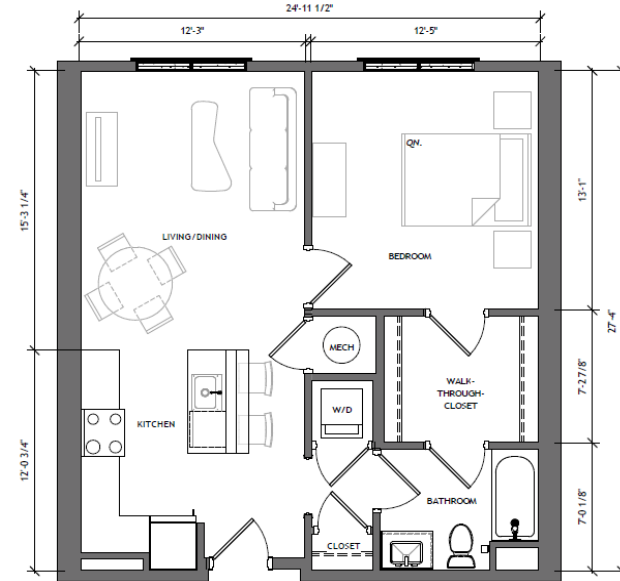
Unit Type	Unit Mix		Square Feet	Untrended Rent	
	Count	% of Total		Gross	\$ PSF
Studio	15	4.3%	529	\$1,415	\$2.68
1 Bedroom	222	63.4%	760	\$1,684	\$2.22
2 Bedroom	113	32.3%	1,132	\$2,198	\$1.94
Total	350	100.0%	870	\$1,838	\$2.11

Asset Floor Plans²²

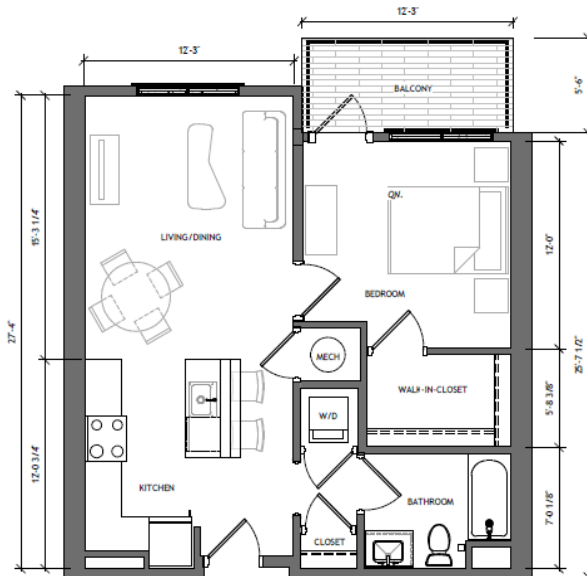
Sample Studio Floor Plan (541 sf)



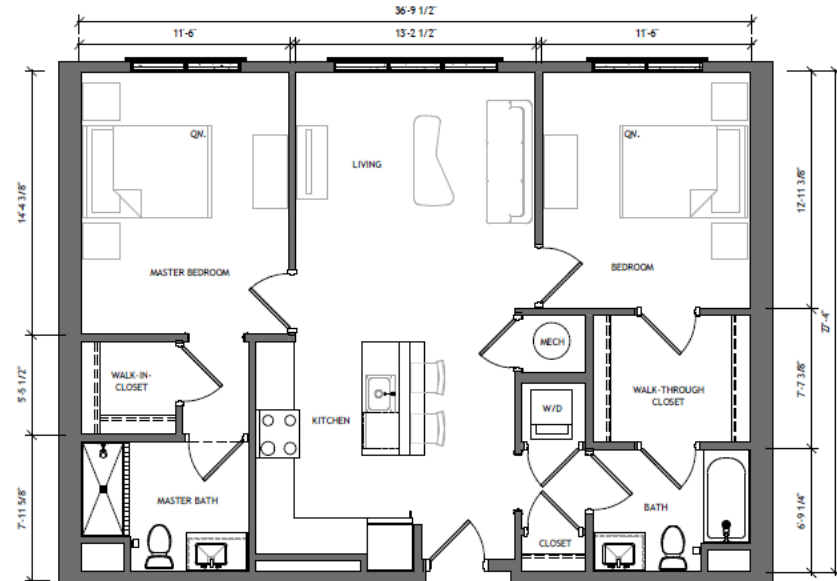
Sample 1 x 1 Floor Plan (756 sf)



Sample 1 x 1 w/ Balcony Floor Plan (720 sf)



Sample 2 x 2 Floor Plan (1,069 sf)



²² Property floor plans used throughout this memorandum are samples as of the date of this memorandum and are for illustrative purposes only

Cadre closed on the land early May 2022 simultaneously with both the execution of the GMP contract with the General Contractor as well as the loan closing

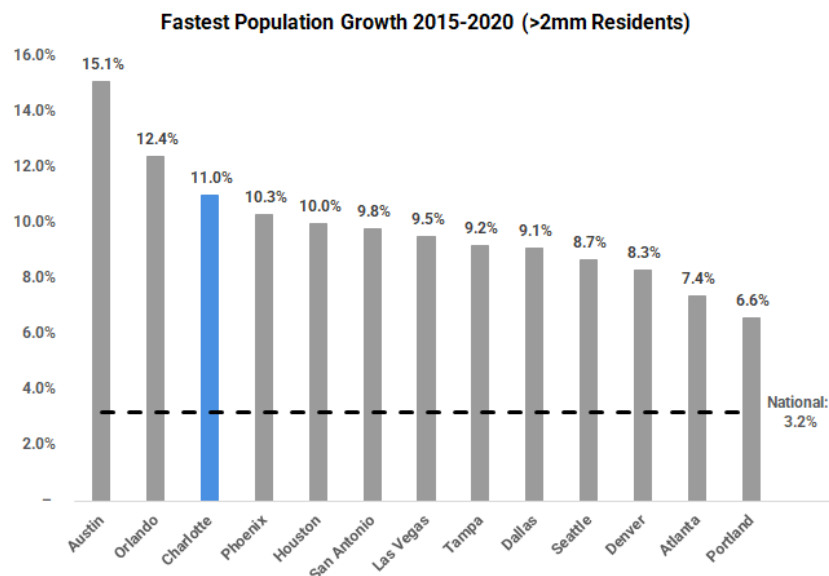
- | | | <u>2022</u> | | | <u>2023</u> | | | | <u>2024</u> | | | | <u>2025</u> | | | | <u>2026</u> | |
|-----------------------------|--------|-------------|----|----|-------------|----|----|----|-------------|----|----|----|-------------|----|----|----|-------------|----|
| Period | Length | Q2 | Q3 | Q4 | Q1 | Q2 | Q3 | Q4 | Q1 | Q2 | Q3 | Q4 | Q1 | Q2 | Q3 | Q4 | Q1 | Q2 |
| Land, GMP, and Loan Closing | 1 Mos | | | | | | | | | | | | | | | | | |
| Predevelopment | 3 Mos | | | | | | | | | | | | | | | | | |
| Construction | 28 Mos | | | | | | | | | | | | | | | | | |
| Initial Delivery | 1 Mos | | | | | | | | | | | | | | | | | |
| Lease-Up and Stabilization | 17 Mos | | | | | | | | | | | | | | | | | |
| Sale | 1 Mos | | | | | | | | | | | | | | | | | |

Market

Charlotte's Demographic Outperformance

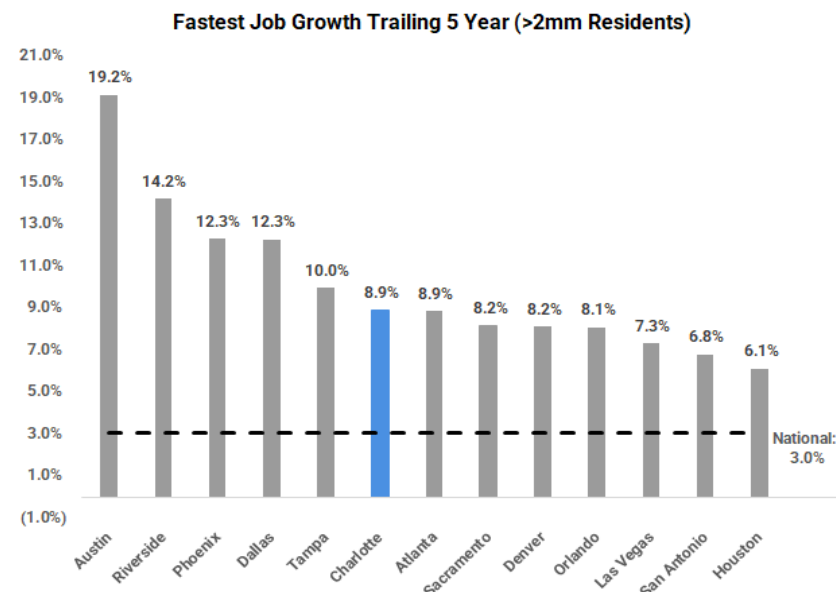
Attracted by a business-friendly environment, highly educated workforce, and strong cultural amenities, various technology, service-oriented and creative firms have migrated to the market in recent years

Population Growth²³



- **3rd fastest population growth** of any MSA >2mm residents from 2015-2020, ~3.4x the national average
- **Home prices have increased at a 18.3% CAGR** over the last five years versus 10.4% nationally²⁴

Job Growth²⁵



- **6th fastest job growth** of any MSA >2mm residents over the last five years, versus the national average of 3.0%
- **12 month multifamily net absorption of 5.2%** as a percentage of total inventory compared to 3.2% nationally²⁶
- **Highly educated workforce:** 33.3% of residents hold a bachelor's degree, versus 30.4% nationally²⁵. UNC Charlotte enrolls >30k students, and Wake Forest's new medical campus will provide further educational opportunities

²³ Source: US Census Bureau's 2015-2020 American Community Survey, downloaded as of March 2022

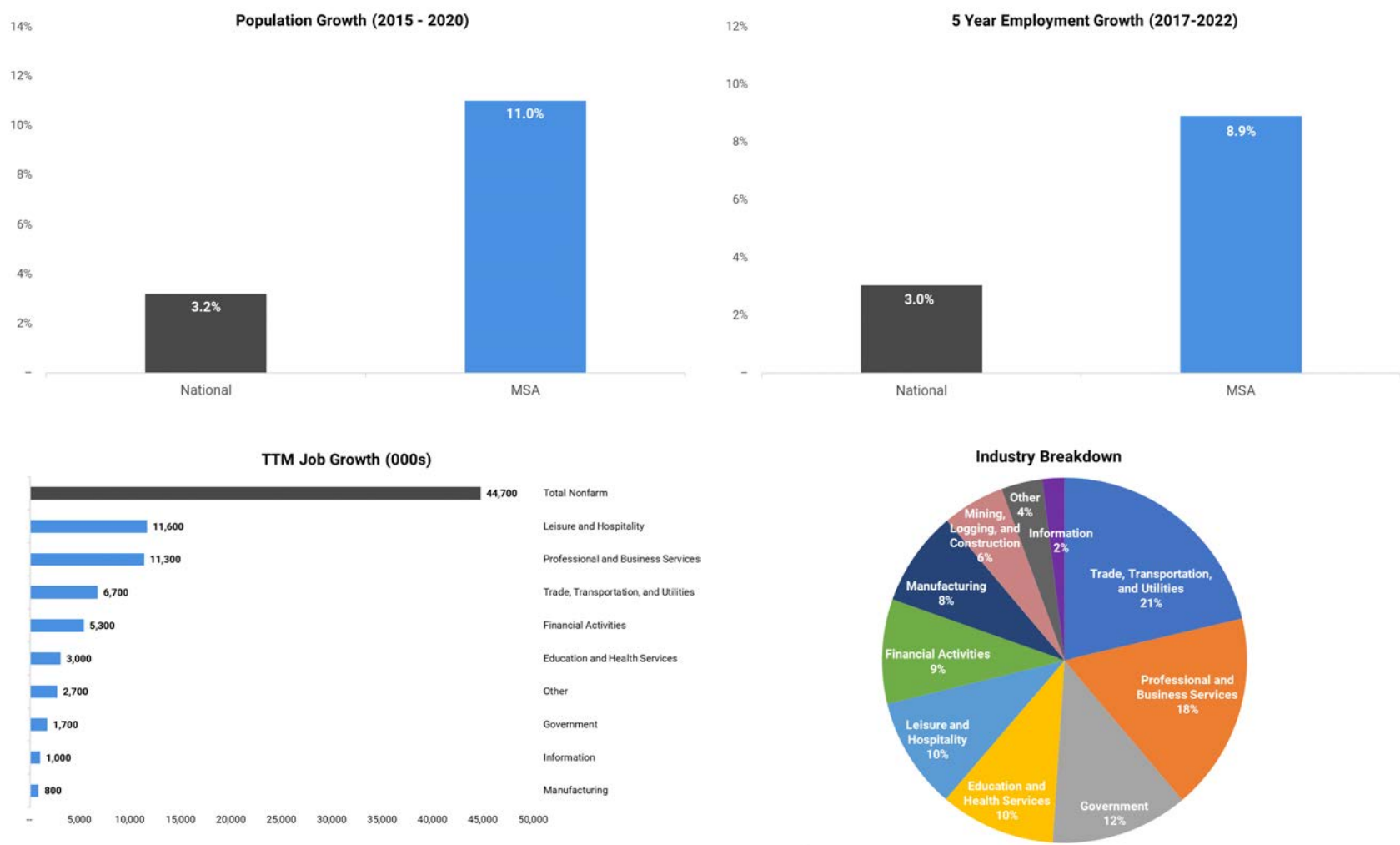
²⁴ Source: Zillow, as of March 2022

²⁵ Source: United States Department of Labor, Bureau of Labor Statistics February 2017-February 2022, downloaded as of March 2022

²⁶ Source: CoStar, as of March 2022

Demographic Overview²⁷

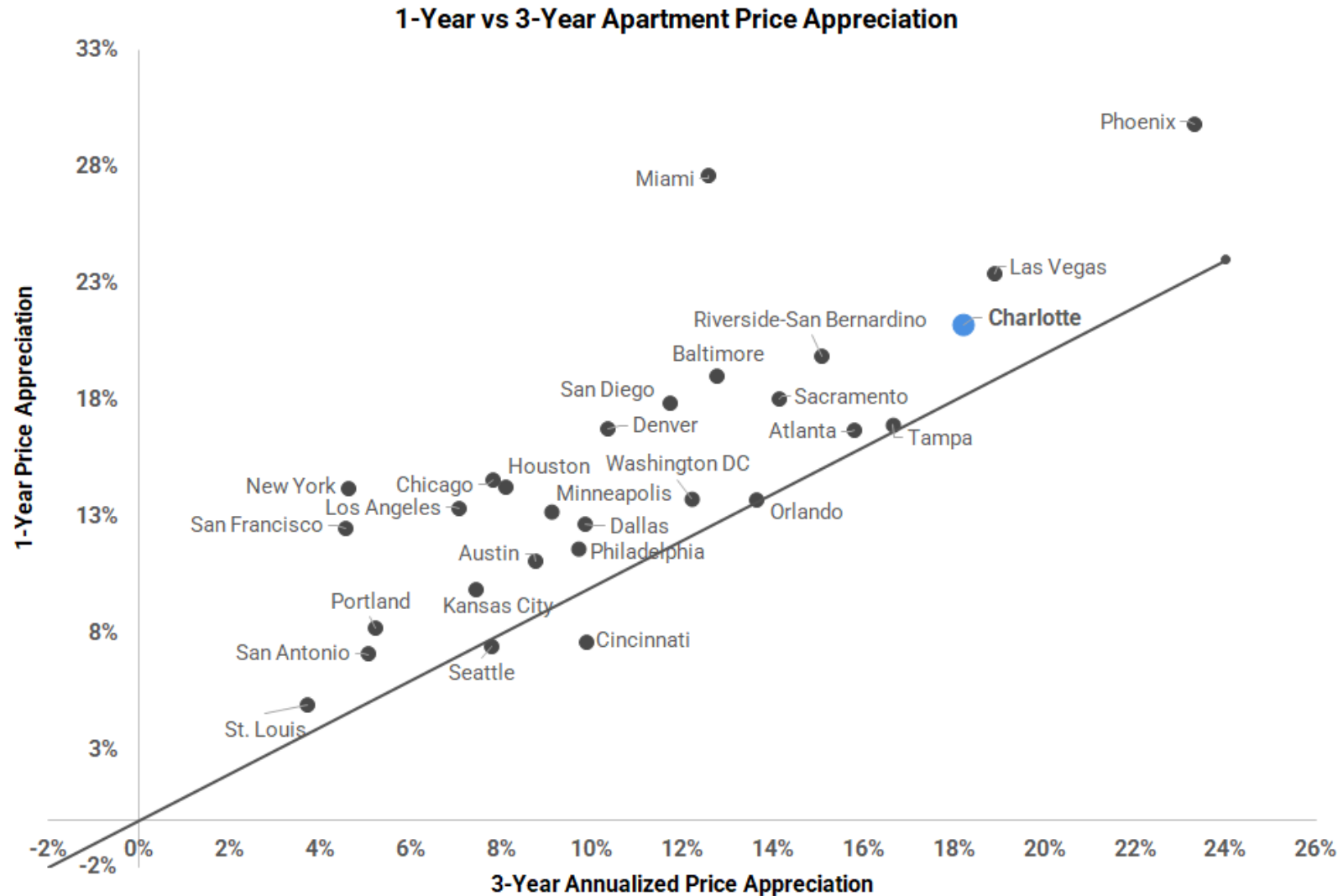
Charlotte has benefited from strong job and population growth in recent years, as corporations are increasingly attracted to the city's affordability and business-friendly environment. From 2015-2020, Charlotte experienced average population growth 3.4x the national average, and fared much better than the nation as a whole amid the pandemic given its diverse employment base



²⁷ Source: BLS as of March 2022, ACS 5 Year Estimate (2015 - 2020)

Market Price Appreciation²⁸

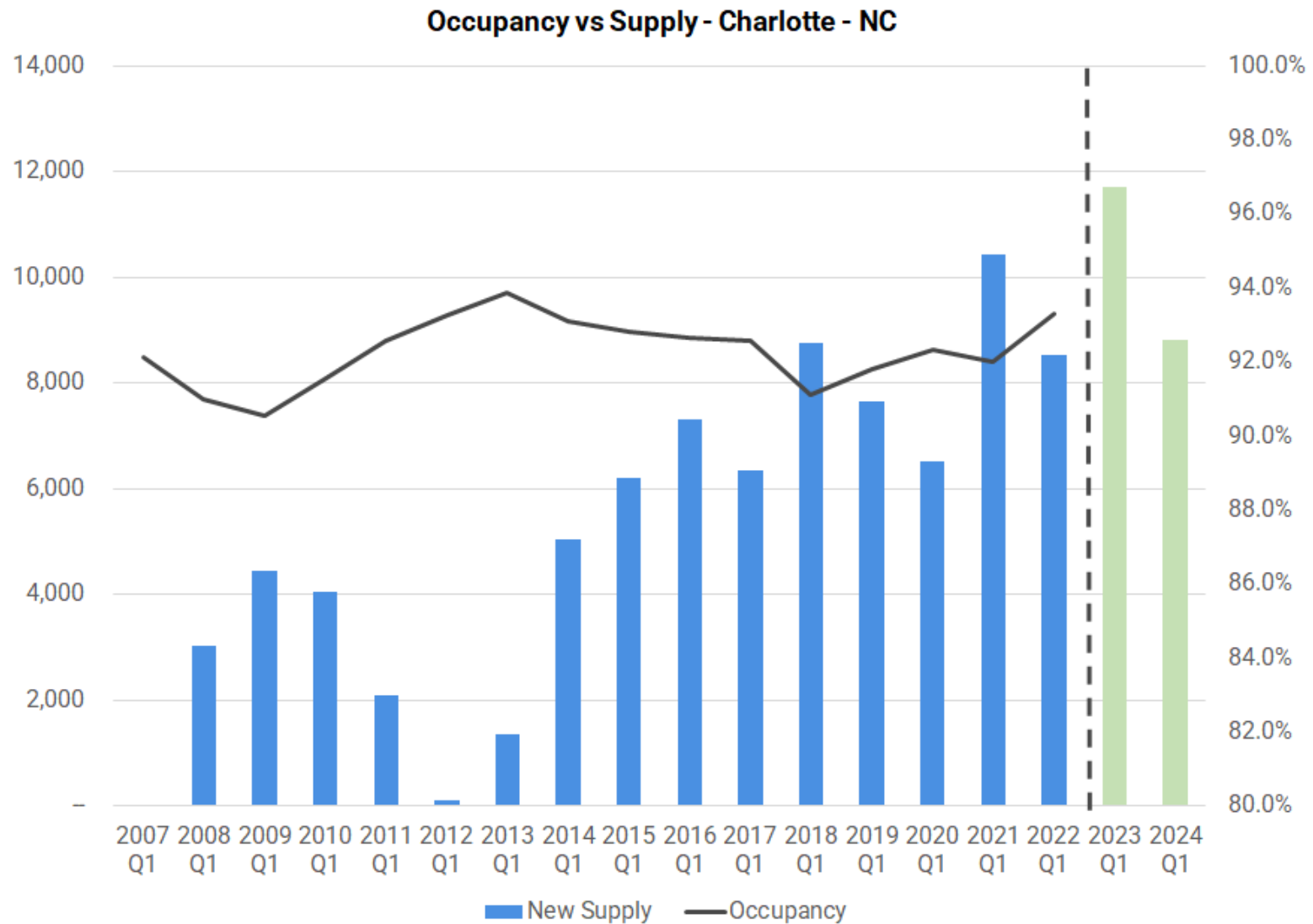
According to Cadre's data science team, Charlotte's multifamily price appreciation was the fourth highest in the country over the past year at 21.2%, and third highest over the past three years at 18.2% annualized



²⁸ Source: Cadre Data Science Multifamily Price Indices as of 3/31/2022, based on the 30 largest CBSA's by population. Cadre Price Indices are based on a time series of unleveraged U.S. commercial property values using actual transactions to measure commercial real estate price movements using repeat-sales regression to intuitively learn CBSA and asset class factor betas

Market Fundamentals²⁹

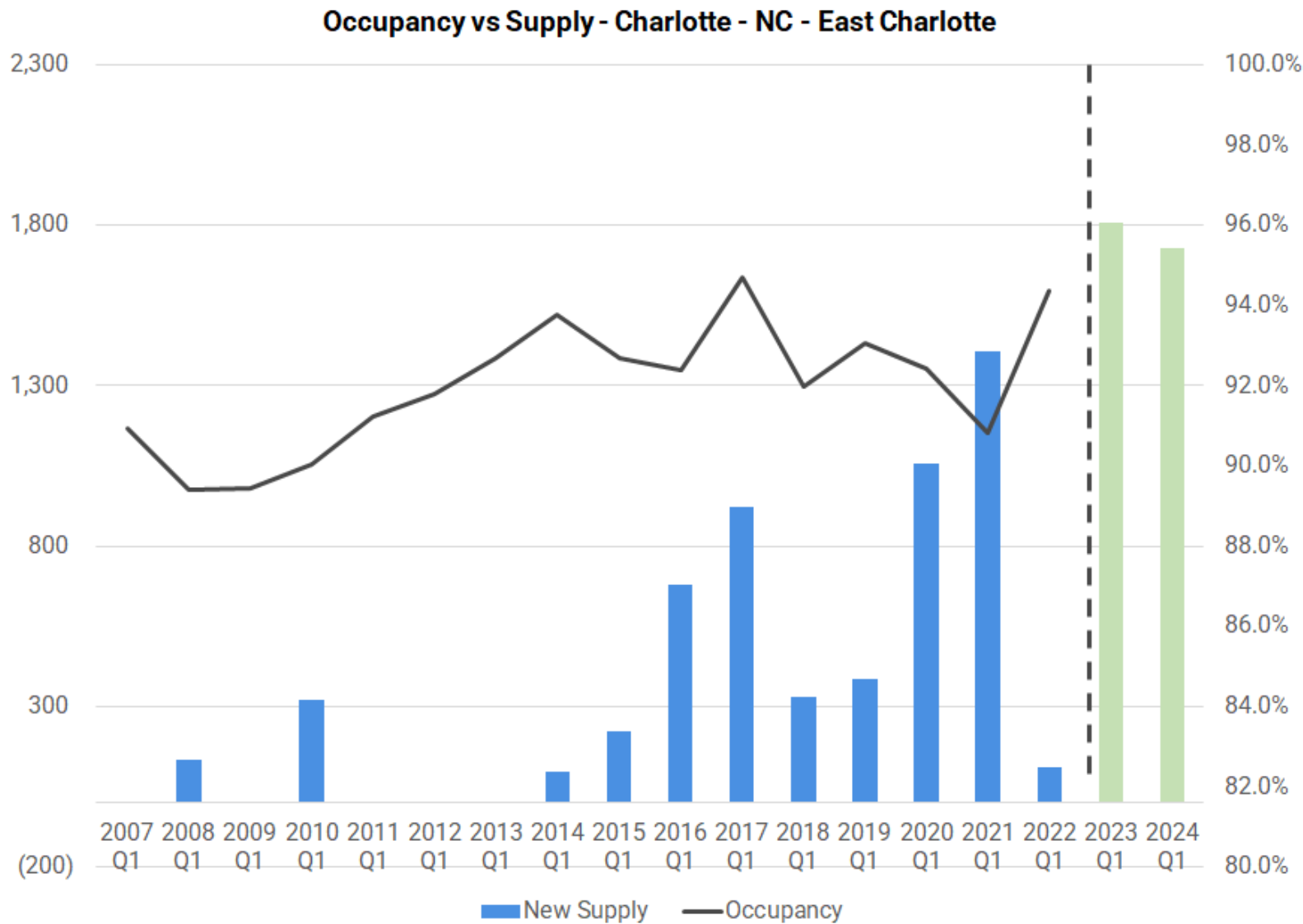
Despite the lingering effects of the pandemic, Charlotte saw its highest year of net absorption on record, with strong demand projected to persist with oncoming new supply. Year-over-year rent growth accelerated to 17.3% as of Q1 2022, with rents still remaining affordable and below national averages, attracting corporate relocations and boosting population growth



²⁹ Source: CoStar, as of March 2022

Submarket Fundamentals³⁰

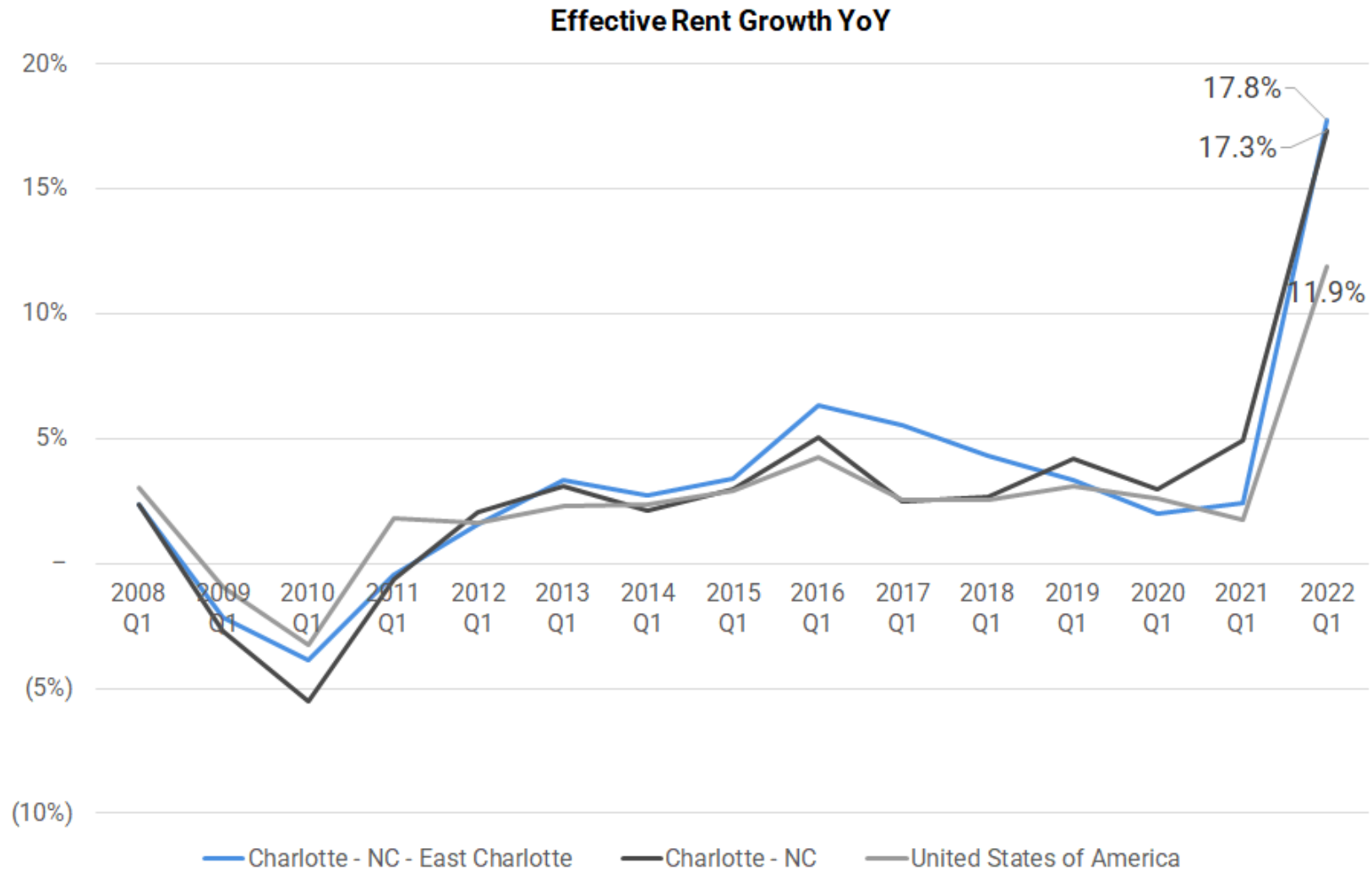
The Asset’s submarket, East Charlotte, has seen high levels of construction, but has been able to absorb the new supply. Notably, despite seeing its inventory grow by over 16% during the past five years, occupancy has remained strong due to high demand



³⁰ Source: CoStar, as of March 2022

Rent Growth³¹

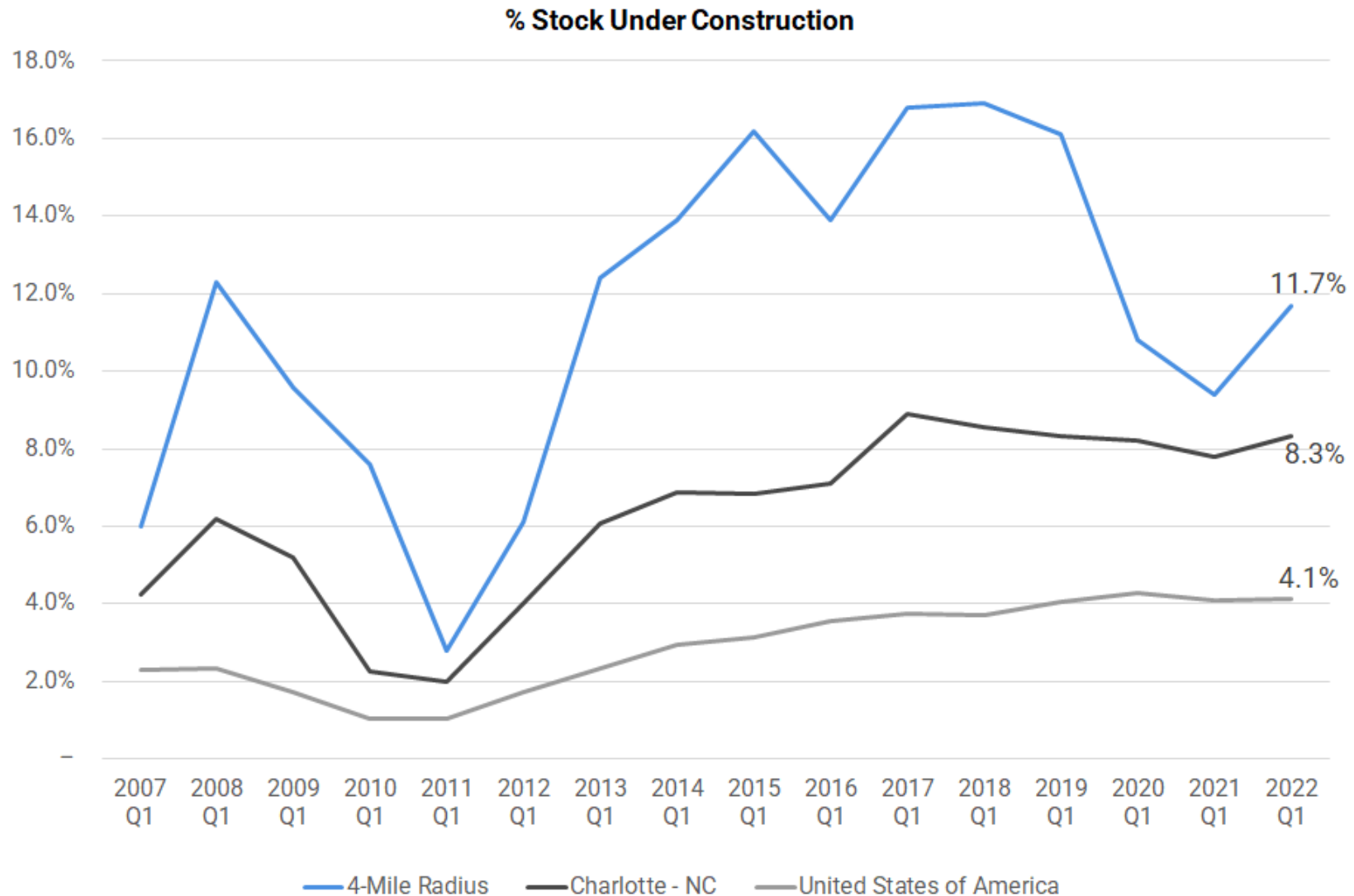
The Charlotte MSA has been experiencing strong rent growth, significantly outperforming the national average and achieving major gains post-pandemic. The combination of job and population growth will continue to drive occupancy and rents



³¹ Source: CoStar, as of March 2022; Effective Rent Growth YoY = (Current Year's Market Effective Rent Per Unit / Prior Year's Market Effective Rent Per Unit) - 1

Multifamily Supply³²

Demand continues to outpace new supply, leading to average annual rent growth of 6.3% and 6.5% in Charlotte and the Asset's submarket, respectively, from 2016-2021



³² Source: CoStar, as of March 2022; % Stock Under Construction = Number of Units Under Construction / Total Unit Inventory

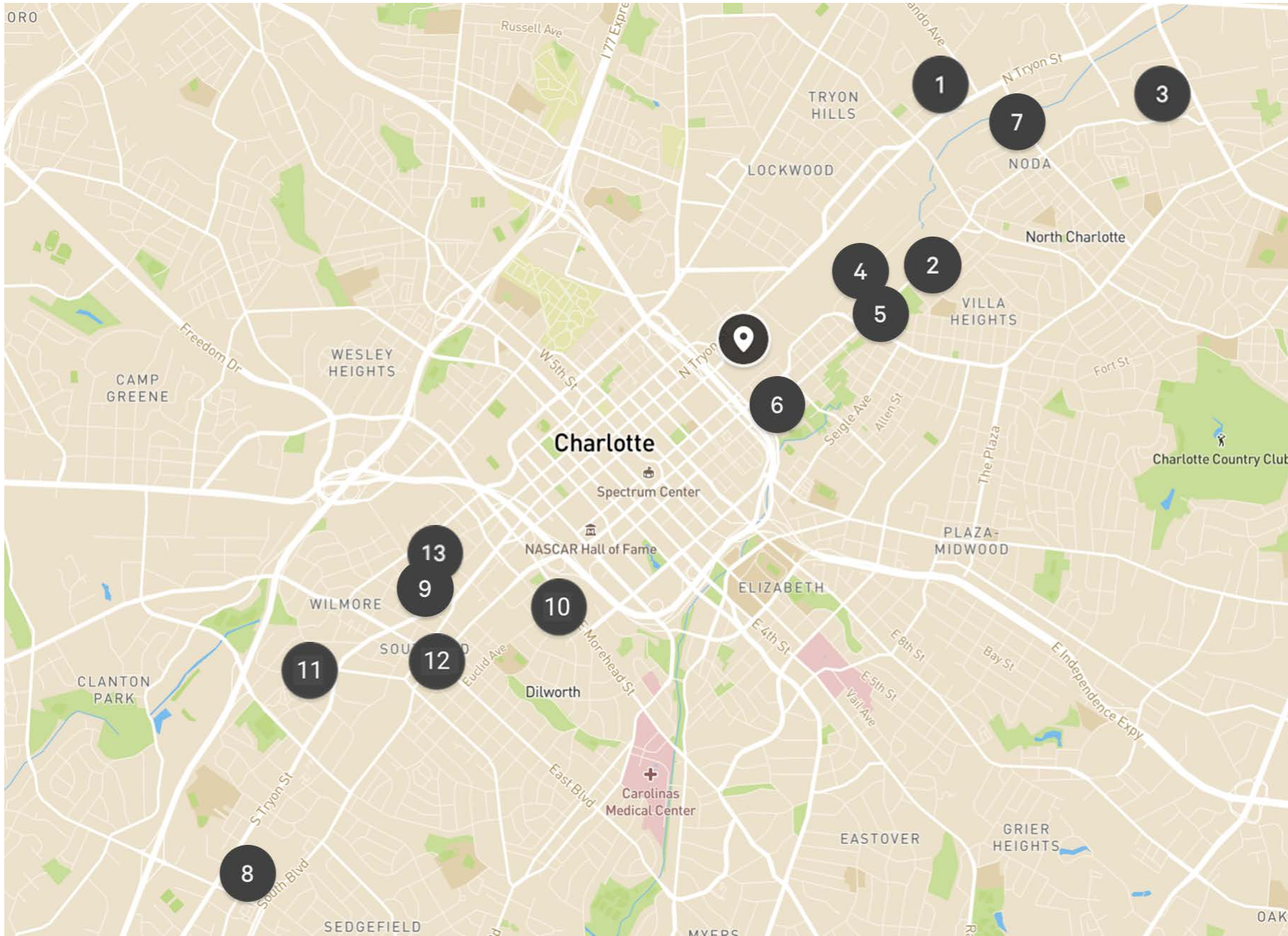
Land Sale Comparables³³

Land pricing of \$23k per unit is a 27% discount to recent land trades in NoDa, and a 49% discount to recent land trades in South End

#	Date	Asset	Units	Purchase Price	
				\$000s	\$000 / Unit
1)	On the Market	3027 N Tryon	350	\$13,975	\$40
2)	Under Contract	Flournoy NoDa	250	\$8,000	\$32
3)	Jul-21	Trailhead District	325	\$7,500	\$23
4)	May-21	Broadstone Optimist Park	323	\$10,000	\$31
5)	Apr-21	Alta Filament	352	\$8,600	\$30
6)	Feb-21	1000 N Davidson	287	\$6,875	\$24
7)	Dec-20	Grubb NoDa	300	\$11,000	\$37
NoDa Land Comparables Total / Weighted Average			2,187	\$65,950	\$31
8)	Under Contract	200 Clanton	436	\$17,611	\$40
9)	Oct-21	Winnifred Towers	290	\$13,000	\$45
10)	Jul-21	701 E Morehead	274	\$11,000	\$40
11)	Jul-21	Everly	253	\$10,300	\$41
12)	Jul-21	Ascent South End	337	\$17,550	\$52
13)	Dec-20	Haven South End	305	\$15,500	\$51
South End Land Comparables Total / Weighted Average			1,459	\$84,961	\$45
200 Wadsworth - Land Price			350	\$7,963	\$23
% Premium (Discount) to NoDa Land Comparables					(27%)
% Premium (Discount) to South End Land Comparables					(49%)

³³ Source: RCA, CoStar and Sponsor, as of March 2022

Land Sale Comparables Map



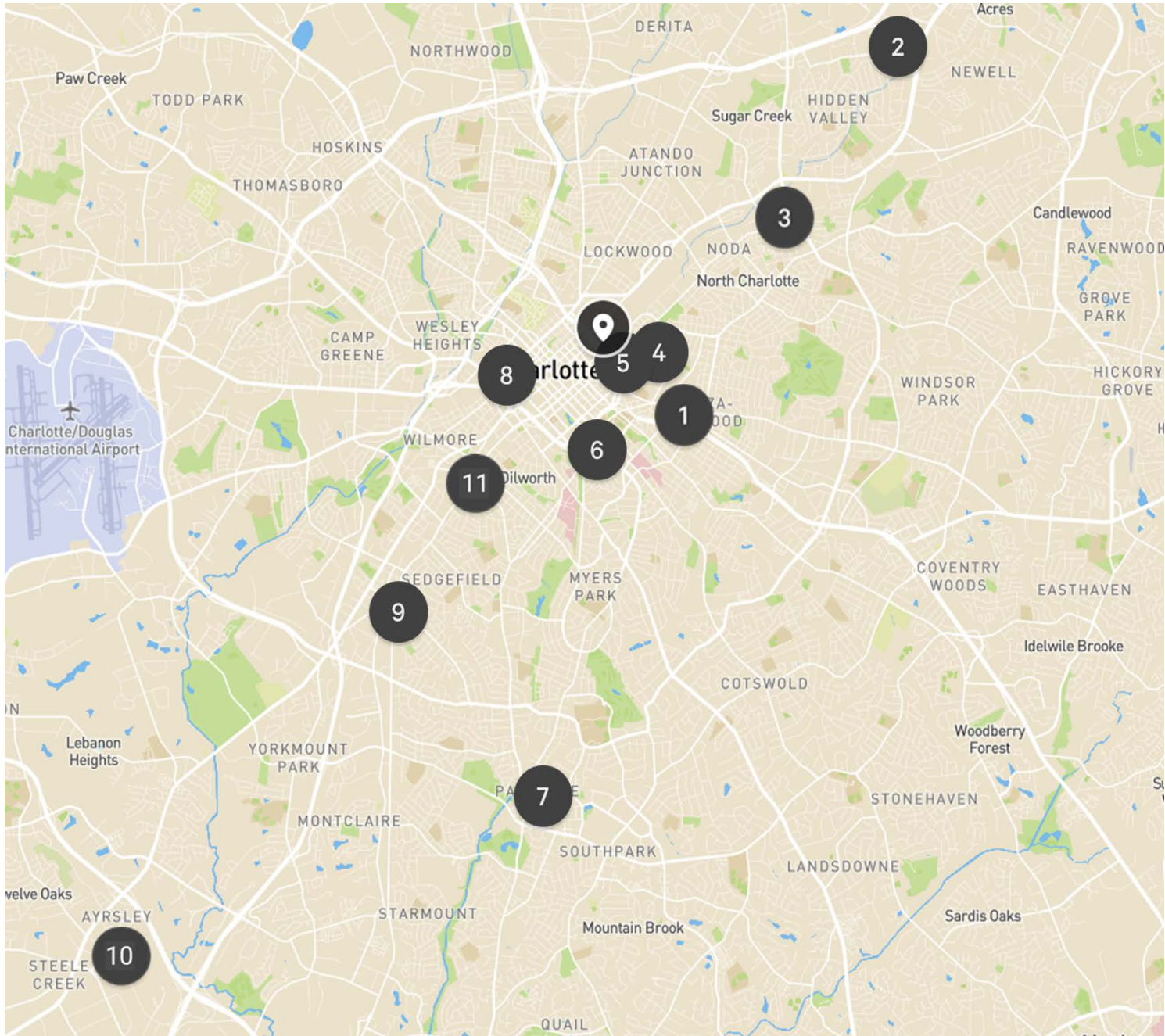
Sale Comparables³⁴

Our development cost of \$306k per unit / \$351 psf compares favorably to recent sale comparables in the market, averaging a 9% psf discount to NoDa sale comps and 30% per unit / 28% psf discount to recent South End and other nearby trades

#	Date	Asset	Units	Avg. Size	Year Built	Purchase Price			Cap Rate
						\$000s	\$ / Unit	\$ PSF	
1)	On the Market	Metro 808	237	925	2011	\$77,499	\$327,000	\$354	
2)	On the Market	Lumeo at Tryon Park	314	809	2021	\$97,340	\$310,000	\$383	3.1%
3)	Under Contract	Amaze @Noda	298	743	2020	\$90,890	\$305,000	\$410	2.8%
4)	Jan-22	Alta Purl	341	892	2020	\$129,580	\$380,000	\$426	
5)	Nov-21	Alpha Mill (Phase I & II)	267	795	2007	\$73,828	\$276,509	\$348	
NoDa Total / Weighted Average			1,457	836	2016	\$469,137	\$321,988	\$387	3.0%
6)	On the Market	Marq Midtown 205	261	815	2015	\$93,960	\$360,000	\$442	
7)	Under Contract	Hazel South Park	203	1,167	2020	\$137,025	\$675,000	\$578	
8)	Under Contract	Element Uptown	352	886	2014	\$154,880	\$440,000	\$497	
9)	Under Contract	Artistry at LoSo	350	803	2021	\$129,500	\$370,000	\$461	
10)	Feb-22	Broadstone Ayrley	320	943	2021	\$112,000	\$350,000	\$371	
11)	Dec-21	Novel Atherton	346	837	2019	\$176,000	\$508,671	\$608	
South End & Nearby Total / Weighted Average			1,832	905	2018	\$803,365	\$438,518	\$490	--
200 Wadsworth - Development Cost			350	870	2024	\$107,047	\$305,848	\$351	5.1%
% Premium (Discount) to NoDa							(5%)	(9%)	217 bps
% Premium (Discount) to South End & Nearby							(30%)	(28%)	--

³⁴ Source: RCA and CoStar, as of April 2022

Sale Comparables Map



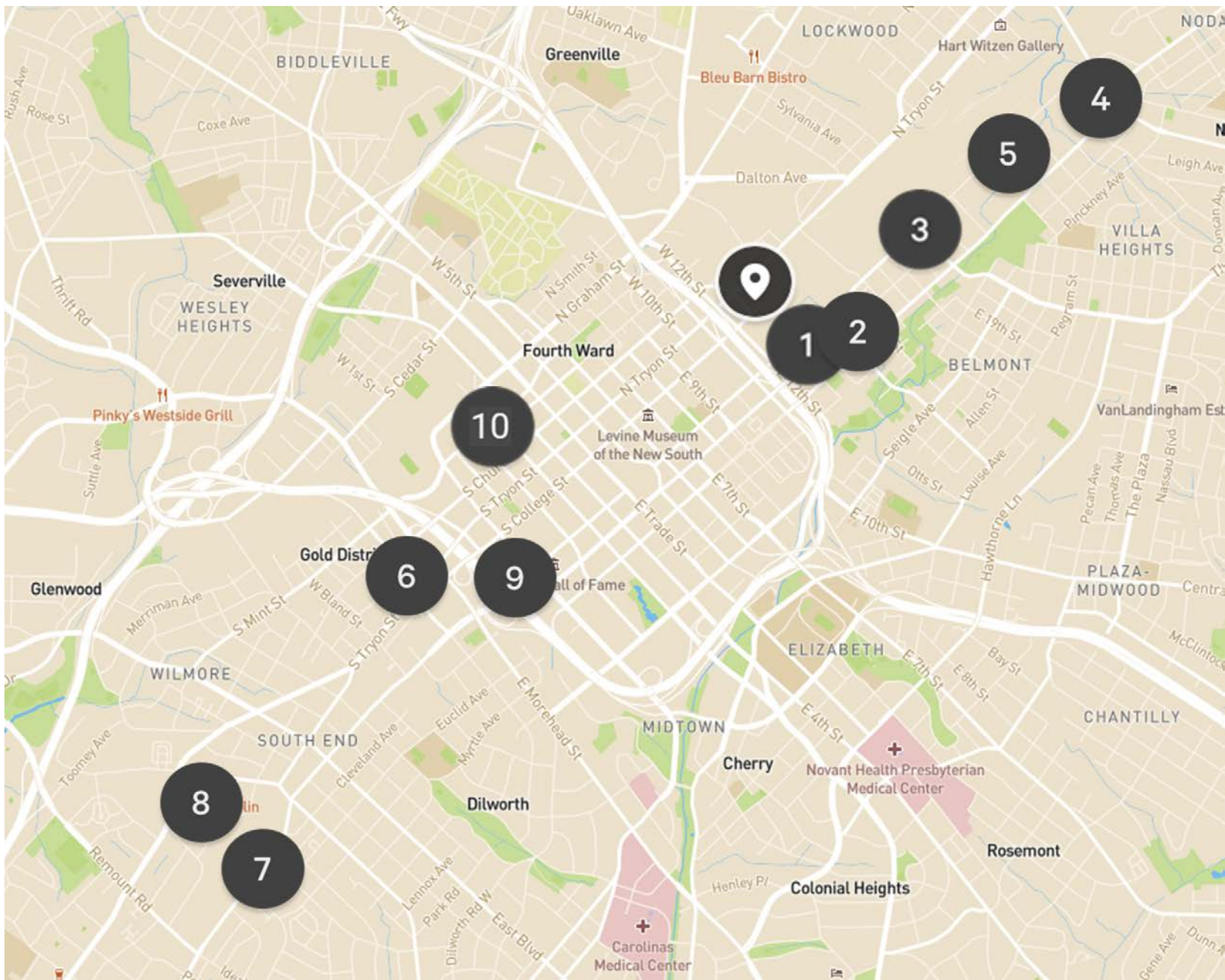
Lease Comparables³⁵

Primary lease comparables are Alton Optimist Park (#1) and Alta Purl (#2), which are located within a few blocks of the Asset

#	Property Name	Year	Units	Occ.	Studio			1 Bedroom			2 Bedroom			Average Unit (0-2 Bed)		
					Avg SF	\$ Rent	Rent/SF	Avg SF	\$ Rent	Rent/SF	Avg SF	\$ Rent	Rent/SF	Avg SF	\$ Rent	Rent/SF
1)	Alton Optimist Park	2019	238	99%	663	\$1,465	\$2.21	757	\$1,807	\$2.39	1,187	\$2,246	\$1.89	892	\$1,934	\$2.17
2)	Alta Purl	2020	341	95%	--	--	--	694	\$1,792	\$2.58	1,192	\$2,072	\$1.74	862	\$1,886	\$2.19
3)	Cortland NoDa	2019	309	95%	569	\$1,554	\$2.73	742	\$1,776	\$2.39	1,123	\$2,265	\$2.02	858	\$1,924	\$2.24
4)	Bainbridge NoDa	2020	273	96%	640	\$1,450	\$2.27	757	\$1,801	\$2.38	1,131	\$2,196	\$1.94	873	\$1,913	\$2.19
5)	Live @ Noda	2019	261	98%	578	\$1,350	\$2.34	722	\$1,450	\$2.01	1,112	\$2,250	\$2.02	842	\$1,704	\$2.02
NoDa - Total/WA		2019	1,422	96%	632	\$1,475	\$2.33	733	\$1,720	\$2.35	1,154	\$2,188	\$1.90	865	\$1,861	\$2.15
6)	The Crown of Queen City	2020	260	95%	572	\$1,654	\$2.89	729	\$1,905	\$2.61	1,124	\$2,611	\$2.32	850	\$2,122	\$2.50
7)	Novel Atherton	2019	346	98%	589	\$1,719	\$2.92	759	\$2,121	\$2.79	1,079	\$2,739	\$2.54	855	\$2,303	\$2.69
8)	The Penrose	2018	350	99%	574	--	--	763	\$2,079	\$2.72	1,084	\$2,964	\$2.73	859	\$2,377	\$2.77
9)	Novel to The Francis Uptown	2018	459	90%	525	\$1,529	\$2.91	728	\$2,051	\$2.82	1,176	\$3,119	\$2.65	864	\$2,373	\$2.75
10)	Ascent Uptown	2017	300	95%	523	\$1,589	\$3.04	868	\$1,970	\$2.27	1,322	\$3,341	\$2.53	1,000	\$2,396	\$2.40
South End & Uptown - Total/WA		2018	1,715	95%	557	\$1,620	\$2.94	775	\$2,029	\$2.62	1,179	\$3,020	\$2.56	896	\$2,332	\$2.60
200 Wadsworth - Market Rents			350		529	\$1,415	\$2.68	760	\$1,684	\$2.22	1,132	\$2,198	\$1.94	870	\$1,838	\$2.11
% Premium (Discount) to NoDa					(16%)	(4%)	15%	4%	(2%)	(6%)	(2%)	0%	2%	1%	(1%)	(2%)
% Premium (Discount) to South End & Uptown					(5%)	(13%)	(9%)	(2%)	(17%)	(15%)	(4%)	(27%)	(24%)	(3%)	(21%)	(19%)

³⁵Source: CoStar and property websites, as of March 2022. Average Unit SF and Rent is weighted by unit mix of Subject

Lease Comparables Map



Financials

Sources and Uses

Sources	\$000	%	Uses	\$000	\$/unit
Acquisition Debt	\$63,250	57%	Unlevered Development Budget	\$102,985	\$294k
			Financing and Operating Carry	2,786	8k
			Sponsor Acquisition Fee	100	0k
Cadre Equity (95% of JV Equity)	45,600	41%	Loan Fees	636	2k
Sponsor Equity (5%)	2,189	2%	Transaction Costs	528	2k
Total Equity	47,789	43%			
			Cadre Fund Costs & Fees and Carry	4,004	11k
Total Sources	\$111,039	100%	Total Uses	\$111,039	\$317k

Key Assumptions Summary

Assumptions		Comments
Market Rent	\$1,838 / \$2.11 psf	Untrended rents at a 1% discount (2% psf) to lease comparables within NoDa and a 21% discount (19% psf) to lease comparables in South End and Uptown
Market Rent Growth	3.1% CAGR	Rent growth: 3.25% Year 1, 3.00% Years 2-4 Market: 19.2% YoY rent growth in 2021; 6.3% projected for 2022, and 4.4% for 2023 Submarket: 20.1% YoY rent growth in 2021; 4.6% projected for 2022, and 4.3% for 2023
Stabilized Occupancy	94.8% / 92.9%	Finalize lease-up in month 36, and stabilize at 94.8% physical occupancy / 92.9% economic occupancy Stabilized concessions of 0.9%, bad debt of 0.7%, and 1 model unit
Lease-Up	20 units / mo	Lease-up at a rate of 20 units per month with first units taking occupancy in May 2024 Offer concessions of 2 months free for the first 80% of lease-up, then 1.5 months free for the final 20%
Financing	59.1% LTC	Proceeds: \$63.3mm 59.1% LTC Rate: SOFR+2.45% Interest-Only: 42 Months Term: 42 Months w/ 12.5bps Extension Fee
Exit	4.25%	Exit year 4 at a 4.25% cap rate Exit basis: \$413k per unit / \$475 psf

Cash Flow Summary

Cash Flow Summary FYE 04/30	Close 4/30/22	Year 1 4/30/23	Year 2 4/30/24	Year 3 4/30/25	Year 4 4/30/26
Development Cost	(11,128)	(12,182)	(53,825)	(26,457)	(21)
Net Sale Proceeds		–	–	–	144,017
Total Revenues		–	–	\$2,756	\$7,779
Total Operating Expenses		–	(116)	(1,813)	(2,397)
Operating Cash Flow	(11,128)	(\$12,182)	(\$53,941)	(\$25,514)	\$149,378
Tax Abatement (Brownfield Credits)		–	–	\$223	\$634
Replacement Reserves		–	–	(31)	(94)
Sponsor AM Fee		–	(18)	(73)	(73)
Unlevered Cash Flow	(11,128)	(\$12,182)	(\$53,959)	(\$25,395)	\$149,845
Unlevered IRR	15.9%				
Construction Loan Proceeds / Repayment	–	–	38,498	24,752	(62,638)
Debt Service	–	–	(591)	(3,070)	(3,898)
Loan Fees	(636)	–	–	–	(79)
Refinancing Loan Proceeds / Repayment	–	–	–	–	–
Debt Service	–	–	–	–	–
Deal Cash Flow	(\$11,764)	(\$12,182)	(\$16,053)	(\$3,713)	\$83,230
Deal IRR / Equity Multiple	22.2% / 1.9x				
Less: Promote	–	–	–	–	(9,033)
Cadre Share of Net Levered CF	(11,176)	(11,573)	(15,250)	(3,527)	70,487
Less: Cadre Acquisition Fee	(1,542)	–	–	–	–
Less: Cadre AM Fee (2.0% of Equity Value)	–	(348)	(713)	(827)	(1,248)
Less: Cadre Fund Costs	(\$400)	(65)	(65)	(65)	(65)
Plus: Cadre Reserve	–	–	–	–	–
Cadre Cash Flow	(\$13,118)	(\$11,986)	(\$16,028)	(\$4,419)	\$69,174
Net IRR	14.0%				
Net Equity Multiple	1.5x				
Profit	\$23,622				

Sensitivity Analysis

		Exit Cap Rate (%)						
		3.95%	4.05%	4.15%	4.25%	4.35%	4.45%	4.55%
Market Rent Growth CAGR	2.2%	14.7%/1.6x	13.9%/1.5x	13.1%/1.5x	12.1%/1.4x	11.1%/1.4x	10.1%/1.4x	9.2%/1.3x
	2.5%	15.2%/1.6x	14.4%/1.5x	13.7%/1.5x	12.7%/1.5x	11.8%/1.4x	10.8%/1.4x	9.9%/1.4x
	2.8%	15.7%/1.6x	14.9%/1.6x	14.2%/1.5x	13.4%/1.5x	12.5%/1.5x	11.5%/1.4x	10.6%/1.4x
	3.1%	16.2%/1.6x	15.4%/1.6x	14.7%/1.5x	14.0%/1.5x	13.1%/1.5x	12.2%/1.4x	11.2%/1.4x
	3.4%	16.7%/1.6x	15.9%/1.6x	15.2%/1.6x	14.4%/1.5x	13.7%/1.5x	12.9%/1.5x	11.9%/1.4x
	3.7%	17.2%/1.7x	16.4%/1.6x	15.6%/1.6x	14.9%/1.6x	14.2%/1.5x	13.5%/1.5x	12.6%/1.5x
	4.0%	17.7%/1.7x	16.9%/1.6x	16.1%/1.6x	15.4%/1.6x	14.7%/1.6x	14.0%/1.5x	13.3%/1.5x
	\$/Unit	\$444,351	\$433,380	\$422,937	\$412,985	\$403,492	\$394,424	\$385,756
		Exit Cap Rate (%)						
		3.95%	4.05%	4.15%	4.25%	4.35%	4.45%	4.55%
Average Rent Per Unit / PSF	\$1,708 / \$1.96	12.9%/1.5x	11.9%/1.4x	10.9%/1.4x	9.9%/1.3x	8.9%/1.3x	7.8%/1.3x	6.7%/1.2x
	\$1,751 / \$2.01	14.2%/1.5x	13.3%/1.5x	12.3%/1.4x	11.3%/1.4x	10.4%/1.4x	9.4%/1.3x	8.4%/1.3x
	\$1,795 / \$2.06	15.2%/1.6x	14.4%/1.5x	13.7%/1.5x	12.7%/1.5x	11.8%/1.4x	10.8%/1.4x	9.9%/1.3x
	\$1,838 / \$2.11	16.2%/1.6x	15.4%/1.6x	14.7%/1.5x	14.0%/1.5x	13.1%/1.5x	12.2%/1.4x	11.2%/1.4x
	\$1,882 / \$2.16	17.2%/1.7x	16.4%/1.6x	15.6%/1.6x	14.9%/1.6x	14.2%/1.5x	13.5%/1.5x	12.6%/1.5x
	\$1,925 / \$2.21	18.1%/1.7x	17.3%/1.7x	16.6%/1.6x	15.8%/1.6x	15.1%/1.6x	14.5%/1.5x	13.8%/1.5x
	\$1,969 / \$2.26	19.1%/1.8x	18.3%/1.7x	17.5%/1.7x	16.8%/1.6x	16.1%/1.6x	15.4%/1.6x	14.7%/1.6x
		Absorption Per Month (units)						
		11	14	17	20	23	26	29
Average Rent Per Unit / PSF	\$1,708 / \$1.96	9.4%/1.3x	9.6%/1.3x	9.8%/1.3x	9.9%/1.3x	10.1%/1.4x	10.2%/1.4x	10.3%/1.4x
	\$1,751 / \$2.01	10.6%/1.4x	10.8%/1.4x	11.0%/1.4x	11.3%/1.4x	11.5%/1.4x	11.7%/1.4x	11.8%/1.4x
	\$1,795 / \$2.06	12.1%/1.4x	12.3%/1.4x	12.5%/1.5x	12.7%/1.5x	12.9%/1.5x	13.1%/1.5x	13.2%/1.5x
	\$1,838 / \$2.11	13.4%/1.5x	13.6%/1.5x	13.8%/1.5x	14.0%/1.5x	14.1%/1.5x	14.2%/1.5x	14.3%/1.5x
	\$1,882 / \$2.16	14.2%/1.5x	14.4%/1.5x	14.7%/1.5x	14.9%/1.6x	15.1%/1.6x	15.2%/1.6x	15.3%/1.6x
	\$1,925 / \$2.21	13.3%/1.6x	15.5%/1.6x	15.6%/1.6x	15.8%/1.6x	16.0%/1.6x	16.1%/1.6x	16.2%/1.6x
	\$1,969 / \$2.26	16.2%/1.5x	16.4%/1.6x	16.6%/1.6x	16.8%/1.6x	16.9%/1.7x	17.0%/1.7x	17.1%/1.7x
		Market Rent Growth CAGR						
		2.2%	2.5%	2.8%	3.1%	3.4%	3.7%	4.0%
Construction Cost Variance	(6.5%)/(\$6.0)mm	14.3%/1.6x	14.9%/1.6x	15.4%/1.6x	15.9%/1.6x	16.4%/1.6x	16.8%/1.7x	17.3%/1.7x
	(4.4%)/(\$4.0)mm	13.8%/1.5x	14.3%/1.6x	14.8%/1.6x	15.2%/1.6x	15.7%/1.6x	16.2%/1.6x	16.7%/1.7x
	(2.2%)/(\$2.0)mm	13.0%/1.5x	13.6%/1.5x	14.1%/1.5x	14.6%/1.6x	15.1%/1.6x	15.6%/1.6x	16.1%/1.6x
	–	12.1%/1.4x	12.7%/1.5x	13.4%/1.5x	14.0%/1.5x	14.4%/1.5x	14.9%/1.6x	15.4%/1.6x
	2.2%/\$2.0mm	11.2%/1.4x	11.8%/1.4x	12.5%/1.4x	13.2%/1.5x	13.8%/1.5x	14.3%/1.5x	14.7%/1.5x
	4.4%/\$4.0mm	10.3%/1.4x	11.0%/1.4x	11.7%/1.4x	12.3%/1.4x	13.0%/1.5x	13.6%/1.5x	14.1%/1.5x
	6.5%/\$6.0mm	9.5%/1.3x	10.2%/1.3x	10.9%/1.4x	11.6%/1.4x	12.3%/1.4x	12.9%/1.4x	13.6%/1.5x
								RoC
								5.5%
								5.4%
								5.2%
								5.1%
								5.0%
								4.9%
								4.8%

Fees

Cadre Fees

- 3.5% commitment fee on Cadre equity
- 1.5% annual asset management fee on the fair value³⁶ of investor equity
- 0.5% administration fee on the fair value of investor equity
- 15% Share of Sponsor Promote

Sponsor and Management Fees

- \$100k Sponsor Acquisition Fee
- Development Fee of ~3.5% of hard costs
- Construction Management Fee of 1.0% of hard costs actually incurred and set forth in the approved development budget
- Asset Management Fee of \$6,100 per month, commencing 90 days prior to first C/O
- Property Management Fee of 3.0% of gross revenue, but not less than \$14k per month
- Promote equal to:
 - 27.0% of distributions following return of capital and 9.0% annualized deal return
 - 37.0% of distributions above a 12.5% annualized deal return
 - 55.0% of distributions above a 17.5% annualized deal return
 - Sponsor and Cadre to split the Sponsor Promote 85%/15%

Key Joint Venture Terms

Major Decisions and Refinancing

The Sponsor will serve as the day-to-day developer and manager of the joint venture executing the business plan. Cadre will control customary major decisions including for (1) sale and refinancing; and (2) approval of the development and operating budget.

Upon Substantial Completion, Sponsor can initiate a sale of the asset, subject to Cadre achieving a 1.3x multiple and 14% IRR. Cadre has unencumbered sale rights after the first anniversary of the date on which substantial completion occurs.

³⁶ See Section 8.7 of the Fund's Partnership Agreement for a determination of "fair value"

Sponsor Overview³⁷



Founded in 2009 by the partners of JPI East, Jefferson Apartment Group (JAG) is a full-service real estate firm specializing in acquisitions, development, construction, and property management services with a primary focus on multifamily and mixed-use projects in major east coast markets. JAG's four partners have been investing together since 2000 and have been responsible for the acquisition and development of over 21k units with a value in excess of \$4bn across 12 states. They have long-standing relationships with many equity partners and lenders including Starwood Capital, AIG, AEW, LaSalle, MAA, Northwestern Mutual, KKR and Wells Fargo.

Since 2010, JAG has managed the investment of \$1.7bn of capital with a total value of \$2.2bn. They have developed 23 projects (~5.5k units) with over 134k sf of integrated retail at a \$1.6bn cost basis. JAG has also acquired 6 existing assets, representing \$490mm in gross value.

Property Manager

JAG Property Management provides professional property management for Jefferson Apartment Group's owned assets, as well as for third-party owned communities. They have managed over 22.6k units and completed more than 60 lease-ups.

Select JAG Developments



Jefferson 14W (Washington DC)



Jefferson Marketplace (Washington DC)



420 East (Orlando)

³⁷ Source: Sponsor Company Overview, February 2021

Appendix A: Summary of Principal Terms of the Investor Partnership

The following is a summary of principal terms and conditions ("Summary of Terms") of Wadsworth NC Investors LP, a Delaware limited partnership (the "Main Fund"), and Wadsworth NC Investors Parallel LP, a Delaware limited partnership (the "Parallel QP Fund" and collectively with the Main Fund, the "Fund"). This summary does not purport to be complete and is qualified in its entirety by reference to the terms of the Amended and Restated Limited Partnership Agreement of each of the Main Fund and the Parallel QP Fund (as amended from time to time, the "Fund Agreements") and the form of subscription agreement relating to the purchase of an interest in the Fund (the "Subscription Agreement"). Such documents should be reviewed carefully in their entirety prior to the submission of a subscription for any interest in the Fund. This Summary of Terms forms a part of the Final Investment Memorandum (together with all of its annexes, the "Memorandum") to which it is attached.

Fund

The Fund is conducting a single offering of interests in two funds: (a) Wadsworth NC Investors LP, a Delaware limited partnership (the "Main Fund"), and (b) Wadsworth NC Investors Parallel LP, a Delaware limited partnership (the "Parallel QP Fund" and collectively with the Main Fund, the "Fund"), each of which will invest in the Joint Venture (as defined below) on a *pro rata* basis based on their respective Capital Commitments (as defined below).

The Main Fund is intended primarily for Investors (defined below) subject to U.S. federal income taxation and certain U.S. Investors that are exempt from U.S. federal income taxation. The Parallel QP Fund is designed primarily for non-U.S. Investors and certain other U.S. Investors that are exempt from U.S. federal income taxation for which the Main Fund is not suitable for investment. Prospective Investors should consult with their tax and legal advisors to determine whether the Main Fund or the Parallel QP Fund is suitable for them and not rely on statements contained herein with respect to suitability of the Main Fund or the Parallel QP Fund.

References in the Memorandum to the "Fund" should be understood to refer to the Main Fund and the Parallel QP Fund, unless otherwise indicated.

General Partner

Wadsworth NC GP LLC, a Delaware limited liability company (the "General Partner"), will serve as the general partner of the Fund. The General Partner will have overall responsibility for the management, operations and investment decisions made on behalf of the Fund. The General Partner is a wholly owned subsidiary of Quadro Partners, Inc., a Delaware corporation ("Cadre").

Manager

CCV LLC, a Delaware limited liability company (the "Manager"), will serve as the manager to the Fund. The Manager is a wholly owned subsidiary of Cadre.

The Manager will provide management services to the Fund pursuant to the terms of a management agreement (the "Management Agreement"). The General Partner will remain responsible for the control of the Fund's business.

Investment Objective

The Fund's primary investment objective is to generate attractive risk-adjusted returns through an equity investment (the "Investment") into a joint venture (the "Joint Venture") comprised of one or more investment vehicles affiliated with Jefferson Apartment Group ("JAG" or the "Sponsor"). The Joint Venture intends to acquire, develop and operate the 350-unit multifamily asset known as Optimist Park, located in Charlotte, North

Carolina (collectively, the "Property"). The Joint Venture may also acquire additional real property assets ("Additional Property").

The Sponsor, the Main Fund and Other Cadre Vehicles (defined below) are expected to co-manage the Joint Venture, each with certain rights and obligations in their respective capacities as co-managers. In addition, the Fund shall have certain consent rights with respect to major decisions for the Joint Venture.

Capital Commitments

The Fund is targeting aggregate capital commitments ("Capital Commitments") of approximately \$16,764,000 from investors ("Investors"), but reserves the right to accept aggregate Capital Commitments less than or in excess of this amount.

Capital Contributions

Investors will be required to satisfy their Capital Commitments by making capital contributions to the Fund ("Capital Contributions") up to the amount of their Capital Commitments, from time to time during the term of the Fund.

Investor Qualifications

It is anticipated that the Main Fund will not be an "investment company" within the meaning of the Investment Company Act of 1940, as amended (the "Investment Company Act") or will not be registered thereunder in reliance on one or more exemptions from registrations therefrom. The Main Fund will be organized to comply with exemption from registration under Section 3(c)(1) of the Investment Company Act and will include only Investors who are deemed to be "accredited investors" as defined under Regulation D of the U.S. Securities Act of 1933, as amended, and those who are deemed to be "qualified purchasers" within the meaning of the Investment Company Act.

The Parallel QP Fund will be organized to comply with exemption from registration under Section 3(c)(7) of the Investment Company Act and will include only Investors who are deemed to be "qualified purchasers" within the meaning of the Investment Company Act.

For a more detailed discussion, see the Annex entitled "Certain Tax, ERISA and Regulatory Considerations - Certain Other Regulatory Considerations."

Initial Capital Provider

A backstop investor or an affiliate of Cadre (the "Initial Capital Provider") may make a Capital Commitment to the Fund on or prior to the Initial Closing in advance of securing Capital Commitments from third party Investors. Any capital contributions ("Capital Contributions") made in respect of the Initial Capital Provider's Capital Commitment will be returned to the Initial Capital Provider to the extent of Capital Contributions as described herein, and the unfunded Capital Commitment of the Initial Capital Provider will be proportionately reduced as provided herein. See "Subsequent Closings" below.

Fund Closings

The date of the initial closing of the purchase and sale of limited partner interests in the Fund (other than to the Initial Capital Provider) shall be deemed the "Initial Closing" of the Fund. The General Partner may hold one or more subsequent closings (each, a "Subsequent Closing" and together with the Initial Closing, each a "Closing") in its sole discretion; provided, that no Subsequent Closing will occur later than 12 months following the Initial Closing.

Subsequent Closings

Each Investor that subscribes for an interest in the Fund at a Subsequent Closing (each, an “Additional Investor”) will be required to contribute on the date of such Closing an amount equal to the same percentage of such Additional Investor’s Capital Commitment as the percentage of the Initial Capital Provider’s Capital Commitment previously contributed by the Initial Capital Provider, less its pro rata share of all distributions made to the Initial Capital Provider prior to the date of the Subsequent Closing. The amount contributed by each Additional Investor will be distributed to the Initial Capital Provider, and such amount, not including the interest component thereon described below, will be treated as a Capital Contribution of such Additional Investor.

Notwithstanding the foregoing, in the event that an Additional Investor subscribes for an interest in the Fund at a Subsequent Closing and the Initial Capital Provider has received a return of all of its Capital Contributions to the Fund, the Additional Investor will be required to contribute on the date of such Subsequent Closing an amount equal to the same percentage of such Additional Investor’s Capital Commitment as the percentage of the existing Investors’ Capital Commitments previously contributed by the existing Investors, less its pro rata share of all distributions made to the existing Investors prior to the date of the Subsequent Closing. The amount contributed by each Additional Investor, not including the interest component thereon described below, will be treated as a Capital Contribution of such Additional Investor.

In addition, each Additional Investor shall owe to the Initial Capital Provider or existing Investors (as applicable) interest on the Capital Contribution made by such Additional Investor at the applicable Subsequent Closing (the “Contribution Interest”). The Contribution Interest for any Additional Investor shall be calculated at a rate of 6%, compounded annually, from the date of the Initial Closing through the date of the Subsequent Closing applicable to such Additional Investor. The Contribution Interest for any Additional Investor shall be, in the General Partner’s discretion, collected from such Additional Investor prior to acceptance of its subscription or distributed to the Initial Capital Provider or existing Investors (as applicable) from available investment proceeds as set forth in “Distribution of Investment Proceeds” below.

In connection with each returned Capital Contribution to the Initial Capital Provider in connection with a Subsequent Closing, the unfunded Capital Commitment of the Initial Capital Provider shall be automatically reduced by the same percentage by which its Capital Contributions are being returned, such that if the Initial Capital Provider receives a return of all of its Capital Contributions to the Fund, the unfunded Capital Commitment of the Initial Capital Provider shall be zero.

Following each Subsequent Closing, each Additional Investor shall receive a distribution equal to its pro rata share of any Distribution Reserves (as defined below) and income and loss allocations will be adjusted so that, to the extent practicable and subject to compliance with Section 514(c)(9)(E) of the Code (as defined below), each Investor in the Fund will have the same income and losses allocated to it as if it had been an Investor in the Fund from the date of the Initial Closing.

Minimum Commitment

The minimum Capital Commitment by an Investor will be \$25,000, although the General Partner reserves the right to accept Capital Commitments of lesser amounts at its sole and absolute discretion.

Capital Contributions

The General Partner expects that (a) the Initial Capital Provider will make a Capital Contribution in respect of its Capital Commitment on the Initial Closing Date and (b) each Additional Investor will make its Initial Contribution

on the date of the applicable Closing (each, an “Initial Contribution”). Except for the Initial Contributions, all of the Capital Contributions requested by the General Partner in respect of the Investors’ Capital Commitments will be due from the Investors upon a minimum of 10 days’ written notice from the General Partner and shall be requested from the Investors pro rata in proportion to their respective Capital Commitments.

Additional Capital Contributions

If, at any time during the term of the Fund, the General Partner determines that the Fund requires additional funds from Investors which exceed the Capital Commitments available to be called from the Investors’ Capital Contributions (“Additional Contributions”), then the General Partner may require Investors to make Additional Contributions in an aggregate amount of up to 10% of the Investors’ Capital Commitments to the Fund (“Required Additional Contributions”). In the event that the General Partner determines that the Fund requires additional funds in excess of 10% of the aggregate Capital Commitments to the Fund, the General Partner may seek additional sources of capital, including by requesting that each Investor make further additional Capital Contributions (“Optional Additional Contributions”) or by offering additional interests in the Fund on terms and conditions to be determined by the General Partner; provided that any such interests shall first be offered to Investors *pro rata* in proportion to their respective Capital Commitments prior to offering any such interests to third parties. Additional sources of capital other than pro rata contributions could impact the Partnership’s compliance with the Fractions Rule (as defined below).

Additional Contributions shall be made *pro rata* in proportion to the Capital Commitments of the Investors to the Fund.

Return of Unused Capital Contributions

If the General Partner determines that the Investment or Partnership Expenses will not require the full amount of Capital Contributions made by the Investors, the General Partner shall refund to the Investors, *pro rata*, the amount of the Capital Contributions which exceeds the portion required to consummate the Investment or pay Partnership Expenses.

Notwithstanding the foregoing, in the event that there is a return of Capital Contributions pursuant to the foregoing paragraph and the Initial Capital Provider has not received a return of all of its Capital Contributions to the Fund, the Initial Capital Provider shall receive 100% of such returned Capital Contributions until it has received a return of all of its Capital Contributions to the Fund.

Failure to Make Capital Contributions

In the event that an Investor fails to make a Capital Contribution in respect of its Capital Commitment or a Required Additional Contribution, such Investor may be subject to substantial penalties, as set forth in the Fund Agreement. In the event that an Investor fails to make an Optional Additional Contribution, such Investor may be subject to economic dilution, as set forth in the Fund Agreement.

Term

The term of the Fund will continue unless otherwise dissolved under the terms of the Fund Agreement; provided that the General Partner shall cause the Fund to exercise the “forced sale” right under the Joint Venture documentation on or prior to the 10th anniversary of the Initial Closing unless (a) the General Partner receives the consent of Investors representing more than 50% in interest of the aggregate Capital Contributions to the Fund to extend for up to 2 additional one-year periods from that anniversary and (b) thereafter, the General Partner received the consent of Investors representing at least 66 2/3% in interest of the aggregate Capital Commitments to the Fund. The Fund will be liquidated following the disposition of the Investment and all of its other assets.

Other Cadre Vehicles	Cadre expects that one or more additional Cadre-sponsored vehicles and managed accounts (collectively, " <u>Other Cadre Vehicles</u> ") will invest through or alongside the Fund in the Joint Venture and will own all of the interests in the Joint Venture allocated to vehicles managed by Cadre or its subsidiaries other than the \$16,764,000 of capital commitments allocated to the Fund.
Investment Restrictions	The Fund shall not make any investments other than the Investment in the Joint Venture (and the indirect investment in the Property and any Additional Property) and short-term investments pending investment or distribution of cash.
Borrowings	In connection with the acquisition and development of the Property, the General Partner anticipates that the Joint Venture will obtain financing on terms summarized in the section of the Memorandum entitled "Financials".
Investment Proceeds	Proceeds realized from the investment in the Joint Venture will be distributed as soon as is reasonably practicable (but no later than 75 days after the quarter in which such proceeds are received) as set forth in "Distribution of Investment Proceeds" below; provided, however, that the General Partner in its sole discretion (a) may withhold from any such distributions reasonable reserves to cover projected obligations of the Fund and (b) may hold in reserve any amounts otherwise distributable to the Initial Capital Provider (" <u>Distribution Reserves</u> ") and subsequently distribute such Distribution Reserves to Additional Investors following Subsequent Closings, subject to reduction for any Contribution Interest owed to the Initial Capital Provider by such Additional Investors. See "Subsequent Closings" above.
Distribution of Investment Proceeds	<p>Each distribution of investment proceeds will initially be apportioned among the Investors in proportion to each Investor's respective Capital Contributions to the Fund (excluding Capital Contributions made in respect of Asset Management Fees). The portion of the distribution apportioned to each Investor will be distributed in the following manner:</p> <p class="list-item-l1">(a) First, 100% to the Initial Capital Provider or existing Investors (as applicable) until the cumulative amount distributed to the Initial Capital Provider or the existing Investors equals any Contribution Interest owed by such Investor to the Initial Capital Provider or the existing Investors; and</p> <p class="list-item-l1">(b) Thereafter, 100% to such Investor.</p> <p>Amounts paid or withheld in respect of taxes by the Fund attributable to a particular Investor, but not all Investors, will be treated as a distribution to such Investor.</p>
Allocation of Profits and Losses	Net profits and losses of the Fund generally will be allocated among the Investors in a manner consistent with the distribution of Investment Proceeds outlined above.
Organizational Expenses	The Fund will be responsible for the organizational expenses of the Fund (including any legal, accounting, filing and other expenses) incurred in connection with the organization of the Fund (" <u>Organizational Expenses</u> "). Each Investor, including those admitted at Subsequent Closings, will bear its <i>pro rata</i> portion of the Organizational Expenses paid by the Fund.

Each of the Main Fund and the Parallel QP Fund will bear its *pro rata* share of all Organizational Expenses, unless the General Partner determines in its discretion that an Organizational Expense should be specifically allocated to the Main Fund or the Parallel QP Fund.

Fund Expenses

The General Partner, the Manager, Cadre and their affiliates will be responsible for all of their own ordinary overhead expenses in connection with their day-to-day operations, including compensation and benefits for their employees and expenses for office space.

The Fund will be responsible for all reasonable expenditures made on behalf of the Fund, including without limitation: (a) all organizational and offering expenses associated with the formation of the Fund and the negotiation, consummation, holding and disposition of the Investment; (b) legal, auditing, consulting, bookkeeping and accounting fees and expenses (including, without limitation, tax advisory, tax compliance and costs for preparation of reports to the Investors and financial statements); (c) expenses of any meetings of the Investors; (d) all insurance and indemnification expenses; (e) all extraordinary Fund expenses such as litigation expenses; (f) all expenses of liquidating the Fund; (g) any taxes, fees or other governmental charges levied against the Fund and all expenses incurred in connection with any tax audit, investigation, settlement or review of the Fund; and (h) the Asset Management Fee and the Administration Fee (each as defined below). The Fund may make a capital call to fund any of the foregoing expenses, and any Capital Contributions made by an Investor in respect thereof will reduce such Investor's unfunded Capital Commitment.

Sponsor Promote

The Sponsor will be entitled to receive a promote from the Joint Venture (the "Promote") in accordance with the terms of the Joint Venture documentation.

An affiliate of the Manager will be entitled to receive 15% of the Promote.

Commitment Fee

Each Investor, including those admitted at Subsequent Closings, shall pay to Cadre or an affiliate thereof at or following such Investor's admission to the Fund a one-time commitment fee (the "Commitment Fee") equal to 3.50% of such Investor's Capital Commitment. To the extent the Commitment Fee is not collected from an Investor upon its first Capital Contribution following such Investor's admission to the Fund or Subsequent Closing, as applicable, the Commitment Fee may be deducted from amounts otherwise distributable to such Investor.

Asset Management Fee

The Manager shall be entitled to an asset management fee on the Investment (the "Asset Management Fee"). The Asset Management Fee shall accrue at an annual rate equal to 1.5% of the fair value of the Main Fund's or Parallel QP Fund's Investment.

The Asset Management Fee will be payable quarterly in advance from available proceeds of the Fund. The Manager may, in its sole and absolute discretion, defer the Asset Management Fee payable in any period and recoup the deferred portion in any subsequent period.

Administration Fee

The Manager shall be entitled to an administration fee on the Investment (the "Administration Fee"). The Administration Fee shall accrue at an annual rate equal to 0.5% of the fair value of the Main Fund's or Parallel QP Fund's Investment.

The Administration Fee will be payable quarterly in advance from available proceeds of the Fund. The Manager may, in its sole and absolute discretion, defer the Administration Fee payable in any period and recoup the deferred portion in any subsequent period.

Other Fees

Affiliates of the General Partner and the Manager, including Cadre and its affiliates, may provide certain services to the Joint Venture, the Property or any Additional Property; provided that any fees charged in connection with such services do not exceed the customary market-rate fees for similar services.

**Transfer of Interests;
Limitations on Withdrawal**

An Investor may not sell, assign or transfer its interests in the Fund without the prior written consent of the General Partner, which the General Partner may grant or withhold in its sole and absolute discretion. Each prospective transferee or assignee of an Investor's interest will be required to make certain representations regarding its eligibility to acquire and hold an interest in the Fund.

An Investor may not withdraw its Capital Commitment to the Fund or any amount from the Fund except as may be required by applicable law.

General Partner Removal

The General Partner may be removed or replaced as General Partner of the Fund at any time following the occurrence of a Cause Event (as defined below) by the affirmative vote or resolution of Investors representing at least 75% in interest of the aggregate Capital Contributions to the Fund (excluding Capital Contributions by the General Partner, the Manager, Cadre or their affiliates). Such removal will become effective 30 days following delivery of written notice of such vote to the General Partner.

As used herein, "Cause Event" means a final, non-appealable judicial determination that the General Partner or the Manager (a) intentionally and materially breached its obligations under a Fund Agreement; (b) engaged in fraud, willful misconduct or gross negligence with respect to the Fund; or (c) violated U.S. securities laws in a manner reasonably expected to have a material adverse effect on the Fund. It is understood that if the General Partner and the Manager shall have terminated the relationship with the person who committed the action giving rise to a Cause Event, the General Partner shall be deemed to have cured the event which is the subject of the Cause Event.

**Indemnification and
Exculpation**

Subject to certain limitations, the Fund will indemnify the General Partner, the Manager, Cadre, the liquidating trustee, and each of their respective affiliates, shareholders, partners, members, managers, owners, employees, directors, officers, advisors and agents, against costs and expenses (including legal costs and expenses), as incurred, in connection each such person's activities on behalf of, or associations with, the Fund, or any investment; provided, that such person (a) acted in good faith; (b) acted in a manner such person believed to be in or not opposed to the best interests of the Fund; (c) did not engage in conduct found by a court of competent jurisdiction to constitute fraud, gross negligence, willful misconduct or a willful breach of any material provision of a Fund Agreement; and (d) in the case of any criminal conduct, did not believe his or her conduct was unlawful.

Liability of Investors

Except as otherwise required by law or the Fund Agreement, no Investor will be liable to the Fund or any third party for the repayment, satisfaction or discharge of the Fund's debts, liabilities and obligations.

Investor Giveback	The General Partner may require an Investor to return certain distributions (not to exceed 25% of cumulative distributions made to such Investor) for the purpose of satisfying the Fund's indemnification obligations and other liabilities, subject to the time and other limitations set forth in the Fund Agreement.
Reporting	As soon as reasonably practicable, but not later than 120 days following General Partner's receipt of the source documentation necessary for its accountants to prepare the following, each Investor will receive: (a) an annual report for the Fund, which shall include the audited financial statements of the Fund and any financial statements prepared by the Joint Venture and (b) information reasonably necessary for Investors to complete tax returns. In addition, the General Partner shall also provide to each Investor any quarterly or similar material reports prepared by the Joint Venture and disseminated to its investors.
Tax Aspects – Main Fund	The Main Fund intends to operate as a partnership for U.S. federal income tax purposes, and intends to be operated in a manner such that it should not be treated as a "publicly traded partnership" for U.S. federal income tax purposes. Each Investor who invests in the Main Fund will be required to include in its taxable income its share of the Main Fund's income and gains, when realized by the Main Fund (regardless of the amount of cash distributions received from the Main Fund by such Investor), and may claim, to the extent allowable, such Investor's share of the Fund's losses and deductions. The allocations in the Fund Agreement for the Main Fund may comply with the "fractions rule" under Section 514(c)(9)(E) of the Internal Revenue Code of 1986, as amended (the "<u>Code</u>") (the "<u>Fractions Rule</u>") and the Treasury Regulations thereunder. However, no assurance can be given that the Main Fund or the Joint Venture will comply with the Fractions Rule, particularly in the event of disproportionate Additional Contributions or returns of unused Capital Contributions, or that the income from the Main Fund will not otherwise constitute unrelated business taxable income. For a more detailed discussion, see the Annex entitled "Certain Tax, ERISA and Regulatory Considerations." An interest in the Parallel QP Fund may be a more suitable investment for certain Investors, as an investment in the Main Fund may not be a suitable investment for such Investors. Specifically, all or a significant portion of the Main Fund's income and gains is expected to be effectively connected with a U.S. trade or business ("<u>ECI</u>") and to constitute unrelated business taxable income ("<u>UBTI</u>") for tax-exempt Investors that are not "qualified organizations" and a portion may constitute UBTI for tax-exempt Investors generally. See "Tax Aspects – Parallel QP Fund" below and the Annex entitled "Certain Tax, ERISA and Regulatory Considerations." Each prospective Investor is urged to consult with such Investor's own tax advisor to fully understand the tax consequences and risks of an investment in the Main Fund.
Tax Aspects – Parallel QP Fund	In order to accommodate Investors who are non-U.S. persons and U.S. tax-exempt Investors who seek to avoid the incurrence of UBTI, the General Partner has formed and will offer interests in the Parallel QP Fund. Investors in the Parallel QP Fund will fund their investment in the Parallel QP Fund in the form of both Capital Contributions to the Parallel QP Fund as well as loans to the Parallel QP Fund, as determined by the General Partner; provided that each Investor in the Parallel QP Fund may determine to fund its Capital Contributions to the Parallel QP Fund through a wholly-owned subsidiary of such Investor. The Parallel QP Fund is a Delaware limited partnership that will elect to be classified as an association taxable as a corporation and will be fully subject to U.S. federal and state corporate taxation. As a result, distributions paid to non-U.S. Investors and tax-exempt Investors in the Parallel QP Fund are not anticipated to be treated as

ECI or UBTI for U.S. federal income tax purposes. Non-U.S. Investors generally will be subject to a 30% withholding tax on non-liquidating dividends from the Parallel QP Fund. Sales of interests in the Parallel QP Fund prior to liquidation generally will result in U.S. withholding tax, ECI and the requirement to file a U.S. federal income tax return. For a more detailed discussion, see the Annex entitled "Certain Tax, ERISA and Regulatory Considerations."

Each prospective investor is urged to consult with such investor's own tax advisor in order to fully understand the tax consequences and risks of an investment in the Parallel QP Fund.

ERISA Investors

Investment in the Fund is expected to be open to institutions including pension funds and other funds subject to the Employee Retirement Income Security Act of 1974, as amended ("ERISA") or Section 4975 of the Code. The Fund may require certain representations or assurances from Investors to determine compliance.

In order to avoid the Fund's assets being classified as "plan assets" of employee benefit plans subject to ERISA or Section 4975 of the Code, the General Partner will use its reasonable efforts to either (a) conduct the Fund's operations so as to qualify as a "real estate operating company" or a "venture capital operating company" under applicable ERISA regulations or (b) limit investment in the Fund by "benefit plan investors" (as defined in Section 3(42) of ERISA) to less than 25% of each class of the outstanding interests in the Fund (excluding the interests held by the General Partner and its affiliates).

Side Letters

The Fund, the General Partner, or the Manager, without any further approval of any person, may enter into side letters to or with one or more Investors that have the effect of establishing rights under, or altering or supplementing the terms of, the Fund Agreement. Such side letters may provide for, among other things, certain veto or consent rights on major decisions to anchor Investors. Any rights established, or any terms of the Fund Agreement altered or supplemented in a side letter with an Investor shall govern with respect to such Investor notwithstanding any other provision of the Fund Agreement.

In addition, the General Partner reserves the right to waive all or any portion of any Contribution Interest, Commitment Fee, Asset Management Fee or Administration Fee attributable to any Investor in the General Partner's sole and absolute discretion.

Risk Factors

An investment in the Fund involves significant risks and is suitable only for persons who can bear the economic risk of the loss of their entire investment, who have a limited need for liquidity in their investment and who meet the conditions set forth in the Memorandum. There can be no assurance that the Fund will achieve its investment objective. Each prospective Investor should carefully review the Memorandum and the documents referred to herein before deciding to invest in the Fund.

Conflicts of Interest

The Fund, on the one hand, and the General Partner, the Manager, Cadre and their affiliates (collectively, the "Cadre Parties"), on the other, are subject to a number of actual and potential conflicts of interest. The conflicts of interest identified in this Memorandum do not purport to be exhaustive, and the Fund and the Cadre Parties may become subject to conflicts of interest in the future that are not contemplated by the Memorandum.

Amendments

The Fund Agreement may generally be amended by the written consent of the General Partner and a vote by the Investors representing at least 50% in interest of the aggregate Capital Contributions to the Fund (excluding Capital Contributions by the General Partner, the Manager, Cadre or their affiliates), subject to certain limitations set forth in the Fund Agreement. The General Partner may make certain types of amendments to the Fund Agreement without the consent of the Investors.

Legal Counsel

Hunton Andrews Kurth LLP is counsel to the Fund, the General Partner, the Manager, Cadre and their affiliates in connection with the offering of the Fund. The Investors have not been represented by such counsel in connection with the formation of the Fund or in connection with any Investor's subscription for an interest in the Fund. **Prospective Investors should consult with their legal, tax and financial advisors before deciding whether to invest in the Fund.**

Disclaimer:

This summary and the information contained herein (including the terms of the investment) are subject to completion or amendment without notice. This summary is provided to you on the basis of a confidentiality agreement between you and Cadre. The information is not to be used or reproduced for any other purpose or distributed or made available to any other person without the express written consent of Cadre. Please refer to the Memorandum for other important information and disclaimers.

Appendix B: Potential Conflicts of Interest

WADSWORTH NC INVESTORS

General

Instances may arise where the interests of the General Partner, the Manager, the employees of the Manager, Cadre and their affiliates may potentially or actually conflict with the interests of the Fund and the Investors, including activities related to existing or future investments in real estate properties. The General Partner and the Manager may take such circumstances into consideration as they deem appropriate when approving decisions relating to the Fund's Investment. These and other situations will involve potential conflicts of interest. Although the General Partner intends to take measures to address such conflicts, there can be no assurance that such conflicts will be resolved in a manner that is most favorable to the Fund and its Investors. By agreeing to invest in the Fund, each Investor will be deemed to have acknowledged the existence of any such actual or potential conflicts of interest and to have waived any claim with respect to any liability arising from the existence of any such conflict of interest. The following discussion enumerates certain potential conflicts of interest that should be carefully evaluated before investing in the Fund. Capitalized terms used herein but not otherwise defined have the meanings used in the Annex entitled "Summary of Principal Terms of the Investor Partnership."

The professionals of the Manager, Cadre and the Sponsor will also continue to devote a portion of their time to the management of existing investments. Although the investment professionals of the Manager intend to devote such amount of their business time and efforts to the activities of the Fund as they deem appropriate, the contemporaneous management of existing investments may result in certain conflicts of interest, including competition for their time and attention.

Allocation of Investment Opportunities

Cadre has a potential conflict of interest with respect to the allocation of investment opportunities among the Fund and other Cadre-sponsored vehicles and managed accounts investing through or alongside the Fund in the Joint Venture ("Other Cadre Vehicles"). Cadre, the Manager and their Affiliates have potential conflicts of interest in determining how much, if any, of certain investment opportunities, including with respect to investments in the Joint Venture, to offer to the Fund and such Other Cadre Vehicles. Cadre expects that Other Cadre Vehicles will own all of the interest in the Joint Venture allocated to vehicles managed by Cadre or its subsidiaries other than the approximately \$16,764,000 of capital commitments allocated to the Fund.

Conflicts Relating to Other Cadre Vehicles

The Fund may invest, directly or indirectly, in investments in which an Other Cadre Vehicle (i) has an investment, (ii) is contemplating an investment, or (iii) has decided not to invest. In addition, Other Cadre Vehicles may invest, directly or indirectly, in investments in which the Fund (i) has an investment, (ii) is contemplating an investment, or (iii) has decided not to invest. Without limiting the foregoing, investors should be aware that the Cadre has a potential conflict of interests in negotiating the terms of a potential investment in which the Fund and an Other Cadre Vehicle intend to invest. Such negotiated terms may include, but are not limited to, the amount and nature of equity securities issued in respect of such investment opportunity and the fees and expenses to be charged to or by the Fund or an Other Cadre Vehicle.

Service Providers

Certain advisors and other service providers, or their affiliates (including accountants, administrators, lenders, bankers, brokers, attorneys, consultants and insurers) to the Fund or Joint Venture may also provide goods or services to or have business, personal, financial or other relationships with the

Manager, Cadre or certain of their affiliates. These relationships may influence the Manager in deciding whether to select or recommend such a service provider to perform services for the Fund or Joint Venture (the cost of which will generally be borne directly or indirectly by the Fund or Joint Venture, as applicable) and in certain circumstances the Manager, Cadre or certain of their affiliates may agree to blanket arrangements or agreements that apply to services provided to the Fund or Joint Venture and to one or more of the Manager, Cadre or their affiliates. In certain circumstances, advisors and service providers, or their affiliates, may charge different rates or have different arrangements for services provided to the Manager, Cadre or their affiliates as compared to services provided to the Fund or Joint Venture, which in certain circumstances may result in more favorable rates or arrangements than those payable by the Fund or Joint Venture.

Transactions with Affiliates

The Joint Venture may retain the Manager, Cadre or certain of their affiliates to perform certain services which could include, without limitation, material services such as investment advisory, capital markets and brokerage services and other services that may compensate service providers on the basis of a percentage of underlying transaction value. The Manager, Cadre or certain of their affiliates may be retained to provide (and be compensated for providing) such services without approval of the Investors so long as fees for such services do not exceed the customary market-rate fees for similar services. Any such fees shall not be payable to the Fund or shared with the Investors in any manner.

Cadre Subsequent Investment Rights

The Joint Venture may require the Sponsor to provide the Manager, Cadre or certain of their affiliates with first negotiation or offer rights with respect to certain future investment opportunities ("Subsequent Investment Rights"), such as rights to invest in properties located adjacent to or near the Property. Any Subsequent Investment Rights will be offered to the Manager, Cadre or their affiliates and will not be provided to, shared with or otherwise benefit the Investors in any manner. The investments or properties that are subject to Subsequent Investment Rights may be competitive with or otherwise detract from the Property, may outperform the Property and/or may experience returns or performance that are enhanced by the existence of or improvement of the Property.

Joint Venture

The Sponsor, the Main Fund and the Cadre Direct Access Fund are expected to co-manage the Joint Venture, each with certain rights and obligations in their respective capacities as co-managers. While the Main Fund will have certain co-management rights with respect to the Joint Venture, and while the Fund will have certain consent rights with respect to major decisions for the Joint Venture, the Cadre Direct Access Fund or the Sponsor may have economic or business interests or goals that are inconsistent with those of the Fund, and the Fund may not be in a position to limit or otherwise protect the value of its Investment in the Joint Venture. Because the Cadre Direct Access Fund or the Sponsor, in their capacities as co-managing members of the Joint Venture, may be entitled to direct or consent to certain decisions with respect to the Joint Venture without obtaining the consent of the Fund, the Fund and Investors may not be able to direct certain decisions that have a material impact on the Investment.

Certain Indemnification Obligations

Cadre will seek terms providing that the Fund will be responsible for its respective pro rata share of all liabilities arising from deal-level indemnification obligations; however, there can be no assurance that the Fund and Other Cadre Vehicles will not be liable on a joint and several basis for liabilities arising from deal-level indemnification obligations. In the event that the Fund and any Other Cadre Vehicle is liable on a joint and several basis for liabilities arising from deal-level indemnification obligations, the Fund and such Other Cadre Vehicles may be required to provide cross-indemnifications to one another.

Diverse Membership

Investors in the Fund may include taxable and tax-exempt persons and entities and may include persons or entities organized in various U.S. and non-U.S. jurisdictions. As a result, conflicts of interest may arise in connection with decisions made by the General Partner and the Manager that may be more beneficial for one type of Investor than another type of Investor. The Investors may have conflicting investment, tax and other interests with respect to their investments in the Fund. Conflicts of interest may arise in connection with the structure of each of the Investor's investments in the Fund. In addition, decisions made by the General Partner or the Manager may be more beneficial for certain Investors than for others, including with respect to any Investor's individual tax situation. The General Partner and the Manager will generally consider the investment objectives and interests of the Fund as a whole, rather than the investment, tax or other objectives or interests of any Investor individually.

Promote

The Sponsor will be entitled to receive "promote" distributions from the Joint Venture (the "Promote"). In addition, an affiliate of the Manager will be entitled to receive 15% of the Promote. The existence of the Promote may create an incentive for the Sponsor to make more speculative decisions on behalf of the Joint Venture than would otherwise be made in the absence of the promote distributions. Further, the Sponsor's sharing of the Promote with an affiliate of the Manager may create an incentive for the Manager to pursue certain potential rights and claims against the Joint Venture or the Sponsor on behalf of the Fund less aggressively than would otherwise be pursued in the absence of such Promote sharing arrangement. Such conflicting interests could potentially affect the decisions of the Sponsor in the management and ultimate disposition of the Property and any Additional Property and the decisions of the Manager in the management of the Fund and the Investment. While the Fund will have certain consent rights with respect to major decisions for the Joint Venture, there is no guarantee that the Fund will be able to exercise such consent rights in a way that mitigates such risk.

Initial Capital Provider

An Affiliate of Cadre may serve as the Initial Capital Provider and as such may make a Capital Commitment to the Fund on or prior to the Initial Closing in advance of the Fund securing Capital Commitments from third party Investors. Any Capital Contributions made in respect of the Initial Capital Provider's Capital Commitment would be returned to the Initial Capital Provider (along with interest accrued thereon) following Capital Contributions by Additional Investors at Subsequent Closings with a corresponding reduction in the unfunded Capital Commitment of the Initial Capital Provider.

Legal Counsel

Hunton Andrews Kurth LLP is representing the Fund, the Manager, the General Partner and Cadre and certain of their affiliates in connection with the formation of the Fund, the funding of the Investment and other activities related thereto. In connection with the formation of the Fund, the funding of the Investment and any other activities related thereto, Hunton Andrews Kurth LLP will not be representing any of the individual investors. Prospective investors should seek individual counsel at their own cost if they so desire.

Appendix C: Risk Factors

WADSWORTH NC INVESTORS

An investment in the Fund involves a significant degree of risk, including, but not limited to, the risks described below. The risks described below do not purport to be exhaustive. Prospective Investors should review this Memorandum carefully and in its entirety and consult with their legal, tax and financial advisors before deciding whether to invest in the Fund. No guarantee or representation is made that the Fund will achieve its investment objectives or that there will be any return of capital to Investors. Capitalized terms used herein and not otherwise defined have the meanings used in the Annex entitled "Summary of Principal Terms of the Investor Partnership." ***Unless otherwise noted below, any references in this Annex to the Fund shall refer to the Main Fund, the Parallel QP Fund and the Joint Venture, as and to the extent applicable.***

Risks Related to an Investment in the Fund

General

An investment in the Fund involves a significant degree of risk, relating both to the Investment to be pursued by the Fund as well as the Fund's ability to achieve its investment objectives. Before purchasing interests, prospective Investors should carefully consider all the risks, including the following risk factors, as well as the other information provided in this Memorandum, the Fund Agreement and the Subscription Agreement. There can be no assurance that the Fund's investment objectives will be achieved or that an Investor will receive a return of its capital. As such, an Investor should have the ability to sustain the loss of its entire investment in the Fund.

The following discussion does not purport to be an exhaustive explanation of all of the risks and considerations material to a purchaser of interests, and prospective Investors must rely on their own examination of, and their own ability to evaluate, the nature of an investment in the interests, including all of the risks involved in making such an investment. **Prospective Investors are urged to read the entire Memorandum, the Fund Agreement and the Subscription Agreement, and each prospective Investor should consult with such prospective Investor's own advisors and legal counsel before purchasing interests in the Fund.**

Each of the risk factors listed below, individually when on its own, or taken together with one or more other risk factors, could have a material adverse effect on the Fund. As a result of these factors, as well as other risks inherent in any investment, there can be no assurance that the Fund will meet its investment objectives. The Fund's returns will be unpredictable. A prospective Investor should only invest in the Fund as part of an overall investment strategy and only if the prospective Investor is able to withstand a total loss of its investment in the Fund.

Forward-Looking Statements

All of the statements in the Memorandum represent the beliefs and opinions of the General Partner and Cadre (including those based on information provided to Cadre by the Sponsor) as of the date hereof, should not be relied upon as statements of fact and may constitute forward-looking statements that are not historical facts. These forward-looking statements include, express or implied statements, regarding the current expectations, opinions and beliefs of Cadre, as well as the assumptions on which those statements are based. Words such as "believes," "estimates," "expects," "endeavors," "anticipates," "intends," "plans," "targets," "should" and "objective" and variations of such words and similar words also identify forward-looking statements. Such statements are forward-looking in nature and involve a number of known and unknown risks, uncertainties and other factors, including those described in this Annex. Any forward-looking statement, including any estimated return, contained in this presentation is not a guaranty, assurance

or representation by the General Partner or Cadre as to future matters and nothing contained herein should be relied upon as a guaranty, assurance or representation as to future matters.

No Operating History

The Fund and the General Partner have no operating history or track record. Although the Manager, Cadre and certain of their key professionals have an extensive background in real estate, the Fund and the General Partner are new entities and there can be no assurance that the Investment made on behalf of the Fund will not result in losses. The possibility of partial or total loss of the Fund's capital exists, and prospective Investors should not subscribe unless they can readily bear the consequences of such loss.

Reliance on the General Partner and the Manager

Decisions with respect to the management of the Fund will be made by the General Partner. The General Partner will rely on the skill and expertise of both the Manager's and Cadre's professionals. There can be no assurance that these key professionals or other persons will continue to be associated with the General Partner, the Manager or Cadre throughout the life of the Fund. The loss of the services of one or more of such persons could have a material adverse effect on the Fund's ability to achieve its investment objectives.

No Right to Vote or Control the Fund's Operations

The Investors will have no right or powers to take part in the management of the Fund. In order to safeguard their limited liability from the liabilities and obligations of the Fund, Investors must rely entirely on the General Partner and the Manager to conduct and manage the affairs of the Fund. Except to the extent required by the Delaware Revised Uniform Partnership Act or other applicable law, or as specifically set forth in the Fund Agreement, the Investors will not be entitled to vote on any matters of the Fund. Further, for matters that Investors are entitled to vote on, if there are one or more Investors that have made significantly larger Capital Contributions to the Fund relative to other Investors, such Investors may be able to meet the required voting thresholds set forth in the Fund Agreement without the other Investors. The General Partner will have complete and exclusive discretion in the management and control of the Fund. Accordingly, no person should purchase interests unless such person is willing to entrust all aspects of the management of the Fund to the General Partner and the Manager.

Side Letters; Different Terms of Interests

The Fund, the General Partner, or the Manager, without any further approval of any person, may enter into side letters to or with one or more Investors that have the effect of establishing rights under, or altering or supplementing the terms of, the Fund Agreement. Such side letters may provide for, among other things, certain veto or consent rights on major decisions to anchor Investors. Any rights established, or any terms of the Fund Agreement altered or supplemented in a side letter with an Investor shall govern with respect to such Investor notwithstanding any other provision of the Fund Agreement.

No Assurance of Investment Return

The Fund's Investment involves a significant degree of risk. Investors have no assurance that the Fund's Investment will yield the returns expected by the Fund's management. There can be no assurance that the Fund will make a profit on the Investment or even be able to recover invested capital during any anticipated period of time.

Estimated Returns

The estimated return information presented herein represents underwriting criteria used by Cadre to analyze the Investment opportunity and is provided as for illustrative purposes on how the Property is being underwritten and priced and once it is owned how it will be managed and does not represent a projection of performance returns to Investors. Estimated return information is based upon certain assumptions, including those outlined in the Memorandum or embedded in the financials in the Memorandum. Underwriting for estimated net returns includes deduction of fees and anticipated expenses but not taxes. An investment in real estate has a high degree of risk, and there can be no assurances that all or any of the assumptions will be true or that actual performance will bear any relation to these estimates.

Illiquid Nature of Interests

There will be no public market for the interests, and none is expected to develop. The interests have not been registered under U.S. federal or state or any non-U.S. securities laws, and transfer of the interests is subject to restrictions on private resales imposed by federal and state securities laws. The Fund has no plans, and is under no obligation, to register the interests under the Securities Act. In addition, pursuant to the Fund Agreement, interests may not be transferred or withdrawn except in extreme circumstances (and subject to the sole and absolute discretion of the General Partner to consent to such transfer or withdrawal). The Fund's Investment should be considered illiquid, and Investors may not be able to liquidate their investments prior to the expiration of the Fund's term.

Concentration of Investment

The Fund will concentrate its Investment into a single Property through the Joint Venture. Accordingly, the Fund may be disproportionately impacted by economic, political, geographic or regulatory conditions affecting such Investment, than if the Fund had a more broadly diversified investment portfolio.

Strategic Investor

The General Partner anticipates that a significant portion of the Fund's Capital Commitments will be made by one or more investment vehicles ("Access Vehicles") sponsored by a third-party asset management firm (the "Strategic Investor"). In the event that one or more Access Vehicles fails to make Capital Contributions in respect of their respective Capital Commitments, there can be no guarantee that the non-defaulting Investors will be able to make contributions adequate to cover the defaulted contributions of such Access Vehicles.

Additionally, for matters that Investors are entitled to vote on, the Strategic Investor will cast one vote on behalf of, and in respect of the aggregate Capital Contributions made by, all Access Vehicles. Consequently, the Strategic Investor could exercise a significant vote on any matter that Investors are entitled to vote on.

Cadre Direct Access Fund

The General Partner anticipates that an investment vehicle sponsored by the Manager (the "Cadre Direct Access Fund") will make a significant separate investment into the Joint Venture. The Fund and the Cadre Direct Access Fund may be jointly responsible for obligations to the Joint Venture (including capital contribution obligations). As a result, the Fund may be subjected to penalties if the Cadre Direct Access Fund fails to satisfy its obligations to the Joint Venture. For example, if the Cadre Direct Access Fund does not make additional capital contributions to the Joint Venture in respect of its commitments, the Fund may be required to provide make up contributions adequate to cover the defaulted contributions of the Cadre Direct Access Fund or face penalties that could materially adversely affect the returns to the Investors (including non-defaulting Investors).

Additionally, the General Partner anticipates that the Cadre Direct Access Fund will be the co-managing member of the Joint Venture and may be entitled to direct decisions that co-managing members are entitled to consent to or direct, without consulting with or obtaining the consent of the Fund. Consequently, the Fund and Investors may not be able to direct certain decisions that can have a material impact on the Investment.

Failure to Make Capital Contributions

If an Investor fails to make a Capital Contribution, and the contributions made by non-defaulting Investors are inadequate to cover the defaulted contribution, the Fund may be unable to pay its obligations when due. As a result, the Fund may be subjected to penalties in the operating agreement for the Joint Venture that could materially adversely affect the returns to the Investors (including non-defaulting Investors). If an Investor defaults, the Investor may be subject to certain substantial penalties set forth in the Fund Agreement.

Repayment of Certain Distributions

Any Investor's Capital Contributions are susceptible to risk of loss as a result of any liability of the Fund irrespective of whether such liability is attributable to the Investment or even if such obligation or liability arises after termination of the Fund. If the Fund is otherwise unable to meet its obligations (including an obligation arising from an indemnifiable event), the Investors may, under the applicable Fund Agreement or applicable law, be obligated to return distributions previously received by them, even if such obligation or liability arises after termination of the Fund. In addition, an Investor may be liable under applicable bankruptcy and other laws to return a distribution made during the Fund's insolvency.

U.S. Dollar Denomination of Interests

Interests are denominated in U.S. dollars. Investors subscribing for interests in any country in which U.S. dollars are not the local currency should note that changes in the value of exchange between U.S. dollars and such currency may have an adverse effect on the value, price or income of the investment to such investor. There may be foreign exchange regulations applicable to investments in foreign currencies in certain jurisdictions.

Limitation of Liability or Recourse to the General Partner

The Fund Agreement will limit the circumstances under which the General Partner can be held liable to the Fund. As a result, the Investors may have a more limited right of action in certain cases than they would in the absence of such limitations.

The General Partner, the Manager, Cadre, their affiliates, any current or former officer, director, manager, stockholder, partner, principal, member or employee thereof shall not have any liability to the Fund or any Investor for any losses from their actions or inactions, absent certain instances such as fraud, willful misconduct, gross negligence or a breach of the Fund Agreement that has a material adverse effect on the Fund.

Indemnification

The Fund will be required to indemnify the General Partner, the Manager, Cadre, their affiliates and any current or former officer, director, manager, stockholder, partner, principal, member or employee thereof, for liabilities incurred in connection with the affairs of the Fund. Such liabilities may be material and have an adverse effect on the returns to the Investors. The indemnification obligation of the Fund would be payable from the assets of the Fund. If the assets of the Fund are insufficient, the General Partner may, subject to certain limitations set forth in the Fund Agreement, recall capital previously returned to the Investors.

Litigation

In the ordinary course of its business, the Fund may be subject to litigation from time to time. The outcome of any such proceedings may materially adversely affect the Fund and may continue without resolution for long periods of time. Any litigation may consume substantial amounts of the General Partner's time and attention, and that time and the devotion of these and the Fund's economic resources to litigation may, at times, be disproportionate to the amounts at stake in the litigation. Under the Fund Agreement, the Fund will generally be responsible for indemnifying the General Partner and related parties for costs they may incur with respect to such litigation not covered by insurance.

Fund Structure

The Fund and its respective Investors will have different tax considerations that may cause or result in the Fund disposing of the Investment in a manner or at a time that is more advantageous (or disadvantageous) for tax purposes to the Fund or an Investor therein.

Tax Considerations

There is a risk that the Internal Revenue Service will not concur as to the tax consequences of an investment in the Fund described in the Annex entitled "Certain Tax, ERISA and Regulatory Considerations" (the "Tax Annex"). Further, under certain circumstances, the Investors could be required to recognize taxable income in a taxable year for federal income tax purposes or otherwise, even if the Fund does not have cash or property available to be distributed or the General Partner does not elect to make such distributions to the Investors during such taxable year. Each prospective Investor should review the discussion in the Tax Annex and consult with its own tax advisor with respect to all federal, state, local and foreign tax considerations of an investment in the Main Fund or the Parallel QP Fund.

Publicly Traded Partnership Considerations

The Main Fund intends to operate as a partnership for U.S. federal income tax purposes and intends to be operated in a manner such that it should not be treated as a "publicly traded partnership" for U.S. federal income tax purposes. If the IRS successfully asserted that the Main Fund should be treated as a publicly traded partnership taxable as a corporation, the Main Fund would be taxed on its earnings at corporate income tax rates and any distributions to the Investors in such Fund would be taxable as dividends to the Investors to the extent of the earnings and profits of such Fund.

Pass-Through Deduction

For taxable years beginning prior to January 1, 2026, non-corporate taxpayers may deduct up to 20% of their "qualified business income" from certain pass-through entities (the "pass-through deduction"). "Qualified business income" does not include capital gain income and is subject to limitation based on the unadjusted basis of the depreciable real property used in a qualified trade or business. In addition, the deduction is limited based on the taxable income of the Limited Partner. There can be no assurance that a Limited Partner would be eligible for the 20% pass-through deduction with respect to taxable income from the Partnership. In addition, the pass-through deduction would not apply to the Parallel QP Fund.

Limitation on Losses

There are several limitations on the ability of a taxpayer to deduct losses and certain other expenses. For taxable years beginning before January 1, 2026, non-corporate Investors will not be permitted to deduct their allocable share of the Fund's expenses that are treated as "miscellaneous itemized deductions," which may include the fees paid by the Fund. Such Investors also may not deduct business losses above a certain threshold. Disallowed

losses will be carried forward to future years, subject to certain limitations. Additional limitations on losses are described in the Tax Annex. As a result of these provisions, an Investor may not be able to deduct its full allocable share of any losses of the Fund in the taxable year of allocation or at all.

Limitation on Interest Deductions

The ability of a business, other than an electing real property business, to deduct interest expense is limited to 30% of an amount similar to the business's earnings before interest, taxes, depreciation and amortization (or a lower amount in future years). Assuming that the Fund is eligible to elect out of the interest limitation, it would be required to depreciate certain real property over a longer depreciable life. No assurance can be given that the Fund will make such election.

Unrelated Business Taxable Income and Effectively Connected Income

Most or all of the income from the Main Fund is expected to generate "unrelated business taxable income," unless an exception applies. For example, if the Joint Venture provides noncustomary services to the tenants of the Property or if the Joint Venture were viewed as a "dealer" with respect to a disposition of all or a portion of the Property, such income would be unrelated business taxable income even if the requirements for the acquisition indebtedness exception were satisfied. For Non-U.S. Investors (as defined in the Tax Annex), the Main Fund's income generally will be treated as "effectively connected income." Investors that are sensitive to "unrelated business taxable income" or "effectively connected income" should consult their tax advisors regarding an investment in the Main Fund or the Parallel QP Fund.

Tax on Transfer of Interest in the Parallel QP Fund

Because the Parallel QP Fund will own an interest in the Joint Venture, which will own real property, it is expected that the Parallel QP Fund will be a "United States real property holding corporation" for purposes of the Foreign Investment in Real Property Tax Act of 1980. As a result, sales of interests in the Parallel QP Fund prior to a fully taxable sale by the Parallel QP Fund of its interest in the Joint Venture generally will generate effectively connected income, require Non-U.S. Investors to file a U.S. federal income tax return and may require withholding.

Withholding on Transfer of Interest in the Main Fund

In the event of a transfer of a partnership interest in a partnership that generates effectively connected income, a withholding tax is imposed if the transferor does not provide an affidavit that it is not a foreign person. Transferors will be required to provide such an affidavit or evidence that such withholding tax has been satisfied.

Limitations on Note Prepayments and Interest Payments

An Investor in the Parallel QP Fund will fund its Capital Commitments in part in the form of loans. Prior to the loan maturity date, total payments in respect of such loans cannot exceed the original balance of such loan, plus any additional principal advances, plus an amount based on the earnings and profits of the Parallel QP Fund. As a result, after aggregate payments equal to such amount have been paid, the Parallel QP Fund may not be able to make payments in respect of such loans prior to the loan maturity date even though cash would otherwise be available.

Absence of Regulatory Oversight

The Main Fund and the Parallel QP Fund do not intend to register as investment companies under the Investment Company Act of 1940, as amended (the "Investment Company Act"), in reliance upon one or more exclusions or exemptions from investment company status contained therein and, accordingly, the Main Fund and the Parallel QP Fund will not be required to adhere to certain Investor protection requirements of the Investment Company Act.

Increasing U.S. Federal, State and Local Regulation

The Manager is unable to predict whether U.S. federal, state or local authorities will enact laws, rules or regulations that could materially and adversely affect the Fund's business, financial condition, liquidity, results of operations, prospects, the Manager's ability to ultimately dispose of the Fund's Investment and, accordingly, the value of an Investor's investment in the Fund.

Disclosure of Information

Certain Investors may be subject to state public records or similar freedom of information laws, which may compel public disclosure of confidential information regarding the Fund, the Investment and the Investors. There can be no assurance that such information will not be disclosed either publicly or to regulators, law enforcement agencies or otherwise, including for purposes of complying with regulations or policies to which the Fund, the General Partner, Cadre, their respective affiliates or service providers to any of them may be or become subject.

Risks Related to the Nature of the Fund's Investment

General Real Estate Risks

All real estate investments are subject to some degree of risk. No assurances can be given that the fair market value of the Investment held by the Fund will not decrease in the future. In addition, the ability of the Fund to realize any anticipated income on the Investment will depend, among other factors, on the financial reliability of any tenants, the location and attractiveness of the Investment, the supply of comparable space in the area in which the Investment is located and general economic conditions. Other risks include changes in zoning, building, environmental and other governmental laws, changes in operating expenses, changes in real estate tax rates, changes in interest rates, changes in costs and terms of borrowings, energy prices, changes in the relative popularity of the Investment, the ongoing need for capital improvements, cash-flow risks, construction risks, as well as natural catastrophes, acts of war, terrorism, civil unrest, uninsurable losses and other factors beyond the control of the Fund's management.

The Property is undeveloped and will require significant capital investment at the time of acquisition. Additionally, the Fund may, in certain instances, be responsible for structural repairs, improvements and general maintenance of the Investment. The expenditure of any sums in connection therewith beyond those budgeted for by the Fund will reduce the cash available for distribution and may require the Fund to fund deficits resulting from the operation of the Investment. No assurance can be given that the Fund will have funds available to complete the planned development or make such future repairs or improvements. These factors and any others that would impede the Fund's ability to respond to adverse changes in the performance of its assets could significantly affect the Fund's financial condition and operating results.

Investment in Land; Development

The Property is undeveloped and is non-income producing, and as such, is subject to various related risks, including those associated with obtaining zoning, environmental and other regulatory requirements, the cost and time of completing construction (including risks beyond the control of the Fund, such as weather, labor conditions and material shortages) and the availability of both construction and permanent financing on favorable terms. Development is also more susceptible to irregular accounting or other fraudulent practices. These risks could result in substantial unanticipated delays or expenses and, under certain circumstances, could prevent completion of development activities. Additionally, development or redevelopment projects can carry an increased risk of litigation with contractors, subcontractors, suppliers, partners and others. The Property may receive little or no cash flow

from the date of acquisition through the date of completion of development and may experience operating deficits after the date of completion. In addition, market conditions may change during the course of development that make the Investment less profitable than anticipated.

Furthermore, undeveloped and newly developed properties do not have the operating history that would allow the Manager or the General Partner to make objective pricing decisions in acquiring such properties. As such, the purchase price of the Property is based upon projections as to the expected operating result of the Property, subjecting the Fund to risks that the Property may not achieve anticipated operating results or may not achieve these results within anticipated time frames.

Capital Expenditures

The Property is undeveloped and will require significant capital investment at the time of acquisition, and may require other capital improvements in the future. These capital investments and improvements may give rise to the following risks:

- possible environmental problems;
- construction cost overruns and delays;
- a possible shortage of available cash to fund capital improvements and the related possibility that financing for these capital improvements may not be available on attractive terms; and
- uncertainties as to market demand or a loss of market demand after capital improvements have begun.

The costs of these capital improvements could adversely affect the performance of the Investment.

Closing of Acquisition Not Guaranteed

The acquisition of the Investment is subject to the completion of several agreements and requirements and there can be no assurance that the acquisition of the Investment will close. If such conditions are not met or waived and the acquisition of the Property does not close, the General Partner does not expect future opportunities, including any other imminent opportunity, to acquire a similarly-situated asset and the General Partner will promptly return any Investor's capital contributions.

Volatility of Property Income

The volatility of net operating income for a real estate property may be influenced by many of the foregoing factors, as well as by matters such as: the length of tenant leases; the creditworthiness of tenants; the level of tenant defaults; the ability to convert an unsuccessful property or vacant space to an alternative use; new construction in the same market as the Property; rent control laws or other laws impacting operating costs; the number and diversity of tenants; the availability of trained labor necessary for tenant operations; the rate at which new rentals occur; and the property's operating leverage (which is the percentage of total property expenses in relation to revenue), the ratio of fixed operating expenses to those that vary with revenues, and the level of capital expenditures required to maintain the Property and to retain or replace tenants.

A decline in the real estate market or in the financial condition of a large number of tenants will tend to have a more immediate effect on the net operating income of properties with short-term revenue sources (such as short-term or month-to-month leases) and may lead to higher rates of delinquency or defaults under mortgage loans secured by such properties.

Debt Financing Risks

The Fund will be subject to the customary risks associated with debt financing. For example, the Investment may not have sufficient cash flow from operations to pay required principal and interest. Further, the Fund may not be able to refinance these loans at an amount equal to the loan balance, and the terms of any refinancing may not be as favorable as the terms of existing indebtedness. If the Fund is unable to make required payments on indebtedness that is secured by a mortgage, the Investment securing the mortgage may be foreclosed with a consequent loss of income and value to the Fund.

The ability to obtain financing and the cost of such financing for the Investment depends on the overall condition of the United States credit markets. In recent years, the United States credit markets experienced significant liquidity disruptions, which caused the spreads on debt financings to widen considerably and made obtaining financing, both non-recourse debt and corporate borrowings, more difficult.

General Tenant Risks

There can be no guarantee that tenants will renew leases upon expiration or that they will continue operations throughout the term of their leases. Additionally, the Property may have month-to-month tenants. Such leases do not provide the same stability as longer-term leases. A decline in the real estate market or in the financial condition of a small number of tenants will tend to have a more immediate effect on the net operating income of the Investment if the Property is subject to revenue sources such as short-term or month-to-month leases, and may lead to higher rates of delinquency or defaults.

Changes in payment patterns by tenants may result from a variety of social, legal and economic factors, including, without limitation, the rate of inflation and unemployment levels. These may be reflected in the rental rates offered for comparable space.

There can be no assurance that any vacated space can be re-let at favorable rents or at all. Any failure to promptly re-let such space could have an adverse effect on the value of the Investment. Even if vacated space is successfully re-let, the costs associated with re-letting, including tenant improvements and leasing commissions, could be substantial and could reduce cash flow from the Investment.

Tenant Credit Risk

Cash flow or value of the Investment could be reduced if tenants are unable to meet their lease obligations or become insolvent. The inability of tenants to meet their obligations may result in realized losses on the Investment. If a tenant defaults, delays and costs in enforcing the lessor's rights could have an adverse effect on the Investment. If a tenant's lease terminates or is not renewed, no guarantees exist with respect to finding replacement tenants.

In addition, if a tenant were to become insolvent and subject to any bankruptcy or similar law, the collection of rental payments could be interrupted.

Tenant Concentration Risk

The Property may be leased to a small number of tenants. In such case, a deterioration in the financial condition of those tenants can have a particularly significant effect on the net cash flow generated from the Property. If any tenant defaults under, terminates or fails to renew its lease, the resulting adverse financial effect on the operation of the Property will be substantially greater than would otherwise be the case with respect to a property occupied by a larger number of tenants.

Risks Associated with Multifamily Residential

The performance of multifamily residential investments is subject to many of the risks associated with owning and operating other types of real estate. In addition, there are numerous housing alternatives which compete with multifamily properties in attracting residents. These include other multifamily condominium and rental apartments, and single-family homes that are available for purchase or rent in the relevant market. In addition, competition in the residential marketplace is strong. The pool of qualified buyers and developers for multifamily properties continues to be more numerous than the market that exists for other types of properties. If the demand for multifamily or similar properties is reduced, or if competitors develop and/or acquire competing properties on a more cost-effective basis, income generated from the Fund's Investment and the underlying value of the Property may be adversely affected.

Risks Related to Environmental Liabilities

Environmental site assessments vary considerably in their content, quality and cost. Even when adhering to good professional practices, environmental consultants will sometimes not detect significant environmental problems, such as in cases where there are unforeseen conditions beyond a reasonable standard for performing customary due diligence or where doing an exhaustive environmental assessment would be far too costly and time-consuming to be practical.

There can be no assurance:

- as to the degree of environmental testing conducted at the Property;
- that the environmental testing (if any) has identified all adverse environmental conditions and risks at the Property;
- that the results of the environmental testing were accurately evaluated in all cases;
- that all operations and maintenance plans and other remedial actions recommended by any environmental consultant that may have conducted testing will be implemented; or
- that any such recommended action will fully remediate or otherwise address all the identified adverse environmental conditions and risks.

Risks Related to Construction and Entitlements

The Joint Venture intends to make significant capital improvements to the Property. The construction process includes a number of risk factors including many that are outside the control of the Manager and the Sponsor. These include but are not limited to severe disruption in the financial industry, cost overruns, the availability of qualified contractors, subcontractors or suppliers, insolvency of such companies during the construction process, other legal disputes with contractors, the availability of construction materials, local or national strikes in the construction trades or supply industries and the availability of fuel or other forms of energy. The modification of existing entitlements, zoning or general plan designation inevitably involves multiple public hearings, negotiations with public officials and community groups, preparation of additional reports and studies or other significant administrative requirements and a positive outcome is not assured.

Uncertain Timing for Assets Sale and Financings

Although the Investment may generate current cash flow, it is possible that cash flow will occur only after the partial or complete financing, refinancing or sale of the Investment, delaying the return to the Investors. It is possible that the Fund may not encounter favorable financing, refinancing or sale terms for the Investment, thereby reducing or eliminating the return.

Sale of the Investment

When selling the Investment, the Fund may find it necessary or desirable to provide secondary financing to purchasers. In the event the Fund finds it necessary or desirable to provide such secondary financing, a liquidation of the Fund may be delayed beyond the anticipated term of the Fund until the proceeds are collected. In addition, the Fund will be subject to the risk of a default by the buyer with respect to any such secondary financing, and will be subordinated to any primary financing obtained by the buyer.

Illiquid Nature of the Investment

It is unlikely that there will be a public market for the Fund's Investment. The Fund generally will not be able to sell the Investment held in the form of securities publicly unless their sale is registered under applicable federal and state securities laws, or unless an exemption from such registration requirements is available. In addition, the Investment held by the Fund is such that it may require a substantial length of time to liquidate. In particular, no assurances can be given that the Fund's Investment will be able to be liquidated prior to the scheduled expiration of the term of the Fund.

Joint Venture

The Fund will make the Investment into the Property through the Joint Venture. The Investment through the Joint Venture may involve risks not directly related to the Property including, for example, the possibility that the Sponsor might become bankrupt, or may at any time have economic or business interests or goals that are divergent from or contrary to the Fund's objectives. The Sponsor, the Main Fund and the Cadre Direct Access Fund are expected to co-manage the Joint Venture, each with certain rights and obligations in their respective capacities as co-managers. While the Main Fund will have certain co-management rights with respect to the Joint Venture, and while the Fund will have certain consent rights with respect to major decisions for the Joint Venture, the Cadre Direct Access Fund or the Sponsor may have economic or business interests or goals that are inconsistent with those of the Fund, and the Fund may not be in a position to limit or otherwise protect the value of its Investment in the Joint Venture. Because the Cadre Direct Access Fund or the Sponsor, in their capacities as co-managing members of the Joint Venture, may be entitled to direct or consent to certain decisions with respect to the Joint Venture without obtaining the consent of the Fund, the Fund and Investors may not be able to direct certain decisions that have a material impact on the Investment.

Need for Additional Funds

The Fund may need or deem it appropriate to provide additional funds for the Investment. There is no assurance that the Fund will be willing or able to fund such additional amounts, or that the Fund will have sufficient available cash to provide additional funds to an asset. Any decision by the Fund not to make such additional funds available or its inability to make such additional funds available may have a substantial negative impact on the Investment in need of such additional capital.

Valuation of the Investment

Unlike exchange-listed and other readily tradable securities, real estate assets generally cannot be marked to an established market. Instead, an appraisal or a private valuation is only an estimate of value and is not a precise measure of realizable value. Real estate valuations are subject to

numerous assumptions and limitations. Ultimate realization of the market value of a real estate asset depends to a great extent on economic and other conditions beyond the control of the Fund and the General Partner. Further, appraised or otherwise determined values do not necessarily represent the price at which a real estate investment would sell since market prices of real estate investments can only be determined by negotiation between a willing buyer and seller. Generally, appraisals will consider the financial aspects of a property market transactions and the relative yield for an asset measured against alternative investments. For these reasons, valuations of real properties may not necessarily be accurate measures of realizable value with respect to such properties. As a result, if the Fund were to liquidate the Investment, the realized value may be more or less than the appraised value or valuation of the Property.

Property Taxes and Risk of Property Reassessments

The Property will likely be subject to real property taxes and, in some instances, other taxes such as personal property taxes and franchise taxes. Such taxes may increase as tax rates change and as the Property is assessed or reassessed by taxing authorities. An increase in taxes on the Property could adversely affect the Fund's results from operations and could decrease the value of the Investment.

Property-Level Litigation

The acquisition, ownership and disposition of real property investments carries certain litigation risks, which could result in losses to the Fund. Litigation may be commenced with respect to the Property in relation to activities that took place prior to the Fund's Investment. In addition, at the time of disposition of the Investment, a potential buyer may claim that it should have been afforded the opportunity to purchase the asset or alternatively that such buyer should be awarded due diligence expenses incurred or statutory damages for misrepresentation relating to disclosures made, if such buyer is passed over in favor of another as part of the Fund's efforts to maximize sale proceeds. Similarly, successful buyers may later sue the Fund under various damage theories, including those sounding in tort, for losses associated with latent defects or other problems not uncovered in due diligence. The Fund may also be exposed to litigation resulting from the activities of tenants or their customers.

Absence of or Inadequacy of Insurance Coverage

The Property may suffer casualty losses due to risks that are not covered by insurance (including acts of terrorism or hurricanes) or for which insurance coverage is not adequate (such as floods or earthquakes) or available at commercially reasonable rates. If the Fund does not undertake insurance policies and a casualty occurs at a property, the Property may lose its ability to generate income.

Moreover, if reconstruction or major repairs are required following a casualty, changes in laws that have occurred since the time of original construction may materially impair the ability to effect such reconstruction or major repairs or may materially increase their cost.

Terrorism insurance may not be available at reasonable rates and may not adequately insure against risks of terrorism and similar acts. While the Terrorism Risk Insurance Act of 2002 sought to address issues related to availability and cost of insurance following the September 11, 2001 terrorist attacks in New York and Washington, cost of insurance may be prohibitive and the insurance available is limited and subject to conditions. Many properties may not have terrorist insurance to cover damages caused by such events.

There is also a possibility of casualty losses on the Property for which insurance proceeds, together with land value, may not be adequate to pay for rebuilding improvements. Consequently, there can be no assurance that each casualty loss incurred with respect to the Property will be fully covered by insurance.

Considerations Related to Natural Disasters

Due its geographic location and proximity to coastal areas, the Property may be more susceptible to certain hazards and natural disasters, such as floods and earthquakes, than properties in other parts of the country. Areas affected by such events often experience disruptions in travel, transportation and tourism, loss of jobs and an overall decrease in consumer activity, and often a decline in real estate-related investments. There can be no assurance that the economies in such impacted areas will recover sufficiently to support income producing real estate at pre-event levels or that the costs of the related recovery will not have a material adverse effect on the local or national economy.

Additional Regulatory Risks

The Property is subject to material federal, state and local laws and regulations, which could materially adversely affect the Fund. Generally, real estate properties are subject to various laws, ordinances and regulations, including zoning laws, building codes, landlord tenant laws and other laws generally applicable to business operations. Noncompliance with laws could expose the Fund to liability.

In addition, lower revenue growth or significant unanticipated expenditures may result from the Fund's need to comply with changes in (i) laws imposing remediation requirements and the potential liability for environmental conditions existing on the Property or the restrictions on discharges or other conditions; or (ii) other governmental rules and regulations or enforcement policies affecting the development, use and operation of the Property, including changes to building codes and fire and life-safety codes.

Fraud

The Fund could be subject to losses due to fraudulent and negligent acts on the part of third parties, including borrowers, brokers, sellers, vendors and tenants.

Risks Related to Markets and the Economy***Market Risk; Downturn in the Real Estate Industry***

Investments in real estate and real estate-related entities are subject to various risks, including, for example, adverse changes in national and international economic and geopolitical conditions (including "trade wars" prompted by the adoption or expansion of trade restrictions or similar changes in international trade policies), local market conditions and the financial conditions of tenants; changes in the number of buyers and sellers of properties; increases in the availability of supply of property relative to demand; changes in availability of financing; increases in interest rates, real estate tax rates, energy prices, and other operating expenses; changes in environmental laws and regulations, zoning laws and other governmental rules and policies; changes in the relative popularity of properties; risks due to dependence on cash flow; risks and operating problems arising out of the presence of certain construction materials, as well as acts of God, uninsurable losses and other factors which are beyond the control of the Fund. In addition, real estate is subject to long-term cyclical trends that give rise to significant volatility in real estate values.

Market Impact on the Operations of Tenants

Any downturn in the economy may impact tenants. Some tenants may experience declining incomes, vacate the premises early, or file for bankruptcy. Any reduction in a tenant's ability to pay base rent, percentage rent or other charges, will adversely affect the Fund's financial condition. Further, the Fund's ability to re-let vacant spaces may be negatively impacted by then-current economic environment. The Property may see an increase in vacancy that could have a negative impact on returns.

Adverse Real Estate Market Conditions

The Fund's business and the value of the Fund's Investment may be adversely affected by periods of economic slowdown or recession, which may be accompanied by decreased demand and declining real estate values. Any material decline in real estate values reduces the ability of borrowers to use equity to support borrowings and increases the loan-to-value ratios of loans previously made, thereby weakening collateral coverage and increasing the possibility of a loss in the event of default. Delinquencies, foreclosures and losses generally increase during economic slowdowns and recessions. In addition, the prices for investment sales, and the prices, terms and conditions for investment refinancing may be threatened by unanticipated declines in various economic environments – thereby reducing or extinguishing anticipated returns of capital and IRRs.

Changes in Market Circumstances

The Fund faces risks that may arise out of international, U.S., regional and local economic and market conditions, including changes in interest rates, instability in certain securities markets, changes in relative valuation of their target investment sectors, changes in the availability of, or the general terms and conditions for, investment financing, shifts in the supply and demand for the Property, changes to the financial resources and solvency of tenants and buyers and sellers of real estate properties, among other factors – any one of which could adversely affect returns on the Investment. For example, to the extent there is a lack of readily available and reasonably priced debt financing available to potential purchasers at the time the Fund is ready to dispose of the Investment, it could materially and negatively affect the number of potential purchasers and the prices purchasers are willing to pay to the Fund.

Market Disruptions

It is possible that a major event or other circumstance could provoke immediate dramatic changes in general market psychology and could motivate widespread variation in the absolute and relative pricing of financial assets, real estate assets, and the availability of financing for such assets. Such circumstances may include, but are not limited to, a financial shock experienced by a market participant, terrorist attack, outbreak of war or other change in the geopolitical landscape. Analogous circumstances in the past have imposed material adverse influences on general liquidity in financial markets, on the pricing, purchases and sales of broad investment categories and, in certain cases, on the existence of financial markets during conventional business hours. In addition, such events may result in widespread revisions to prior standards for asset valuation, transaction costs and the price and availability of capital.

Disease Outbreaks and Public Health Concerns

Certain illnesses spread rapidly and have the potential to significantly adversely affect the global economy. The outbreak of infectious diseases and other serious public health concerns, including, but not limited to, outbreaks such as the severe acute respiratory syndrome, avian influenza, H1N1/09 influenza, and, most recently, SARS-CoV-2 and the related COVID-19, or other similarly infectious diseases, together with any resulting restrictions on travel or impositions of quarantines, may have a negative impact on the economic and business activity in the countries in which the Fund may invest, which could materially and adversely affect the performance of the Fund's Investments and the Fund's business, financial condition, liquidity, results of operations and prospects, and further may materially adversely affect the ability of the General Partner and the Manager to effectively conduct and manage the affairs of the Fund. Neither the General Partner nor the Manager can predict the likelihood of disease outbreaks occurring in the future nor how such outbreaks may affect the performance of the Fund.

The foregoing list of risk factors does not purport to be a complete enumeration or explanation of the risks involved in an investment in the Fund. Prospective Investors should read the entire Memorandum and consult with their own legal, tax and financial advisors before deciding to invest in the Fund.

Appendix D: Certain Tax, ERISA and Regulatory Considerations

WADSWORTH NC INVESTORS

CERTAIN TAX CONSIDERATIONS

The following summary outlines certain material U.S. federal income tax considerations relating to an investment in the Main Fund and the Parallel QP Fund. This discussion is for general information only and may not apply to all categories of Investors, some of which, such as banks, thrifts, insurance companies, partnerships or other pass-through entities, dealers in securities or currencies, investors that do not own their interests in the Fund ("Interests") as capital assets, and accrual method taxpayers subject to special tax accounting rules as a result of their use of financial statements may be subject to special rules. Investors who are exempt from U.S. federal income taxation ("Tax-Exempt Investors") or Non-U.S. Investors (as defined below) are discussed separately below. The actual tax consequences of the purchase and ownership of Interests may vary depending upon an Investor's particular circumstances. Capitalized terms used herein and not otherwise defined have the meanings used in the Annex entitled "Summary of Principal Terms of the Investor Partnership."

For purposes of this discussion, a "U.S. Investor" means a beneficial owner of an Interest that is, for U.S. federal income tax purposes, (i) an individual who is a citizen of the United States or is treated as a resident of the United States; (ii) a corporation (or other entity taxable as a corporation) that is created or organized in or under the laws of the United States or any state thereof or the District of Columbia; (iii) an estate the income of which is subject to U.S. federal income taxation regardless of its source; or (iv) a trust if (a) a court within the United States is able to exercise primary supervision over the administration of the trust, and one or more United States persons have the authority to control all substantial decisions of the trust, or (b) the trust was in existence on August 20, 1996 and properly elected to continue to be treated as a United States person. A "Non-U.S. Investor" is beneficial owner of an Interest that is not a U.S. Investor or a partnership. A partnership (or other entity treated as a partnership for U.S. federal income tax purposes) holding an Interest should consult its own tax advisor because the tax treatment of a partner generally will depend upon the status of the partner and the activities of the partnership. This discussion does not constitute tax advice and is not intended to substitute for tax planning.

The discussion contained herein is based on the Internal Revenue Code of 1986, as amended (the "Code"), U.S. Treasury Regulations promulgated thereunder (the "Regulations"), Internal Revenue Service ("IRS") rulings and official pronouncements, court decisions and other applicable authorities, all as in effect as of the date of this Memorandum and each of which is subject to change (possibly with retroactive effect). No assurance can be given that future legislation, administrative rulings or court decisions will not modify the discussion set forth in this summary. No ruling from the IRS or opinions of counsel with respect to the matters discussed herein has been requested. Furthermore, there can be no assurance that the IRS or the courts would agree with the conclusions set forth in this discussion.

The Main Fund

Classification of the Main Fund as a Partnership

The Main Fund intends to operate as a partnership for U.S. federal income tax purposes and intends to be operated in a manner such that it should not be treated as a "publicly traded partnership" for U.S. federal income tax purposes. In general, a non-corporate domestic entity with two or more owners will be treated as a partnership for U.S. federal income tax purposes unless the entity affirmatively elects to be treated as a corporation. The Main Fund will not elect to be treated as a corporation. Under certain circumstances, a partnership may be treated as a "publicly traded partnership" taxable as a corporation under Section 7704 of the Code and the Regulations thereunder (the "publicly traded partnership rules"). A partnership is a publicly traded partnership if its interests are traded on an established securities market or are readily tradeable on a secondary market (or the substantial equivalent thereof). Affiliates of Cadre may provide, but are not required to provide, matching services between buyers and sellers of Interests in the Main Fund. If

certain requirements are satisfied, the publicly traded partnership rules provide that a partnership may disregard certain transfers pursuant to a “qualified matching service” in determining whether, taking into account all transfers, partnership interests are readily tradable on a secondary market or the substantial equivalent thereof. In addition, a partnership that is considered “publicly traded” under the publicly traded partnership rules nonetheless will not be taxable as a corporation if 90% or more of its income for the taxable year is “qualifying income” (including, but not limited to, interest, dividends, real property rents, and gain from the disposition of real property).

As noted above, the Main Fund intends to operate in a manner such that it should not be treated as a “publicly traded partnership” for U.S. federal income tax purposes. However, no ruling will be sought from the IRS. If the IRS successfully asserted that the Main Fund should be treated as a publicly traded partnership taxable as a corporation, (i) the Main Fund would be taxed on its earnings at corporate income tax rates, (ii) the income, deductions, and losses of the Main Fund would not pass through to its Investors, and (iii) any distributions to the Investors in the Main Fund would be taxable as dividends to the Investors to the extent of the earnings and profits of the Main Fund.

The remainder of this discussion assumes that the Main Fund will be treated in its entirety as a partnership for federal, state and local income tax purposes.

The General Partner has formed and will offer interests in the Parallel QP Fund to address certain regulatory, tax or other concerns of certain Tax-Exempt Investors and/or Non-U.S. Investors. The Parallel QP Fund is discussed separately below.

Any person reviewing this discussion should seek advice based on such person’s particular circumstances from an independent tax advisor.

Taxation of U.S. Investors in the Main Fund

As a partnership, the Main Fund generally will not be subject to U.S. federal income tax (subject to the discussion below under “Tax Audits”). Instead, for U.S. federal income tax purposes, each U.S. Investor will be required to take into account its distributive share of all items of the Main Fund’s income, gain, loss, deduction and credit for the Main Fund’s taxable year ending within or with such Investor’s taxable year. Each item generally will have the same character (e.g., ordinary or capital) and source (either U.S. or foreign) as though such Investor had realized the item directly.

Investors must report items of Fund income, gain, loss or credit on their federal income tax returns consistently with the manner in which such items are reported on the Main Fund’s return, unless the Investors properly disclose the inconsistent treatment with their tax returns. It is possible that the IRS will disagree with the manner in which one or more of such items are reported.

Each U.S. Investor will be required to include in income for U.S. federal income tax purposes its share of the Main Fund’s income or gain regardless of whether the Main Fund makes any distribution to such Investor. Therefore, each U.S. Investor should be aware that the tax liability associated with an Interest may exceed (perhaps to a substantial extent) the cash distributed to such Investor during a taxable year, and such Investor may have to utilize cash from other sources to satisfy a tax liability attributable to an Interest.

For U.S. federal income tax purposes, each U.S. Investor’s allocable share of items of income, gain, loss, deduction or credit of the Main Fund will be governed by the Fund Agreement of the Main Fund if such allocations have “substantial economic effect” or are determined to be in accordance with such Investor’s interest in the Main Fund. The General Partner believes that, for U.S. federal income tax purposes, the allocations of such items in the Fund Agreement of the Main Fund should be given effect and the General Partner intends to prepare tax returns based on such allocations. If the IRS successfully challenged the allocations made pursuant to the Fund Agreement of the Main Fund, the redetermination of the allocations to a particular U.S. Investor for U.S. federal income tax purposes could be less favorable than the allocations set forth in the Main Fund Agreement.

For taxable years beginning prior to January 1, 2026, non-corporate taxpayers may deduct up to 20% of their “qualified business income” from certain pass-through entities (the “pass-through deduction”). “Qualified business income” does not include certain types of income not allocable to a trade or business including capital gain income. Moreover, for taxpayers above certain income thresholds, the amount eligible for the deduction is limited to 50% of the wages of the qualified trade or business (or 25% of the wages of the qualified trade or business plus 2.5% of the unadjusted basis of the qualified trade or business’s depreciable property). There can be no assurance that a U.S. Investor would be eligible for the 20% pass-through deduction with respect to taxable income from the Partnership. The pass-through deduction would not apply to the Parallel QP Fund.

If cash is distributed to a U.S. Investor in any year, including for this purpose any reduction in that Investor’s share of any liabilities of the Main Fund, and such amount exceeds that Investor’s share of the taxable income of the Main Fund for that year, the excess will constitute a return of capital and will be applied to reduce the tax basis of such Investor’s Interest. Any distribution in excess of such basis will result in taxable gain.

Adjusted Tax Basis

Each U.S. Investor’s adjusted tax basis in its Interest is, in general, equal to the amount of cash contributed by such Investor to the Main Fund, increased by such Investor’s proportionate share of income and any liabilities of the Main Fund and decreased, but not below zero, by such Investor’s proportionate share of cash distributions, losses and any reductions in such liabilities.

Limitations on Deductibility of Losses

Each U.S. Investor will (subject to certain limits as discussed below) be entitled to deduct its allocable share of the Main Fund’s losses to the extent of its tax basis in its Interest at the end of the taxable year of the Main Fund in which such losses are recognized. Various rules may apply to restrict such Investor’s ability to deduct its share of the Main Fund’s losses and expenses (including interest). The losses and deductions of the Main Fund are expected to be derived from a “passive activity” within the meaning of Section 469 of the Code. The ability of such Investor (unless such Investor is a widely held corporation) to deduct its share of the Main Fund’s losses may be subject to the “at risk” limitations of Section 465 of the Code. In addition, such Investor’s share of the Main Fund’s losses will be allowed only to the extent of the adjusted basis of such Investor’s Interest. The ability of each non-corporate U.S. Investor to utilize certain specific items of deduction attributable to the investment activities of the Main Fund (as opposed to its activities that represent a trade or business for U.S. federal income tax purposes) may be limited under the “investment interest” limitation in Section 163(d) of the Code and/or other provisions of the Code.

For taxable years beginning before January 1, 2026, any excess business losses from trades or businesses for non-corporate taxpayers are disallowed and carried forward under the rules for net operating losses. The excess business loss provision applies at the Investor level. It is possible that any losses allocated from the Main Fund would be subject to this provision. If an Investor’s allocable share of loss from the Main Fund is disallowed as an excess business loss and carried forward under the rules for net operating losses, the net operating loss deduction is limited to 80% of the U.S. Investor’s taxable income per year. In addition, certain fees may not be deductible. For taxable years beginning before January 1, 2026, non-corporate taxpayers will not be allowed any deduction for “miscellaneous itemized deductions.” Any Asset Management Fees or Administration Fees paid by the Main Fund may be treated in whole or in part as miscellaneous itemized deductions subject to the disallowance of deductibility, depending on the nature of the Main Fund’s activities and the structure of its investments. The Commitment Fee may also be treated as a miscellaneous itemized deduction subject to the disallowance of deductibility. As a result of these provisions, an Investor may not be able to deduct its full allocable share of any losses of the Main Fund in the taxable year of allocation or at all. The Commitment Fee may also be treated as a miscellaneous itemized deduction subject to the disallowance of deductibility.

The ability of a business, other than an electing real property business, to deduct interest expense is limited to 30% of an amount similar to the business’s earnings before interest, taxes, depreciation and amortization (or a lower amount in future years). Assuming that the Main Fund is eligible to

elect out of the interest limitation, it may be required to depreciate certain real property over a longer depreciable life. No assurance can be given that the Main Fund will make such election.

In general, neither the Main Fund nor any U.S. Investor may currently deduct organizational or syndication expenses. For U.S. federal income tax purposes, organizational expenses may, in the General Partner's sole discretion, be amortized over a 180-month period. Syndication fees must be capitalized and cannot be amortized or otherwise deducted.

It is not possible to predict the extent to which any of the foregoing provisions of the Code will be applicable or the extent to which tax losses will be allocated to the U.S. Investors, since that will depend upon the exact nature of the Main Fund's future operations and the individual tax positions of Investors in the Main Fund. Prospective Investors should consult with their own tax advisors regarding the application of these rules (and any other rules limiting their ability to deduct losses or expenses associated with their Interests) to them.

Sale or Transfer of Interests

In the event that a U.S. Investor sells or exchanges its Interest, Section 706 of the Code provides that items of income, gain, loss and deduction allocable to that Interest for the taxable year in which the sale occurs must be allocated between such Investor and the transferee on either an interim closing-of-the-books basis or on a pro rata basis reflecting the respective periods during such year that each of the transferor and the transferee owned the Interest. The Fund Agreements provide that no transfer of an Interest is permitted without the prior written consent of the General Partner, which may be granted or denied in the General Partner's sole and absolute discretion.

Upon any permitted sale or disposition of an Interest in a taxable transaction, a U.S. Investor should generally realize long-term or short-term capital gain or loss, depending upon its holding period for such Interest, equal to the difference, if any, between the amount realized from the sale or disposition and the partner's adjusted basis in the Interest. The amount realized will include such Investor's share of the Main Fund's liabilities. Gain from the sale or disposition of an Interest will be treated as ordinary income to the extent of such Investor's distributive share of "unrealized receivables" or "inventory items," if any. Capital gain will be long-term capital gain eligible for a reduced rate of U.S. federal income taxation if the Interest has been held for more than one year. The holding period for capital gains purposes begins on the day after the Interest is issued to such Investor. Transferors will be required to certify their non-foreign status to avoid withholding on a sale of Interests or provide evidence that such withholding has been satisfied.

Alternative Minimum Tax Consequences

Prospective non-corporate Investors that are subject to the alternative minimum tax (the "AMT") should consider the tax consequences of an investment in the Main Fund in view of their AMT position, taking into account the special rules that apply in computing the AMT, including the adjustments to depreciation deductions, the special limitations as to the use of net operating losses and the complete disallowance of certain deductions.

Medicare Tax

Investors who are individuals, estates or certain trusts whose income exceeds certain thresholds will be subject to a 3.8% Medicare tax on certain "net investment income," including rent, interest, dividends and proceeds of sale of certain investments (unless derived in the ordinary course of a trade or business). This 3.8% Medicare tax is in addition to the income taxes that are otherwise imposed on a U.S. Investor's ordinary income and capital gains. Prospective investors should consult their tax advisors regarding the application of the Medicare tax to income and gain in respect of an investment in the Main Fund.

Tax Audits

In the event of an audit, the tax treatment of income and deductions of the Main Fund generally will be determined at the Main Fund level in a single proceeding. The partnership representative or designated individual (as designated by the General Partner, which may be the General Partner and shall be the General Partner if no other person is designated), will act on behalf of the Main Fund (the “partnership representative”). The IRS will deal solely with the partnership representative in the event of an audit, and the partnership representative’s actions with respect to IRS audits and related proceedings will bind the Main Fund and the Investors. The partnership representative will have the authority subject to certain restrictions to act on behalf of the Main Fund in connection with any administrative or judicial review of items of the Main Fund’s income, gain, loss, deduction or credit.

In lieu of the Main Fund paying an underpayment of tax, the Main Fund may instead elect to “push out” any audit adjustments to be taken into account by those persons who were Investors during the taxable year that was audited, and the Main Fund would not be liable for the adjustments. If that election is made, the economic burden of the IRS audit adjustments will fall on the persons who were Investors during the audited year. There can be no assurance that the Main Fund will be eligible to make such an election or that it will, in fact, make such an election for any given adjustment.

If the Main Fund does not or is not able to make such an election, the Main Fund generally would be liable for any underpayment of tax. As a result, (i) the then current Investors, in the aggregate, could indirectly bear income tax liabilities in excess of the aggregate amount of taxes that would have been due had the Main Fund elected the alternative procedure, and (ii) a given Investor may indirectly bear taxes attributable to income allocable to other Investors or former Investors, including taxes (as well as interest and penalties) with respect to periods prior to such Investor’s ownership of Interests. Amounts available for distribution to the Investors may be reduced as result of the Main Fund’s obligations to pay any taxes associated with an adjustment.

The partnership representative may make (or not make) any elections as it deems appropriate, including deciding to pay tax on any audit adjustments at the Main Fund level or electing to have the adjustments taken into account by the persons who were Investors during the audited year. It is unclear whether states and localities will follow these partnership audit procedures or will conduct audits at the partner level. The partnership representative will have the authority to make any and all similar elections under state and local law. Limited Partners will be required to provide any information that the partnership representative requires to make any election in connection with its role as partnership representative. To the extent that an Investor disposes of or transfers its Interest, the Investor will continue to be responsible for any tax imposed on the Main Fund that is attributable to such Investor’s ownership.

The provisions of the Act relating to partnership audits are complex. Prospective Investors should consult their own tax advisors regarding all aspects of this legislation (and any similar state and local law) as it affects their particular circumstances.

Special Considerations for Tax-Exempt Investors

In general, Tax-Exempt Investors are subject to taxation with respect to any unrelated business taxable income (“UBTI”), including income from “debt-financed property.” Under Section 512(c) of the Code, when computing UBTI, a Tax-Exempt Investor must include its distributive share of income of any partnership of which it is a partner, directly or indirectly, to the extent that such income would be UBTI if earned directly by the Tax-Exempt Investor. UBTI is generally defined as gross income from a trade or business regularly carried on by a tax-exempt entity that is unrelated to its exempt purpose (including an unrelated trade or business regularly carried on by a partnership of which the entity is a partner) less the deductions directly connected with that trade or business. Under the tax law informally known as the Tax Cuts and Jobs Act, UBTI is calculated separately for each unrelated trade or business activity, and UBTI from one trade or business activity cannot offset expenses and losses from another activity.

However, passive income from the ownership and disposition of rental real estate is not UBTI so long as it is not income from “debt-financed property.” “Debt-financed property” generally means any property held for the production of income with respect to which there is “acquisition indebtedness” (which generally means indebtedness incurred in connection with the acquisition or improvement of such property). The Joint Venture intends to incur indebtedness in connection with the Property. As a result, a substantial portion of the income from the Main Fund (which includes the Main Fund’s share

of income from the Joint Venture) is expected to be income from debt-financed property (and therefore UBTI) unless an exception applies. In addition, if the Main Fund provides noncustomary services to tenants of the Property or is viewed as a “dealer” with respect to all or a portion of the Property, such income would be UBTI. For Tax-Exempt Investors that seek to avoid the incurrence of all UBTI, the Parallel QP Fund may be a more suitable investment.

TAX-EXEMPT INVESTORS SHOULD CONSULT THEIR OWN TAX ADVISORS REGARDING ALL ASPECTS OF UBTI.

Special Considerations for Non-U.S. Investors

If the Main Fund is deemed to be engaged in a U.S. trade or business, the distributive share of income of the Main Fund of a Non-U.S. Investor that is “effectively connected income” (“ECI”) would be subject to United States income and withholding taxes and would be required to file a tax return in the United States. In addition, a Non-U.S. Investor that is a foreign corporation, in certain circumstances, may be subject to a branch profits tax of 30% on such investor’s distributive share of the Main Fund’s income that is ECI. Income from the Main Fund is expected to constitute ECI.

With respect to a Non-U.S. Investor’s distributive share of the Main Fund income that is not ECI, if any, the Non-U.S. Investor will be subject to U.S. withholding tax on its distributive share of (i) dividends, if any, from the Main Fund’s U.S. equity investments, (ii) interest, if any, received by the Main Fund from U.S. sources, except for certain “portfolio interest,” and (iii) gain, if any, from the sale of any “United States real property interest” (“USRPI”). The rate of withholding is generally 30% on dividends and interest, and 15% on the amount realized from the sale of a USRPI, unless the Non-U.S. Investor is entitled to the benefits of an applicable tax treaty.

Non-U.S. Investors that seek to avoid recognizing ECI should invest through the Parallel QP Fund, discussed below.

NON-U.S. INVESTORS SHOULD CONSULT THEIR OWN TAX ADVISORS REGARDING ALL ASPECTS OF INVESTMENT IN THE INTERESTS IN THE MAIN FUND.

The Parallel QP Fund

Classification of the Parallel QP Fund

To accommodate Non-U.S. Investors and Tax-Exempt Investors that seek to avoid the incurrence of all UBTI, the General Partner has formed, and will offer interests in, the Parallel QP Fund. The following discusses certain material U.S. federal income tax considerations that apply to the Parallel QP Fund and its Investors.

The Parallel QP Fund will be a Delaware limited partnership that will elect to be classified as an association taxable as a corporation for U.S. federal income tax purposes. The Parallel QP Fund will be fully subject to U.S. federal and state corporate taxation.

Investors in the Parallel QP Fund will fund their Capital Commitments to the Parallel QP Fund in the form of both Capital Contributions to the Parallel QP Fund as well as loans to the Parallel QP Fund, as determined by the General Partner; provided that each Investor in the Parallel QP Fund may determine to fund its Capital Contributions to the Parallel QP Fund through a wholly-owned subsidiary of such Investor.

Limitations on Ownership

Without the consent of the General Partner, in its sole discretion, no Investor may own, directly, indirectly, or constructively, 50% or more of the Parallel QP Fund. The Parallel QP Fund intends to treat, and each Non-U.S. Investor agrees to treat by virtue of its acceptance of its Interest, the amount loaned by such Investor to the Parallel QP Fund as debt for U.S. federal income tax purposes. In general, the characterization of an instrument for U.S. federal

income tax purposes as debt or equity by its issuer as of the time of issuance is binding on a holder, unless the holder takes an inconsistent position and discloses such position in its tax return. This characterization, however, is not binding on the IRS. In particular, there can be no assurances that the IRS would not contend, and that a court would not ultimately hold, that one or more of the loans constitute equity of the Parallel QP Fund. Prospective Investors should consult their tax advisors regarding the tax rules that would apply if a loan was recharacterized as equity by the IRS. Recently finalized regulations impose certain requirements and recharacterization rules on related party debt instruments applicable to groups of corporations with 80% common ownership. This discussion assumes that no Investor is a member of the "expanded group" of the Parallel QP Fund, which generally includes an entity with 80% common ownership, directly, indirectly, or constructively. In addition, the Code limits the deductibility of certain interest paid to related persons, which includes shareholders owning, directly, indirectly, or constructively, 50% or more of a corporation.

Character of Payments and Distributions

As noted above, Investors in the Parallel QP Fund will fund their Capital Commitments to the Parallel QP Fund in the form of both Capital Contributions to the Parallel QP Fund as well as loans to the Parallel QP Fund, as determined by the General Partner. As a result, Investors in the Parallel QP Fund will receive certain payments in respect of their loans and certain payments in respect of their equity investments.

Prior to the maturity date of the loans, the General Partner may, in its sole discretion, cause the Parallel QP Fund to make payments on the loans or make distributions in respect of the Parallel QP Fund's equity. Generally, the Parallel QP Fund will not make any distributions in respect of its equity unless all accrued interest has been paid in respect of the loans. In addition, prior to the loan maturity date, total payments in respect of loans from Investors cannot exceed the original balance of such loan, plus any additional principal advances, plus an amount based on the current and accumulated earnings and profits ("E&P") of the Parallel QP Fund. Because interest payments may be deferred and accrue, the loans will be treated as issued with original issue discount ("OID"). An Investor must include OID in income over the term of the loans under a constant yield method regardless of its regular method of tax accounting and in advance of the receipt of the cash representing that income. Prospective Investors should consult their tax advisors regarding the treatment of any OID with respect to the loans. Payments made by the Parallel QP Fund in respect of the loans will be treated first as interest or OID to the extent of accrued but unpaid interest or OID and then as repayments of principal.

Distributions in respect of the equity of the Parallel QP Fund will be treated as ordinary dividend income to the extent of the Parallel QP Fund's E&P. Amounts distributed in excess of the Parallel QP Fund's E&P will be treated as return of capital to the extent of the Investor's basis in such equity interest and then as capital gain.

Limitations on Deductibility of Losses

Losses recognized by the Parallel QP Fund will not pass through to Investors.

Limitations on Deductibility of Interest

The ability of a business, other than an electing real property business, to deduct interest expense is limited to 30% of an amount similar to the business's earnings before interest, taxes, depreciation and amortization (or a lower amount in future years). It is not entirely clear whether the Parallel QP Fund will be eligible to elect out of this interest limitation, and no assurance can be given that it will do so. Accordingly, the ability of the Parallel QP Fund to deduct interest expense may be limited.

Tax Audits

Because the Parallel QP Fund will elect to be treated as a corporation, the tax treatment of income and deductions of the Parallel QP Fund will be determined at the Parallel QP Fund level. Any tax assessed will be payable by the Parallel QP Fund.

Special Considerations for Tax-Exempt Investors

The Parallel QP Fund will elect to be classified as a corporation for U.S. federal income tax purposes. As a result, although no assurance can be given, it is not anticipated that the Parallel QP Fund will generate UBTI for a Tax-Exempt Investor that owns less than 50% of the Parallel QP Fund and does not incur leverage in respect of its investment. For Tax-Exempt Investors that own more than 50% of the Parallel QP Fund, directly, indirectly, or constructively, interest in respect of any loans to the Parallel QP Fund would be treated as UBTI under Section 512(b)(13) of the Code.

Tax Exempt Investors should also refer to the discussion above under "Tax Fund—Special Considerations for Tax Exempt Investors."

Special Considerations for Non-U.S. Investors

Investors in the Parallel QP Fund will fund their Capital Commitments to the Parallel QP Fund in the form of both Capital Contributions to the Parallel QP Fund as well as loans to the Parallel QP Fund, as determined by the General Partner. An Investor in the Parallel QP Fund may determine to fund its Capital Contributions to the Parallel QP Fund through a wholly-owned subsidiary of such Investor. Although no assurance can be given, because the Parallel QP Fund will elect to be treated as a corporation for U.S. federal income tax purposes, distributions and interest paid to Non-U.S. Investors are not anticipated to be treated as ECI for U.S. federal income tax purposes as long as the Non-U.S. Investor is not otherwise engaged in a U.S. trade or business.

Withholding tax at a rate of 30% will apply to payments of interest in respect of the loans to the Parallel QP Fund and non-liquidating dividends in respect of the equity investment in the Parallel QP Fund, unless the portfolio interest exemption (with respect to interest), a treaty reduction or a statutory exemption applies. Generally, the portfolio interest exemption applies to non-contingent interest in respect of a "registered" debt instrument issued by borrowers if the lender owns less than 10% of the voting power of all classes of equity of the borrower, applying certain attribution rules, and the lender is not a bank or a controlled foreign corporation related to the borrower. If any Non-U.S. Investor invests more than 9.9% of the capital of the Parallel QP Fund, the General Partner may, in its discretion, convert some or all of the Investors' interests in the Parallel QP Fund into non-voting interests so that some or all of the Non-U.S. Investors hold 9.9% or less of the total voting power of the Parallel QP Fund. As a result, a Non-U.S. Investor in the Parallel QP Fund may have relative voting power that is less than the percentage of the capital invested by such Non-U.S. Investor. The General Partner will not convert an Investor's interest to the extent that such conversion would reduce the relative voting power of a U.S. investor below the percentage of the capital invested by such Investor, would cause a Tax-Exempt Investor to hold more than 49.9% of the relative voting power, or would increase any Non-U.S. Investor's relative voting power above 9.9%, without the consent of such Investor. Other than with respect to voting power, non-voting interests are treated in the same manner as voting interests. If an Investor holds non-voting interests, such interests continue to be non-voting interests in the hands of any transferee Investor.

There can be no assurance that this conversion would be respected by the IRS. If the IRS treated a Non-U.S. Investor's non-voting interest as representing a portion of the total combined voting power of the Parallel QP Fund, such Non-U.S. Investor could be treated as owning 10% or more of the Parallel QP Fund's total combined voting power. In such event, such Non-U.S. investor would not be eligible for the portfolio interest exemption on payments of interest to such Non-U.S. Investor by the Parallel QP Fund. Non-U.S. Investors should consult their own tax advisors regarding investing a portion of their capital in a non-voting interest.

In addition to the portfolio interest exemption if it applies, the 30% withholding tax on interest and non-liquidating dividends also may be reduced or eliminated under an applicable income tax treaty between the U.S. and the Non-U.S. Investor's country of residence. Any Non-U.S. Investor that is a

governmental entity qualifying under Section 892 of the Code that owns less than 50% of a Parallel QP Fund may under certain circumstances be exempt from the 30% withholding tax on interest and non-liquidating dividends.

Other than as described below under "Foreign Account Tax Compliance Act," liquidating dividends are not subject to the 30% withholding tax. Any Non-U.S. Investor claiming the portfolio interest exemption, treaty relief or an exemption under Section 892 of the Code will need to provide proper documentation certifying its eligibility for such reduced or eliminated withholding tax rate.

Because the Parallel QP Fund will own an interest in the Joint Venture, which will own real property, it is expected that the Parallel QP Fund will be a "United States real property holding corporation" for purposes of the Foreign Investment in Real Property Tax Act of 1980 ("FIRPTA"). As a result, sales of Interests in the Parallel QP Fund prior to a fully taxable sale by the Parallel QP Fund of its interest in the Joint Venture generally will be subject to U.S. withholding tax, generate ECI and require Non-U.S. Investors to file a U.S. federal income tax return.

EACH PROSPECTIVE INVESTOR IS URGED TO CONSULT WITH SUCH INVESTOR'S OWN TAX ADVISOR REGARDING AN INVESTMENT IN THE PARALLEL QP FUND.

Information Reporting

The Main Fund will file a U.S. federal partnership information return reporting its operations for each taxable year and will provide each Investor in the Main Fund within one hundred and twenty (120) days after the end of the taxable year with information necessary for Investors to file their U.S. federal income tax returns. The Parallel QP Fund will file a U.S. federal income tax return for each taxable year and will provide to each Investor in the Parallel QP Fund tax reporting regarding payments and distributions as required by law.

Foreign Account Tax Compliance Act

Under the Foreign Account Tax Compliance Act ("FATCA"), and related Regulations, intergovernmental agreements, and other guidance, a 30% withholding tax is imposed on "withholdable payments" made to foreign financial institutions (and their more than 50% affiliates) unless the payee foreign financial institution (i) agrees, among other things, to disclose the identity of any U.S. individual with an account at the institution (or the institution's affiliates) and to report annually certain information about such account or (ii) demonstrates that it otherwise is exempt from reporting under FATCA. "Withholdable payments" include payments of interest (including OID), dividends, and other items of fixed or determinable annual or periodical gains, profits, and income ("FDAP"), in each case, from sources within the United States. FATCA also requires withholding agents making withholdable payments to certain other foreign entities that do not disclose the name, address, and taxpayer identification number of any substantial U.S. owners (or certify that they do not have any substantial U.S. owners) to withhold tax at a rate of 30% (unless such entity demonstrates that it otherwise is exempt from reporting under FATCA).

Withholding under FATCA, absent an applicable exception, will apply to all withholdable payments without regard to whether the beneficial owner of the payment is a U.S. person, or would otherwise be entitled to an exemption from the imposition of withholding tax pursuant to an applicable tax treaty with the United States or pursuant to U.S. domestic law.

Withholding under FATCA could apply to payments made by the Main Fund or the Parallel QP Fund to Non-U.S. Investors or payments made by the Fund to U.S. Investors holding through foreign financial institutions. Non-U.S. Investors will be required to provide certain information, representations, certificates, and other information and to take any action as may be required by the General Partner to comply with these rules to avoid such withholding tax, including documentation properly certifying such Non-U.S. Investor's status under FATCA. The foregoing is only a general summary of certain provisions of FATCA. The scope of these requirements is potentially subject to material change. Prospective Investors are encouraged to consult with their tax advisors regarding the possible implications of this legislation on an investment in the Main Fund or the Parallel QP Fund. In addition, pursuant

to these rules, the Main Fund and the Parallel QP Fund may provide to their advisers, the IRS, or a foreign government, identifying information about the Investors and their participation in the Main Fund or the Parallel QP Fund and the Main Fund and the Parallel QP Fund's income, gain, loss or deduction.

Certain Disclosure and Record Keeping Requirements

Taxpayers engaging in certain transactions, including certain loss transactions above a threshold, may be required to include a detailed disclosure with their annual U.S. federal income tax return in accordance with the Regulations governing tax shelters and other potentially tax-motivated transactions. It is possible that the Main Fund and the Parallel QP Fund may engage in transactions that subject the Main Fund and the Parallel QP Fund and potentially the Investors to such disclosure. An Investor disposing of its Interest at a tax loss may also be subject to such disclosure. Transactions that are not currently subject to disclosure may become subject to disclosure by notice from the IRS. Potential Investors should consult their own tax advisors concerning any potential disclosure obligation under the Regulations governing tax shelters and other potentially tax-motivated transactions and the possibility that significant penalties can be imposed with respect to such transactions.

State, Local and Foreign Tax Considerations

The foregoing discussion does not address the state, local and foreign tax considerations of an investment in the Main Fund or the Parallel QP Fund. Investors in the Main Fund or the Parallel QP Fund may be required to file state and local income tax returns in jurisdictions where the Main Fund or the Parallel QP Fund owns property or does business. Non-corporate taxpayers are limited to a \$10,000 per year deduction for state and local taxes. Prospective Investors are urged to consult their own tax advisors regarding those matters and all other tax aspects of an investment in the Main Fund and the Parallel QP Fund. It should be noted that it is possible that the Main Fund may be, and likely that the Parallel QP Fund will be, subject to state or local tax in certain jurisdictions.

POTENTIAL INVESTORS SHOULD CONSULT THEIR OWN TAX ADVISORS REGARDING THE STATE, LOCAL AND FOREIGN TAX CONSEQUENCES OF AN INVESTMENT IN THE MAIN FUND OR THE PARALLEL QP FUND.

CERTAIN ERISA CONSIDERATIONS

The following is a summary of certain considerations associated with the acquisition and holding of the interests in the Fund by, on behalf of, or using assets of, (i) employee benefit plans (as defined in Section 3(3) of the Employee Retirement Income Security Act of 1974, as amended ("ERISA")) that are subject to Title I of ERISA, which includes employee benefit pension plans (each, an "ERISA Plan"); (ii) plans (as defined in Section 4975(e)(1) of the Code) that are subject to Section 4975 of the Code, which includes tax qualified plans and individual retirement accounts; or (iii) any entity whose underlying assets are considered to include asset of any of the foregoing by virtue of such employee benefit plans' or plan's investment in such entity (such ERISA Plans, plans and entities, collectively, "Plans"). The following discussion is general in nature and not intended to be all-inclusive. The discussion is based on law in effect on the date of this Memorandum and is subject to any subsequent changes therein. Investors should not look to the foregoing discussion as legal advice. Rather, each prospective Investor in the Fund that is or is acting on behalf of, or using assets of, a Plan should seek advice from each such prospective Investor's independent tax and ERISA counsel regarding the application of ERISA or the Code to such investment, including without limitation, the potential fiduciary obligations and exposure to liability thereunder. Any references in this summary to the "Fund" or the interests in the "Fund" being offered hereby shall refer to the Main Fund and the Parallel QP Fund, as and to the extent applicable.

ERISA and the rules and regulations of the U.S. Department of Labor ("DOL") under ERISA contain provisions that should be considered by fiduciaries of ERISA Plans and their legal advisors. In particular, a fiduciary of an ERISA Plan should consider whether an investment in the Fund satisfies the requirements set forth in Part 4 of Title I of ERISA, including the requirements that (i) the investment satisfy the prudence and diversification standards of ERISA; (ii) the investment be in the best interests of the participants and beneficiaries of the ERISA Plan; (iii) the investment be permissible under the

terms of the ERISA Plan's investment policies and governing instruments; and (iv) the investment not result in a non-exempt prohibited transaction under ERISA or Section 4975 of the Code.

In determining whether an investment in the Fund is prudent for ERISA purposes, a fiduciary of an ERISA Plan should consider all relevant facts and circumstances, including, without limitation, possible limitations on the transferability of Fund interests, whether the investment provides sufficient liquidity in light of the foreseeable needs of the ERISA Plan, and whether the investment is reasonably designed, as part of the ERISA Plan's portfolio, to further the ERISA Plan's purposes, taking into consideration the risk of loss and the opportunity for gain (or other return) associated with the investment. It should be noted that none of the General Partner, the Manager or any of their affiliates has any responsibility for developing an overall investment strategy for any Plan or for advising any Plan as to the advisability or prudence of an investment in the Fund. Rather, it is the obligation of the appropriate fiduciary for each Plan to consider whether such an investment by the Plan, when judged in light of the overall portfolio of the Plan, will meet the prudence, diversification, prohibited transaction and other applicable requirements of ERISA and the Code.

PROSPECTIVE INVESTORS THAT ARE SUBJECT TO THE PROVISIONS OF ERISA OR CODE SECTION 4975 SHOULD CONSULT WITH THEIR COUNSEL AND ADVISORS: (I) REGARDING THE APPLICABILITY OF THE FIDUCIARY RESPONSIBILITY AND PROHIBITED TRANSACTION RESTRICTIONS OF ERISA AND THE CODE RELEVANT TO AN INVESTMENT IN THE FUND; AND (II) TO CONFIRM THAT SUCH AN INVESTMENT WILL NOT CONSTITUTE OR RESULT IN A PROHIBITED TRANSACTION OR ANY OTHER VIOLATION OF AN APPLICABLE REQUIREMENT OF ERISA.

"Government plans" and "church plans," while not subject to the fiduciary responsibility and prohibited transaction provisions of ERISA and Section 4975 of the Code, may nevertheless be subject to state or other federal laws that are substantially similar to the foregoing provisions of ERISA and the Code. Decision-makers for any such plans should consult with their counsel before making an investment in the Fund.

Additionally, the DOL has promulgated a final regulation under ERISA, 29 C.F.R. §2510.3-101, as subsequently modified by Section 3(42) of ERISA (collectively, the "Plan Assets Regulation"), which specifies the circumstances under which the underlying assets of an entity in which a Plan invests will be considered to be assets of the Plan for purposes of applying the fiduciary responsibility provisions of Title I of ERISA (including the prohibited transaction restrictions of Section 406 of ERISA) and the related prohibited transaction excise tax provisions of Section 4975 of the Code (the "Look Through Rule"). If the assets of the Fund were considered to be assets of a Plan, the persons who manage the Partnership might be deemed to be fiduciaries of the investing Plan for purposes of Title I of ERISA or Section 4975 of the Code and the operation of the Fund would become subject to Title I of ERISA and Code Section 4975.

Under the Plan Assets Regulation, the Look Through Rule will not apply and, therefore, the assets of the Fund will not be considered assets of any investing Plan if, as applicable here, either (i) the Plan's investment in the Fund qualifies as an investment in an "operating company," including a "real estate operating company" (a "REOC") or a "venture capital operating company" (a "VCOC"), or (ii) less than 25% of each class of the outstanding Interests in the Fund are held by "benefit plan investors" (excluding the Interests held by the General Partner and its affiliates) (the "25% Limit"). The term "benefit plan investor" is defined in Section 3(42) of ERISA to include any (a) an ERISA Plan, (b) "plan" (as defined in Section 4975(e)(1) of the Code) subject to Section 4975 of the Code, including, without limitation, individual retirement accounts and Keogh plans, or (c) entity whose underlying assets include plan assets by reason of such an employee benefit plans' or plan's investment in such entity, including, without limitation, as applicable, an insurance company general account. In general, the Plan Assets Regulation provides that an entity qualifies as a REOC if (1) on the date of the entity's first investment (that is not a short-term investment pending long-term commitment) and on at least one (1) day during each annual valuation period thereafter, at least 50% of the entity's assets, valued at cost, are invested in real estate that is being managed or developed with respect to which the entity has the right to substantially participate directly in such property management or development activities, and (2) the entity, in the ordinary course of its business, actually exercises such property management or development rights. In general, the Plan Assets Regulation provides that an entity qualifies as VCOC if (1) on the date of the entity's first investment (that is not a short-term investment pending long-term commitment) and on at least one (1) day during each annual valuation period thereafter, at least 50% of the entity's assets, valued at cost, are invested in operating companies (other than VCOCs) with respect to which the entity obtains direct contractual rights to substantially participate in, or substantially influence, the conduct of the

management of the operating company, and (2) the entity, in the ordinary course of its business, actually exercises such management rights with respect to one or more of the operating companies in which it invests.

The General Partner intends to use its reasonable efforts to structure any investment in the Fund by a Plan or any Person acting on behalf of, or using assets of, a Plan (a) so that such investment will qualify as an investment in a REOC or a VCOC or (b) so that such investment in the Fund by "benefit plan investors" will comply with the 25% Limit. Consequently, the General Partner intends to proceed on the basis that assets of the Fund should not constitute "plan assets" as defined in the Plan Assets Regulation as modified by Section 3(42) of ERISA and, therefore, the Fund will not be subject to ERISA or Code Section 4975. However, there can be no assurance the investment by a Plan or any person acting on behalf of or using assets of a Plan will qualify as an investment in a REOC or a VCOC. If the Fund elects to comply with the 25% Limit, no subscriptions for interests made by benefit plan investors will be accepted and no transfers of interests will be permitted to the extent that such investment or transfer would result in the Fund exceeding the 25% Limit. In addition, because the 25% Limit is to be calculated upon every subscription to or withdrawal from the Fund, the General Partner will have the authority, in its sole discretion, to require the withdrawal of all or some of the interests held by any benefit plan investor if the continued holding of such interest could result in the Fund being subject to ERISA.

Any Plan fiduciary or other Person considering whether to invest in the Fund on behalf of a Plan or using assets of a Plan should consult with its counsel regarding the availability of any of the exceptions to the Plan Assets Regulation referred to above.

The sale of interests in the Fund shall not be deemed a representation by the General Partner or the Manager that this investment meets all relevant legal requirements with respect to Plans or governmental or church plans generally or any particular Plan or governmental or church plan.

CERTAIN OTHER REGULATORY CONSIDERATIONS

Any references in this "Certain Other Regulatory Considerations" section to the "Fund" or the interests in the "Fund" being offered hereby shall refer to the Main Fund and the Parallel QP Fund, as and to the extent applicable.

Securities Act of 1933

The interests in the Fund offered hereby are "securities" as defined in the U.S. Securities Act of 1933, as amended (the "Securities Act") and under state securities laws. The Securities Act provides, among other things, that no sale of any securities may be made except pursuant to a registration statement that has been filed with the U.S. Securities and Exchange Commission (the "SEC"), and has become effective, unless such sale (or the security sold) is specifically exempted from registration. State securities laws have analogous provisions.

The interests in the Fund being offered hereby have not been registered under the Securities Act. This Memorandum has not been reviewed by the SEC, nor has the SEC nor any state securities commission or regulatory authority approved, passed upon or endorsed the merits of an investment in the Fund. The offering and proposed sale of interests in the Fund will be made to a limited number of investors in reliance upon the private placement exemption from registration provided in Section 4(2) of the Securities Act and/or Regulation D promulgated thereunder. Interests in the Fund will be offered and sold only to persons who are "accredited investors" as such term is defined in Rule 501(a) of Regulation D promulgated under the Securities Act.

Investment Company Act of 1940

It is anticipated that the Main Fund will not be an "investment company" within the meaning of the Investment Company Act of 1940, as amended (the "Investment Company Act") or will not be registered thereunder in reliance on one or more exemptions from registrations therefrom. The Main Fund will include Investors who are deemed to be "accredited investors" as defined under Regulation D of the U.S. Securities Act of 1933, as amended, and those who are deemed to be "qualified purchasers" within the meaning of the Investment Company Act.

To facilitate compliance with exemptions from registration under the Investment Company Act, the Parallel QP Fund will be organized to comply with exemption from registration provided by Section 3(c)(7) of the Investment Company Act and will include only Investors who are deemed to be “qualified purchasers” within the meaning of the Investment Company Act.

The number of beneficial owners of interests in the Parallel QP Fund will be limited to 1900, but all of the beneficial owners of the Parallel QP Fund must demonstrate that they are “qualified purchasers” as defined in Section 2(a)(51) of the Investment Company Act.

Investment Advisers Act of 1940

The Manager is registered with the SEC as an investment adviser under the Investment Advisers Act of 1940, as amended. Registration with the SEC as an investment adviser does not imply that the Manager or any of the personnel or employees of the Manager possesses a particular level of skill or training in the investment advisory or any other business.

Anti-Money Laundering Regulations

As part of the Fund’s responsibility to comply with regulations aimed at the prevention of money laundering, the General Partner may require a detailed verification of an Investor’s identity, beneficial owners and the source of such Investor’s Capital Contributions to the Fund.

The General Partner reserves the right to request such information as is necessary to verify the identity of an Investor and its beneficial owners (including the ultimate beneficial owner of an interest in the Fund). The General Partner also reserves the right to request such identification evidence in respect of a transferee or assignee of an Investor’s interest in the Fund. In the event of delay or failure by an Investor to produce any information required for anti-money laundering verification purposes, the General Partner may refuse to accept or delay the acceptance of such Investor’s subscription for an interest in the Fund or cause the withdrawal of such Investor from the Fund. The General Partner may suspend distributions to an Investor if the General Partner reasonably deems it necessary in order to comply with applicable anti-money laundering laws or the laws, regulations, and Executive Orders administered by the U.S. Department of Treasury’s Office of Foreign Assets Control (“OFAC”), or other laws or regulations by any person in any relevant jurisdiction (collectively, “AML/OFAC obligations”).

Each Investor will be required to make such representations to the Fund as the Fund or the General Partner may require in connection with AML/OFAC obligations, including, without limitation, representations that the Investor (or any person controlling or controlled by the Investor, and if the Investor is a privately-held entity, any person having a beneficial interest in the Investor or any person for whom the Investor is acting as agent or nominee in connection with the investment in the Fund) is not (i) an individual or entity named on any available lists of known or suspected terrorists, terrorist organizations or of other sanctioned persons issued by the United States government and the government(s) of any jurisdiction(s) in which the Fund is doing business, including the List of Specially Designated Nationals and Blocked Persons administered by OFAC, as such list may be amended from time to time; (ii) an individual or entity otherwise prohibited by the OFAC sanctions programs; or (iii) a current or former senior foreign political figure³⁸ or

³⁸ A “senior foreign political figure” is defined as (a) a current or former senior official in the executive, legislative, administrative, military or judicial branches of a non-U.S. government (whether elected or not), a current or former senior official of a major non-U.S. political party, or a current or former senior executive of a non-U.S. government-owned commercial enterprise; or (b) a corporation, business or other entity that has been formed by, or for the benefit of, any such individual. For purposes of this definition, “senior official” or “senior executive” means an individual with substantial authority over policy, operations or the use of government-owned resources.

politically exposed person,³⁹ or an immediate family⁴⁰ member or close associate⁴¹ of a senior foreign political figure. Further, each Investor must represent to the Fund that it is not a prohibited foreign shell bank⁴².

Each Investor will also be required to represent to the Fund that amounts contributed by it to the Fund were not directly or indirectly derived from activities that may contravene U.S. federal, state or international laws and regulations, including, without limitation, any applicable anti-money laundering laws and regulations.

Each Investor must agree to notify the Fund and the General Partner promptly in writing should it become aware of any change in the information set forth in its representations. Prospective Investors are advised that, by law, the Fund may be obligated to “freeze the account” of an Investor, either by prohibiting additional capital contributions from such Investor, suspending distributions to such Investor, and/or segregating the assets in such Investor’s account in compliance with governmental regulations. The Fund and the General Partner may also be required to report such action and to disclose the Investor’s identity to OFAC or other applicable governmental and regulatory authorities.

³⁹ A “politically exposed person” is a term used for individuals who are or have been entrusted with prominent public functions in a foreign country, for example Heads of State or of government, senior politicians, senior government, judicial or military officials, senior executives of state owned corporations, important political party officials.

⁴⁰ An “immediate family member” of a senior foreign political figure means such person’s spouse, parents, siblings, children and spouse’s parents and siblings.

⁴¹ A “close associate” of a senior foreign political figure means a person who is widely and publicly known (or is actually known) to be a close associate of such person.

⁴² A “prohibited foreign shell bank” is a foreign bank that does not have a physical presence in any country, and is not a “regulated affiliate,” i.e., (i) an affiliate of a depository institution, credit union, or foreign bank that maintains a physical presence in the U.S. or a foreign country, as applicable, and (ii) is subject to supervision by a banking authority in the country regulating the affiliated depository institution, credit union, or foreign bank.